Section A

Corporate Laws



Module 1

The Companies Act, 2013

1. Company Formation and Conversion
2. Dividends
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5. Board of Directors
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The Companies Act, 2013

Unit 01 Company Formation and Conversion

Sections **1 -22**



Concept 1 – Introduction & Definition

The Indian Companies Act, 1913 was the first structured law on company form of organisation. Some of the concepts of 1913 Act are still present in 2013 Act. This Act continued till 1956, when the first Companies Act of independent India was passed in 1956. After 57 years, the new companies were drafted and passed in 2013.

The Companies Act, 2013 ('The Act') consolidates and amends the law relating to the companies in India and replaces the Companies Act, 1956 , which is 56 years old, consisting of 29 Chapters, 470 Sections and 7 Schedules was notified partially on 12th September 2013 and partially again on 26th March, 2014. Part of the provisions related to National Company Law Tribunal have been notified with effect from 1st June, 2016.

The new Act intends to improve corporate governance and to further strengthen regulations for the corporate sector with the introduction of key provisions as to Duties and Liabilities of Directors/Independent Directors, Auditor Rotation, Establishment of Serious Fraud Investigation Office (SFIO), Constitution of National Financial Reporting Authority (NFRA), Class Action Suit, Corporate Social Responsibility (CSR) etc.

The Act is administered by the Central Government through the Ministry of Corporate Affairs (MCA) and the Offices of Registrar of Companies, Official Liquidators, National Company Law Tribunal (NCLT), National Company Law Appellate Tribunal (NCLAT), etc. The ROC controls the task of incorporation of new companies and the administration of running companies.

Definition - As per Section 2(20), 'Company' means a company incorporated under the Act, or under the previous Company law.

Meaning - Company is an artificial, legal and juristic person, separate from its members having perpetual existence – Incorporated Company or Corporation.

Unincorporated company, not registered under this act, such as Partnership, Association of Persons, is a collection of individuals and they do not have a separate legal identity.

Concept 2 – Features of Company

a) Independent Corporate Existence

Also known as Separate Legal Entity Concept, it is distinct legal person existing independent of its members. By incorporation under the Act, the company gains a corporate personality.

Case Law: Mr. Salomon Vs. Salomon & Co. Ltd.

b) Limited Liability

The member's liability becomes limited or restricted to the nominal value of the shares taken by them or the amount guaranteed by them. No member is bound to contribute anything more than that.

A shareholder is liable to pay for the shares as and when it is called up. In case of default the shares may be forfeited, and the shareholder no more remains a shareholder.

c) Perpetual Succession

The death or Insolvency of individual members does not affect the corporate existence of the company. "Members may come and go but the company can go on forever."

Case Law: Gopalpur Tea Co. Ltd. v. Peshok Tea Co. Ltd. (1982)

d) Separate Property as separate owner

A company, being a legal person, is capable of owning, enjoying and disposing of property in its own name. The company becomes the owner of its capital and assets. The shareholders are not the several or joint owners of the company's assets.

Bacha F Guzdar v. C.I.T.

e) Transferability of Shares

In case of companies, shares should be capable of being easily transferred. Accordingly, the Companies Act, 2013 in Section 44 declares: 'The shares or debentures or other interest of any member in a company shall be movable property, transferable in the manner provided by the articles of the company'. This provides liquidity to the investor and stability to the company.

f) Common Seal

Prior to the Companies (Amendment) Act, 2015 the common seal is a seal used by a corporation as the symbol of its incorporation and also a statutory requirement for a company, but now it is optional. In case the company has opted to have a common seal, the same shall be used as provided under the Act or the Articles. In case a company does not have a common seal, the authorisation shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

Lifting of the 'Corporate Veil'

The phrase "lifting the veil" is looking behind the company as a legal person, i.e., disregarding the corporate entity and paying regard to the realities behind the legal facade. Where the law ignores the company and concern themselves directly with the members or managers, the corporate veil may be said to have been lifted.

In instances where the activities of a company are violating the public interest or public policy.

The following are the cases where company law disregards the principle that the company is a legal entity distinct and separate from its shareholders or members:

1) In cases related to trading with the enemy, where the courts apply the test of control.

2) For matters concerning taxes, duties, and stamps, especially when controlling interest is in question.
3) When companies form subsidiaries to act as their agents, courts may disregard the corporate veil depending on the case's facts.
   Case Law: Smith, Stone and Knight Ltd. vs. Lord Mayor, etc., of Birmingham [1939] 4, All. 116
4) Courts can lift the corporate veil when companies attempt to avoid welfare legislation.
   Case Law: Workmen of Associated Rubber Industry Ltd. v. Associated Rubber Industry Ltd.
5) The Court tend the lift the corporate veil in order to find the realities of situation in case of commission of fraud or improper conduct.
6) The corporate veil is lifted where the company has abused the corporate personality for an unjust and unequitable purpose.
7) The Courts lift the corporate veil or disregard the corporate personality of a company to protect the public policy and prevent transactions contrary to public policy.
   Case Law: Connors v. Connors Ltd; (1939) S.C.R. 162
8) Under the law relating to exchange control. The courts lift the corporate veil in quasi-criminal cases in order to look behind the legal person and punish the real persons who have violated the law.
9) When companies are used to avoid legal obligations, courts may treat them as if they do not exist.
10) In a recent Supreme Court judgment, the corporate veil was lifted when a company transferred shares to disguise a prohibited land sale.
    Case Law: Estate Officer UT Chandigarh v. Esys Information Technologies Limited (2016)

Concept 3 – Promotion of a Company

As per the Companies Act, 2013, Promoters are persons

a) whose name appears in the prospectus or identified by the company in the annual return,
b) has control directly or indirectly over the affairs of the company either as a shareholder or a director and
c) according to whose direction, advice or instructions the Board of Directors are accustomed to act.

As per the Securities Exchange Board of India (SEBI), Promoters are persons who are in control of the issuer or are instrumental in the formulation of a plan or programme pursuant to which specified securities are offered to the public. The persons whose name appears in the offer document are known as promoters.

Promoters' Agreement/Memorandum of Understanding (MOU):

Promoters may draft a Memorandum of Understanding (MOU) or Memorandum of Agreement (MOA), though not mandatory, when planning to form a company. Promoters can enter contracts for the proposed company and must disclose any personal interests or profits. An optional Promoters Agreement can outline the rights and liabilities concerning company formation.

Memorandum and Articles of Association:

The Memorandum of Association (MOA) defines the company's constitution, including its name, office, objectives, capital, and liabilities. The Articles of Association (AOA) outline the company's internal management rules. Both documents must be filed with the Registrar of Companies during incorporation. A company can be structured as an OPC, private or public company, and limited or unlimited by shares or guarantee.

Concept 4 - Classification of Companies

4.1 On the Basis of Incorporation

a) Statutory Companies

These are the companies which are created by a special Act of the Legislature, e.g., the Reserve Bank of India, the State Bank of India, the Life Insurance Corporation, etc. These are mostly concerned with public utilities. The provisions of the Companies Act, 2013 do not apply to them unless the special act specifies such application.

b) Registered companies

These are the companies which are formed and registered under the Companies Act, 2013, or were registered under any of the earlier Companies Acts.

4.2 On the basis of liability

a) Company limited by shares

Section 2(22) defines that when the liability of the members of a company is limited by its memorandum of association to the amount unpaid on the shares held by them, it is known as a company limited by shares.

b) Company limited by guarantee

Section 2(21) defines it as the company having the liability of its members limited by the memorandum to such amount as the members may respectively undertake by the memorandum to contribute to the assets of the company in the event of its being wound up.

c) Unlimited company

Section 2(92) defines unlimited company as a company not having any limit on the liability of its members. In such a company the liability of a member ceases when he ceases to be a member. The liability of each member extends to the whole amount of the company's debts and liabilities but he will be entitled to claim contribution from other members.

4.3 On the basis of members

a) One Person Company (OPC)

The concept of One Person Company (OPC) has now been introduced in India, through Section 2 (62) of Companies Act, 2013 thereby enabling Entrepreneur(s) carrying on the business in the Sole Proprietor form of business to enter into a Corporate Framework. One Person Company is a hybrid of Sole-Proprietor and Company form of business, and has been provided with concessional/relaxed requirements under the Act. Though this concept is new in India but it is already a part of many other countries like China, Australia, Pakistan and UK etc.

According to Section 2 (62), 'One Person Company' means a company which has only one person as a member. A company formed under one person company may be either:

a) company limited by shares, or
b) company limited by guarantee, or
c) An unlimited company.

Features of One Person Company (OPC)

i) Only One Shareholder: Only a natural person, who is an Indian citizen whether resident in India or not, shall be eligible to incorporate a One Person Company.
ii) Nominee for the Shareholder: The Shareholder shall nominate another person who shall become the shareholder in case of death/incapacity of the original shareholder. Such nominee shall give his/ her consent and such consent is for being appointed as the Nominee for the sole Shareholder. Only a natural person, who is an Indian citizen whether resident in India or otherwise , shall be a nominee for the sole member of a One Person Company.
iii) Director: Must have a minimum of One Director, the Sole Shareholder can himself be the Sole Director. The Company may have a maximum number of 15 directors.

b) Private Company

According to Section 2 (68), a 'private company' means a company having a minimum paid-up share capital as may be prescribed, and which by its articles:

i) restricts the right to transfer its shares.
ii) except in case of OPC, limits the number of its members to 200: Provided that,
    - where 2 or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member

    Provided Further that,

    - persons who are in the employment of the company, and
    - persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased,

    shall not be included in the number of members, and

iii) prohibits any invitation to the public to subscribe for any securities of the company.

Exception to limited liability: If the number of members of a private company is reduced below 2, and the business is carried on for more than 6 months, while the number of members is so reduced,

every person who is a member of the company during this period shall be severally liable for the payment of the whole debts of the company contracted during that time.

c) Public Company

According to Section 2 (71), a 'public company' means a company which,

a) is not a private company and
b) has a minimum paid-up share capital, as may be prescribed
c) 7 or more members are required to form the company.

Provided that a company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of this Act even where such subsidiary company continues to be a private company in its articles.

d) Small Company

According to Section 2 (85), a "small company" means a company, other than a public company:

a) paid-up share capital of which does not exceed ₹ 50 lakhs or such higher amount as may be prescribed (₹ 10 crores) which shall not be more than ₹ 10 crores and
b) turnover of which as per its profit and loss account for the immediate preceding financial year does not exceed ₹ 2 crores or such higher amount as may be prescribed (₹ 100 crores) which shall not be more than ₹ 100 crores.

Provided that nothing in this clause shall apply to:

a) a holding company or a subsidiary company.
b) a company registered under Section 8, or
c) a company or body corporate governed by any special Act.

4.4 On the basis of control

Holding company and Subsidiary company

According to Section 2 (46), 'holding company', in relation to one or more other companies, means a body corporate of which such companies are subsidiary companies.

According to Section 2 (87), 'subsidiary company' or 'subsidiary', in relation to any other body corporate (that is to say the holding company), means a body corporate in which the holding company:

a) controls the composition of the Board of Directors or
b) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

Provided that such class or classes of holding companies as may be prescribed shall not have layers of subsidiaries beyond such numbers as may be prescribed.

4.5 On the basis of Listing in the recognised Stock Exchange

a) Listed Company (also widely held)

According to Section 2 (52), a 'listed company' means a company which has any of its securities listed on any recognised stock exchange.

For the purposes of the proviso to clause (52) of section 2 of the Companies Act, 2013, the following classes of companies shall not be considered as listed companies, namely:-

i) Public companies which have not listed their equity shares on a recognized stock exchange but have listed their –
   - non-convertible debt securities issued on private placement basis or
   - non-convertible redeemable preference shares issued on private placement basis or
   - both categories
ii) Private companies which have listed their non-convertible debt securities on private placement basis on a recognized stock exchange
iii) Public companies which have not listed their equity shares on a recognized stock exchange but whose equity shares are listed on a stock exchange in a jurisdiction as specified in the Act.

b) Unlisted Company

Unlisted Company means company other than listed company. They are also called closely held companies.

4.6 Other Types of Companies

1) Government Company

According to Section 2 (45), a 'Government company' means any company in which not less than 51% of the paid-up share capital is held by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, and includes a company which is a subsidiary company of such a Government company.

2) Foreign Company

According to Section 2 (42), 'foreign company' means any company or body corporate incorporated outside India which:

a) has a place of business in India whether by itself or through an agent, physically or through electronic mode and
b) conducts any business activity in India in any other manner.

3) Associate Company

According to Section 2 (6), 'associate company' in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

As per the Explanation given under the Section, the clause, 'significant influence' means control of at least 20% of total voting power, or control of or participation in business decisions under an agreement.

4) Dormant Company

Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company.

5) Nidhi Companies

Company which has been incorporated as a Nidhi with the object of cultivating the habit of thrift and savings amongst its members, receiving deposits from, and lending to, its members only, for their mutual benefits.

6) Public Financial Institutions

According to Section 2(72), "public financial institutions" means -

a) The Life Insurance Corporation of India established under the LIC Act, 1956.
b) The Infrastructure Development Finance Company Limited.
c) Specified company referred to in the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002.
d) Institutions notified by the Central Government.
e) Such other institution as may be notified by the Central Government in consultation with the Reserve Bank of India

Provided that no institution shall be so notified unless:

a) it has been established or constituted by or under any Central or State Act (or)
b) not less than 51% of the paid-up share capital is held or controlled by the Central Government or by any State Government or Governments or partly by the Central Government and partly by one or more State Governments.

7) Joint Venture Company: A joint venture means a "joint arrangement" where parties with joint control have rights to the net assets. It is formed by a JV agreement between two or more companies, sharing responsibilities. A business venture without forming a company is called a "non-corporate joint venture" or "contractual joint venture."
8) Non-profit Company: A Section 8 company is formed to promote commerce, art, science, social welfare, or similar objectives. Profits are applied only for its objectives, and no dividend is paid to members. It is registered under the Companies Act, 2013.
9) Sectoral Companies: These are companies registered under the Companies Act but operating in specific sectors regulated by government authorities. They must comply with both the Companies Act and sectoral laws, like banking companies, which follow the Banking Regulation Act and RBI directives, or insurance companies subject to the Insurance Act and IRDA regulations.

10) Non-Banking Financial Company (NBFC): An NBFC is a company registered under the Companies Act, engaged in financial activities such as loans, advances, and securities trading. It excludes businesses mainly focused on agriculture, industry, or goods trading.
11) Banking Companies: A company registered under the Companies Act, conducting banking operations as per the Banking Regulation Act. It requires a banking license from the RBI and must include "banking" in its name.
12) Insurance Company: A company registered under the Companies Act, engaged in insurance business as per the Insurance Act, requiring a license from the Insurance Regulatory and Development Authority (IRDA). The name must include "insurance" to indicate its nature.

Concept 5 - Large partnership to be registered as company or when companies must be registered

According to Section 464, any association or partnership with more than 50 members, formed to carry on business for profit, must be registered as a company under this Act or any other applicable law.

This rule does not apply to:

a) A Hindu Undivided Family (HUF) conducting business.
b) Associations or partnerships formed by professionals governed by special Acts.

Every member of an association or partnership carrying on business in contravention of above law, shall be punishable with a fine that may extend upto one lakhs rupees and shall also be personally liable for all liabilities incurred in such business which will be an illegal association and the association will have no legal standing, meaning it cannot sue, be sued, or be wound up under the Act. However, a member can recover any money paid before it is used for illegal purposes.

Concept 6 - Incorporation of Company

6.1 Formation of Company

Persons who form the company are known as promoters. It is they, who conceive the idea of forming the company. They take all necessary steps for its registration.

Section 3 deals with the basic requirement with respect to the constitution of the company.

a) Public Company: In the case of a public company with or without limited liability any 7 or more persons can form a company for any lawful purpose by subscribing their names to memorandum and complying with the requirements of this Act in respect of registration.
b) Private Company: In exactly the same way, 2 or more persons can form a private company.
c) One Person Company(OPC): 1 person, where the company to be formed is to be OPC.

If number of members reduce below above stipulation and the business is carried on for more than 6 months, while the number of members is so reduced, every person who is a member of the company during this period shall be severally liable for the payment of the whole debts of the company contracted during that time.

6.2 Procedural aspects of incorporation of Company

Section 7 provides for the procedure to be followed for incorporation of a company.

Filing of the documents and information with the registrar: For the registration of the company following documents and information are required to be filed with the registrar within whose jurisdiction the registered office of the company is proposed to be situated:

a) the MOA and AOA of the company duly signed by all the subscribers to the memorandum.
b) a declaration by person who is engaged in the formation of the company (an advocate, a CA, CMA or CS in practice), and by a person named in the articles (director, manager or secretary of the company), that all the requirements of this Act and the rules made there under in respect of registration and matters precedent or incidental thereto have been complied with.
c) a declaration from each of the subscribers to the memorandum and from persons named as the first directors, if any, in the articles stating that:

    i) he is not convicted of any offence in connection with the promotion, formation or management of any company or
    ii) he has not been found guilty of any fraud or misconduct to any company under this Act or any previous company law during the preceding 5 years and
    iii) that all the documents filed with registrar for registration of the company contain information that is correct and complete and true to the best of his knowledge and belief.

d) the address for correspondence till its registered office is established.
e) the particulars (names, including surnames or family names, residential address, nationality) of every subscriber to the memorandum along with proof of identity.
f) the particulars (names, including surnames or family names, the Director Identification Number, residential address, nationality) of the persons mentioned in the articles as the first directors of the company and such other particulars including proof of identity as may be prescribed, and
g) the particulars of the interests of the persons mentioned in the articles as the first directors of the company in other firms or bodies corporate along with their consent to act as directors of the company in such form and manner as may be prescribed.

Issue of certificate of incorporation on registration: The Registrar on the basis of documents and information filed, shall register all the documents and information in the register and issue a certificate of incorporation in the prescribed form to the effect that the proposed company is incorporated under this Act.

Allotment of corporate identity number (CIN): On and from the date mentioned in the certificate of incorporation, the Registrar shall allot to the company a corporate identity number, which shall be a distinct identity for the company and which shall also be included in the certificate.

Maintenance of copies of all documents and information: The company shall maintain and preserve at its registered office copies of all documents and information as originally filed, till its dissolution under this Act.

Furnishing of false or incorrect information or suppression of material fact: If any person furnishes any false or incorrect particulars of any information or suppresses any material information, of which he is aware in any of the documents filed with the Registrar in relation to the registration of a company, he shall be liable for action under Section 447.

6.3 Steps for formation of Company through SPICe+

The Companies (Incorporation) Amendment Rules, 2020 w.e.f 23rd February, 2020 introduced new web form SPICe+ for incorporation of the Companies replacing the old e-form SPICe.

SPICe+ is an integrated Web form offering 11 services by various concerned Central Government Departments and three State Government (Maharashtra, Karnataka & West Bengal), thereby saving as many procedures, time and cost for Starting a Business in India.

As per Rule 38 of the Companies (Incorporation) Rules, 2014, the Application for incorporation of a company shall be made in SPICe+ (Simplified Proforma for Incorporating Company Electronically Plus: INC-32) along with e-Memorandum of Association (e-MOA) in Form No. INC-33 and e-Articles of association (e-AOA) in Form no. INC-34.

The application under shall be accompanied by form AGILE-PRO-S (INC-35) containing an Application for registration of the following numbers, namely:-

1) GSTIN with effect from 31st March, 2019
2) ESIC with effect from 15th April, 2019 pLus
3) EPFO with effect from 8th April, 2019
4) Profession Tax Registration with effect from the 23rd February, 2020
5) Opening of Bank Account with effect from 23rd February, 2020.
6) Shops and Establishment Registration.

Service Services offered through SPICe+ are:

- Name Reservation
- Incorporation
- DIN allotment
- Mandatory issue of PAN
- Mandatory issue of TAN
- Mandatory issue of EPFO registration
- Mandatory issue of ESIC registration
- Mandatory issue of Profession Tax registration (Maharashtra, Karnataka & West Bengal)
- Mandatory Opening of Bank Account for the Company and Allotment of GSTIN
- Shops and Establishment Registration.

After deployment of SPICe+ web form, RUN (Reserve Unique Name) is applicable only for change of name of existing companies.

6.4 Establishment of Central Scrutiny Centre

The Central Government has established a Central Scrutiny Centre (CSC) for carrying out scrutiny of Straight Through Processes (STP) e-forms filed by the companies. The CSC shall function under the administrative control of the e-governance Cell of the Ministry of Corporate Affairs.

6.5 Effect of registration

On incorporation, the company, shall be a body corporate by the name contained in the MOA. Such a registered Company shall be capable of exercising all the functions of an incorporated company.

6.6 Certificate as Conclusive Evidence

Certificate of incorporation is accepted as conclusive evidence of existence of the company, by all judicial and administrative authorities.

6.7 Memorandum of Association

A memorandum is a public document under Section 399 of the Companies Act, 2013.The Memorandum of Association of company is in fact its "charter". It defines its constitution and the scope of the powers of the company with which it has been established under the Act. Consequently, every person entering into a contract with the company is presumed to have the knowledge of the conditions contained therein.

6.8 Contents of Memorandum of Association

Section 4 of the Companies Act, 2013 seeks to provide for the requirements with respect to memorandum of a company.

The memorandum of a company shall state:

a) Name Clause: the name of the company with the last word 'Limited' or 'Private Limited' as the case maybe.
b) Registered office Clause: the State in which the registered office of the company is to be situated.
c) Objects Clause: the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof. If any company has changed its activities which are not reflected in its name, it shall change its name in line with its activities within a period of six months from the change of activities after complying with all the provisions as applicable to change of name.
d) Liability Clause: the liability of members of the company, whether limited or unlimited, and also state:
    1) in the case of a company limited by shares, that the liability of its members is limited to the amount unpaid, if any, on the shares held by them and
    2) in the case of a company limited by guarantee, the amount up to which each member undertakes to contribute:
        - To the assets of the company in the event of its being wound-up while he is a member or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member, as the case may be, and
        - to the costs, charges and expenses of winding-up and for adjustment of the rights of the contributories among themselves.
e) Capital Clause : in the case of a company having a share capital:

1) The amount of share capital with which the company is to be registered and the division thereof into shares of a fixed amount and the number of shares which the subscribers to the memorandum agree to subscribe which shall not be less than one share, and
2) The number of shares each subscriber to the memorandum intends to take, indicated opposite his name

f) Subscription clause
g) Nomination Clause: in the case of OPC, the name of the person who, in the event of death of the subscriber, shall become the member of the company.

6.9 Applying for the Name of the Company

The name stated in the memorandum shall not be identical with or too similar to the name of any existing company registered under this Act or any previous company law. Additionally, the name must not constitute an offence under any law currently in force or be deemed undesirable by the Central Government. Furthermore, a company shall not be registered with a name that contains any word or expression likely to give the impression that it is connected with or has the patronage of the Central Government, any State Government, or any local authority. If such words or expressions are to be used, the company must obtain prior approval from the Central Government.

Various guidelines regarding the viability and use of names have been issued and are stipulated in the Companies (Incorporation) Rules.

To reserve the name of the company, a person may make an application through the web service to the Registrar at the Central Registration Centre. This application can be for either the name of the proposed company or the name to which the company intends to change. Once approved, the reserved name will be valid for 20 days in the case of new companies and for 60 days in the case of existing companies.

If it is discovered that the name was applied for using incorrect information after its reservation, and if the company has not yet been incorporated, the reserved name will be cancelled. The person who made the application may face a penalty of up to ₹1 lakh. If the company has already been incorporated, the Registrar may take action after giving the company an opportunity to be heard. This action may involve directing the company to change its name within 3 months after passing an ordinary resolution, striking off the name of the company from the register of companies, or filing a petition for the winding up of the company.

6.10 Extension of reservation of name

Upon payment of fees provided below through the web service available at www.mca.gov.in, the Registrar shall extend the period of a name reserved under rule 9 by using web service SPICe+ (INC-32), up to:

a) 40 days from the date of approval on payment of fees of ₹ 1000 made before the expiry of 20 days from the date of approval.
b) 60 days from the date of approval on payment of fees of ₹ 2000 made before the expiry of 40 days referred to in clause a) above.
c) 60 days from the date of approval on payment of fees of ₹ 3000 made before the expiry of 20 days from the date of approval.

6.11 Registered office of a company

Section 12, seeks to provide for the registered office of the company for the communication and serving of necessary documents, notices letters etc. The domicile and the nationality of a company are determined by the place of its registered office. This is also important for determining the jurisdiction of the court.

a) Registered office: Within 30 days of its incorporation and at all times thereafter a company shall have a registered office capable of receiving and acknowledging all communications and notices as may be addressed to it.
b) Verification of registered office: The Company shall furnish to the Registrar, verification of its registered office within a period of 30 days of its incorporation. The form to be filed in INC-22.

6. 12 Labelling of company:

Every company shall:

a) paint or affix its name and the address of its registered office at every office or place where it conducts business. The name and address should be in a conspicuous position, written in legible letters, and if necessary, in the local language as well.
b) have its name engraved in legible characters on its seal
c) get its name, address of its registered office and the CIN along with telephone number, fax number, e-mail and website addresses, if any, printed in all its business letters, billheads, letter papers and in all its notices and
d) have its name printed on hundis, promissory notes, bills of exchange, etc.

Name change by the company: Where a company has changed its name during the last 2 years, it shall paint or affix or print, along with its name, the former name or names so changed during the last 2 years.

In case of OPC: The words "One Person Company" shall be mentioned in brackets below the name of such company, wherever its name is printed, affixed or engraved.

Notice of change to registrar: Notice of every change of the situation of the registered office, verified, after the date of incorporation of the company, shall be given to the Registrar within 30 days of the change, who shall record the same.

Change by passing of special resolution: The registered office of the company shall be changed only by passing of special resolution by a company, outside the local limits of the city, town or village where such office is situated.

Change of registered office outside the jurisdiction of registrar: Where a company changes the place of its registered office from the jurisdiction of one Registrar to the jurisdiction of another Registrar within the same State, there such change is to confirmed by the Regional Director on an application made by the company.

Communication and filing of Information: The confirmation of change of registered office from jurisdiction of one registrar to another registrar within the same state, shall be:

a) communicated within 30 days from the date of receipt of application by the Regional Director to the company, and
b) the company shall file the confirmation with the Registrar within a period of 60 days of the date of confirmation who shall register the same, and

The Registrar of Companies of the new jurisdiction shall certify the registration within a period of 30 days from the date of filing of such confirmation. In case, the Registrar is convinced with evidence that company is not carrying on any business, he may initiate action to strike off the name of the company.

If any default is made in complying with the requirements of this section, the company and every officer who is in default shall be liable to a penalty of one thousand rupees for every day during which the default continues but not exceeding one lakh rupees.

6.13 Alteration of the Memorandum

Section 13 governs the alteration of the memorandum and outlines the following key provisions:

a) A company may alter the provisions of its memorandum with the approval of its members through a special resolution.
b) Any change in the name of a company requires prior approval from the Central Government in writing. However, no such approval is necessary if the name change involves only the addition or deletion of the word "Private" due to the conversion of one class of companies to another. Furthermore, a company that has defaulted in filing its annual returns or financial statements with the Registrar, or has defaulted in repaying matured deposits or debentures or interest there on, is not allowed to change its name.
c) Upon changing its name, the Registrar shall enter the new name in the register of companies, replacing the old name. A fresh certificate of incorporation will be issued with the new name, and the change will be complete and effective only upon the issuance of this certificate.
d) An alteration of the memorandum changing the registered office's location from one State to another will not take effect unless approved by the Central Government.
e) The Central Government must dispose of such requests within 60 days, ensuring that:

    - The alteration has the consent of creditors, debenture-holders, and other parties concerned with the company, or
    - Sufficient provisions have been made by the company for the due discharge of all its debts and obligations.

f) The company is required to file with the Registrar the Central Government's order.
g) When the registered office is moved from one State to another, a certified copy of the Central Government's order approving the alteration must be filed by the company with the Registrar of each relevant State within the prescribed timeframe.
h) The Registrar of the State to which the registered office is being shifted shall issue a fresh certificate of incorporation reflecting the alteration.

i) A company that has raised money from the public through a prospectus and still has any unutilized funds from such an issue shall not change its objects without passing a special resolution via postal ballot. The following conditions must also be met:

- The details regarding the resolution must be published in newspapers (one in English and one in a vernacular language) circulating where the company's registered office is located, and on the company's website, if available, explaining the justification for the change.
- Dissenting shareholders must be given an opportunity to exit, as specified by the Securities and Exchange Board.

j) The Registrar shall register any alteration to the memorandum concerning the company's objects and certify the registration within 30 days from the date of filing the special resolution.
k) No alteration made under this section shall have any effect until it has been registered in accordance with the provisions set forth.
l) In the case of a company limited by guarantee and without share capital, any alteration intending to grant any person the right to participate in the divisible profits of the company other than as a member shall be void.

6.14 Rectification of Name of Memorandum

a) According to Section 16, the Central Government has the authority to direct a company to rectify its name if it is identical to or too similar to that of a previously registered company or a registered trademark. The company must rectify its name within 3 months of receiving such a directive by passing an ordinary resolution.
b) Notice of Change to the Registrar: The company after changing its name, must provide notice of this change to the Registrar within 15 days from the date of the change, along with the order from the Central Government. The Registrar shall then carry out the necessary amendments to the certificate of incorporation and the memorandum

6.15 Articles of Association

Meaning: The articles of association are the bye-laws of the company according to which director and other officers are required to perform their functions as regards the management of the company.

Section 5 seeks to provide the contents and model of articles of association as follows:

a) Regulations for Management: The Articles must contain regulations governing the management of the company.
b) Inclusion of Matters: The Articles should include matters prescribed under relevant rules, along with any additional matters deemed necessary for effective management.
c) Provisions for Entrenchment: Entrenchment provisions may be included, allowing specific Articles to be altered only under conditions more restrictive than those for a special resolution.
d) Manner of Inclusion of Entrenchment Provision: Entrenchment provisions can be included during company formation or by amendment agreed upon by all members for private companies, and by special resolution for public companies.
e) Notice to the Registrar: If the Articles include entrenchment provisions, the company must notify the Registrar in the prescribed form and manner.

f) Model Articles: A company may adopt all or any of the regulations contained in the model articles applicable to such company.
g) For a company registered after the commencement of the Act, if its Articles of Association do not exclude or modify the provisions of the applicable Model Articles, those provisions will auto matically apply to the company as if they were included in its registered Articles.

6.16 Alteration of Articles

Section 14 vests companies with power to alter or add to its articles.

a) Alteration by special resolution: Subject to the provisions of this Act and the conditions contained in its memorandum, if any, a company may, by a special resolution alter its articles.
b) Alteration to include conversion of companies: Alteration of articles include alterations having the effect of conversion of:
    - a private company into a public company, or
    - a public company into a private company:

    However, any such alteration having the effect of conversion of a public company into a private company, then such conversion shall not take effect except with the approval of the Central Government on an application.

c) Every alteration of the articles and a copy of the order of the CG approving the alteration, shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of 15 days who shall register the same.
d) Any alteration of the articles registered as above shall be valid as if it were originally contained in the articles.

As per Section 15,

a) Every alteration made in articles of a company shall be noted in every copy of the articles, as the case may be.
b) If a company makes any default in complying with the stated provisions, the company and every officer who is in default shall be liable to a penalty of ₹1,000 for every copy of the articles issued without such alteration.

6.17 Effect of Memorandum and Articles

As per Section 10, where the memorandum and articles when registered, shall bind the company and the members to the same extent as if they respectively had been signed by the company and by each member, and an agreement to observe all the provisions of the memorandum and of the articles. All monies payable by any member to the company under the memorandum or articles shall be a debt due from him to the company.

As a result, a number of legal relationships are formed between different parties and the company which are described below:

a) Between the members and company: The MOA and AOA constitute a contract between the members and the company.

b) Between member inter se: The articles of Association constitute a contract not merely between the shareholders and the company but between each individual shareholder and every other.
c) Between the company and the outsiders: The memorandum and the articles do not constitute a contract between the company and outsiders.

Nonetheless, an outsider is entitled to assume that in respect of contract entered into with him all the formalities required to be carried out under the articles or memorandum have been duly complied with.

6.18 Act to override memorandum, articles, etc.

As per Section 6, The provisions of this Act shall have overriding effect to the provisions contained in
a) the memorandum or
b) articles of a company, or
c) in any agreement executed by it, or
d) in any resolution passed by the company in general meeting or by its Board of Directors,

whether the same be registered, executed or passed, as the case may be, before or after the commencement of this Act.
Any provision contained in the memorandum, articles, agreement or resolution, to the extent in conflict to the provisions of this Act, shall be void.

6. 19 Copies of memorandum, articles, etc., to be given to members

Copies of memorandum and articles of association, every agreement and every resolution referred in Section 117 shall, on being so requested by a member, be sent within 7 days of the request on the payment of fees.

In case of default, the company and every officer who is in default shall be liable for each default, to a penalty of ₹ 1000 for each day during which such default continues or ₹ 1,00,000 , whichever is less.

6.20 Commencement of business

A Company incorporated

a) after the commencement of the Companies (Amendment) Act, 2019 and
b) having a share capital

shall not commence any business or exercise any borrowing powers unless-

a) A declaration is filed by a director within a period of 180 days of the date of incorporation of company, with the Registrar that every subscriber to the memorandum has paid the value of the shares agreed to be taken by him on the date of making of such declaration and
b) The company has filed with registrar a verification of its registered office.

If any default is made in complying with the above requirements the company shall be liable to a penalty of ₹ 50,000 and every officer who is in default shall be liable to a penalty of ₹ 1000 for each day during which such default continues but not exceeding an amount of ₹ 1,00,000.

Where no declaration has been filed with the registrar within 180 days of the date of incorporation of the company and the registrar has reasonable cause to believe that the company is not carrying on any business or operations, he may, initiate action for the removal of the name of the company from the registrar of companies.

6.21 Formation of One Person Company (OPC)

a) The MOA of OPC shall indicate the name of the other person, who shall, in the event of the subscriber's death or his incapacity to contract, become the member of the company.
b) The other person whose name is given in the memorandum shall give his prior written consent in prescribed form and the same shall be filed with ROC at the time of incorporation.
c) Such other person may be given the right to withdraw his consent
d) The member of OPC may at any time change the name of such other person by giving notice to the company and the company shall intimate the same to the Registrar
e) Any such change in the name of the person shall not be deemed to be an alteration of the memorandum.
f) No person shall be eligible to incorporate more than one OPC or become nominee in more than one such company.
g) No minor shall become member or nominee of the OPC or can hold share with beneficial interest.

As per the Rule 4 of the Companies (Incorporation) Rules, 2014,

a) The sole member of a One Person Company (OPC) shall nominate a person, after obtaining prior written consent of such person, who shall, in the event of the member's death or incapacity to contract, become the member of that OPC.

b) The person nominated by the member of a OPC may, withdraw his consent by giving a notice in writing to such sole member and to the OPC.

c) The sole member shall nominate another person as nominee within 15 days of the receipt of such notice and shall send an intimation of such nomination in writing to the OPC, along with the written consent of such other person so nominated which shall be filed in form of a declaration in Form no. INC.4.

d) The OPC shall within 30 days of receipt of the notice of withdrawal of consent file such notice and the intimation of the name of another person nominated by the sole member with the Registrar in Form No. INC-4 along with fees

As per the Rule 5 of the Companies (Incorporation) Rules, 2014,

The subscriber or member of a One Person Company may, by intimation in writing to the company, change the name of the person nominated by him at any time for any reason including in case of death or incapacity to contract of nominee and nominate another person after obtaining the consent of such another person and his declaration shall be filed in Form No. INC-4

Provided that the company shall, on the receipt of such intimation, file with the Registrar, a notice of such change in Form No. INC-4 along with fee and with the particulars of consent of new nominee in form of a declaration in Form No. INC-4 within 30 days of receipt of intimation of the change.

As per the Rule 6 of the Companies (Incorporation) Rules, 2014,

Where the sole member of One Person Company ceases to be the member in the event of death or incapacity to contract and his nominee becomes the member of such One Person Company, such new member shall nominate within 15 days of becoming member, a person who shall in the event of his death or his incapacity to contract become the member of such company, and the company shall file with the Registrar an intimation of such cessation and nomination in Form No INC-4 along with the fee within 30 days of the change in membership and with the particulars of consent of the person so nominated in form of declaration in Form No. INC-4

Such Company cannot be incorporated or converted into a company under Section 8 of the Act. Though it may be converted to private or public companies in certain cases. Such Company cannot carry out Non-Banking Financial Investment activities including investment in securities of anybody corporate.

If OPC or any officer of such company contravenes the provisions, they shall be punishable with fine which may extend to ₹ 5,000 and with a further fine which may extend to ₹ 500 for every day after the first during which such contravention continues.

Only a natural person who is an Indian citizen whether resident in India or otherwise:-

a) shall be eligible to incorporate a OPC
b) shall be a nominee for the sole member of a OPC

Where a natural person, being member in OPC accordance with this rule becomes a member in another OPC by virtue of his being a nominee in that OPC, such person shall meet the eligibility criteria specified above within a period of 180 days.

Concept 7 - Doctrines

7.1 Doctrine of Ultra Vires

The doctrine of ultra vires limits the powers of a company to act beyond the scope defined by its Memorandum of Association (MOA). This is because these documents are construed as 'public document' under Section 399 of the Companies Act, 2013. Directors are restricted from undertaking actions outside these defined powers, even if legally valid. Shareholders, while drafting the MOA, set boundaries that neither they nor the Board of Directors can exceed unless the MOA is amended.

- Actions by the Board of Directors beyond the MOA's scope are ultra vires and invalid.
- The company or shareholders cannot ratify such ultra vires acts, even if all members agree.
- However, actions within the company's powers can be ratified by the members.

This doctrine ensures that the company operates within its defined objectives and legal boundaries.

7.2 Doctrine of constructive notice

The doctrine of constructive notice means that once a company's memorandum and articles of association are registered, the public is considered to know their contents. Anyone dealing with the company must follow these documents, and engaging in ultra vires transactions is at their own risk. However, this doctrine does not prevent company management from wrongful acts. The doctrine of indoor management, established in Royal British Bank v. Turquand (1856), protects outsiders by allowing them to assume that internal company procedures are properly followed. This ensures a balance between public awareness of company documents and protecting those who deal with the company from having to investigate internal affairs.

7.3 Doctrine of Indoor Management

The doctrine of constructive notice does not imply that outsiders are aware of a company's internal affairs. For example, if the company's articles or memorandum authorize an act, an outsider can assume that all necessary formalities have been observed. In Royal British Bank v. Turquand (1856), the directors of Royal British Bank issued bonds without a required resolution, yet it was held that the outsider, Turquand, could sue on the bonds because he was entitled to assume the resolution had been passed. This case illustrates the doctrine of indoor management, which serves as a limitation to the doctrine of constructive notice. However, exceptions to the doctrine of indoor management exist; an outsider cannot rely on it if they had reasonable access to information that should have been known before dealing with the company, as this would undermine the assumption of validity in the company's actions.

Concept 8 - Conversion of a Public Company into Private Company or vice-versa

8.1 Conversion of public company into private company

A public company can be converted into a private company by passing a special resolution, after altering its AOA so as to include therein the restrictions contained in Section 2(68).

Under Section 14 (1), any alteration made in the articles to convert a public company into a private company shall take effect only with the approval of the Central Government which shall make such order as it may deem fit.

8.2 Conversion of private company into public company

Similarly where a private company alters its articles by passing special resolution in such a manner that they no longer includes the restrictions and limitations which are required to be included in the articles of a private company, then such company shall cease to be a private company from the date of such alteration.

8.3 Filing with the Registrar

Every alteration of the articles and a copy of the order of the Central Government approving the alteration of articles in respect of conversion of public company into private company or private company into public company shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of 15 days.

Any alteration of the articles registered as above shall, subject to the provisions of this Act, be valid as if it were originally in the articles.

Concept 9 - Conversion of companies already registered

According to Section 18, a company may convert itself in some other class of company by altering its memorandum and articles of association. Following is the law with respect to the conversion of the companies already registered.

a) By alteration of memorandum and articles
b) File an application to the Registrar
c) Issue a certificate of incorporation: After registering the required documents, issue a certificate of incorporation in the same manner as its first registration.
d) No effect on the debts, liabilities etc. incurred before conversion

Concept 10 - Formation of Not-for-Profit Making Companies

Not-for-profit companies are formed for various objectives, where any surplus generated is used to further the company's objectives rather than distributed as profit. A not-for-profit organization, also known as a social enterprise, must:

a) Promote commerce, art, science, sports, education, research, social welfare, religion, charity, or environmental protection.
b) Apply profits or other income to promote its objectives.
c) Prohibit payment of dividends to its members.

The Central Government may, by licence, allow such associations to register as limited companies without the addition of "Limited" or "Private Limited" to their names. Upon registration under Section 8, the company will:

a) Enjoy the privileges and obligations of limited companies.
b) Allow a firm to be a member.
c) Not alter its memorandum or articles without prior approval from the Central Government.
d) Only convert to another type of company after meeting prescribed conditions.

The Central Government may, by order, revoke the licence granted to a company registered under this section if

a) the company contravenes any of the requirements of this section or
b) any of the conditions subject to which a licence is issued or
c) the affairs of the company are conducted fraudulently or
d) in a manner violative of the objects of the company or prejudicial to public interest,

direct the company to convert its status and change its name to add the word "Limited" or the words "Private Limited", as the case may be, to its name. Where a licence is revoked, the Central Government may, by order, if it is satisfied that it is essential in the public interest, direct that the company be wound up under this Act or amalgamated with another company registered under this section with similar objectives.

Provided that no such orders shall be made unless the company is given a reasonable opportunity of being heard.

If on the winding up of a company registered under this section, there remains, after the satisfaction of its debts and liabilities, any asset, that may be transferred to another company registered under this section and having similar objects, subject to such conditions as the Tribunal may impose, or may be sold and proceeds thereof credited to Insolvency and Bankruptcy Fund formed under section 224 of the Insolvency and Bankruptcy Code, 2016

A company registered under this section must amalgamate only with another not-for-profit company with similar objectives. A certificate of incorporation must include the permanent account number.

Failure to comply with the requirements may result in fines: the company faces a fine between ₹ 10 lakh and ₹1 crore, while directors and officers may be fined between ₹25,000 and ₹25 lakh. If fraud is proven, those officers may be liable under Section 447.

Concept 11 - License Under Section 8 for Existing Companies

To obtain a license under Section 8 of the Companies Act, 2013, applicants must follow these steps:

a) Application Form: Submit an application in SPICe+ Form (INC-32).
   Following shall be attached to above:
   (i) the memorandum and articles of association of the proposed company
   (ii) Declaration by Professionals
   (iii) Provide an estimate of future annual income and expenditure for the next 3 years.
   (iv) Declaration by persons making an application.

b) Memorandum of Association (MOA): Prepare the MOA in Form INC-13.

Conversion of Existing Companies: Existing companies can also convert into non-profit companies by submitting an application in Form INC-12 to register for licence under Section 8 along with the following attachments like

a) Memorandum and Articles of Association (MOA and AOA),
b) Declaration by professionals
c) a statement showing in detail the assets and the liabilities of the company, as on the date of the application or within 30 days preceding that date;
d) the certified copy of the resolution passed in general or board meetings approving registration of the company under section 8
e) Declaration by persons making an application.

Within a week of applying to the Registrar, the company must publish a notice (Form INC-26) at its own cost. The notice must be:

a) Published once in a vernacular newspaper of the district and once in an English newspaper circulating there, and
b) Posted on the websites notified by the Central Government, with a copy sent immediately to the Registrar.

Concept 12 - Types of Company Conversions

Choosing the form of business is voluntary for the entrepreneur, subject to restrictions of law. The provisions of the Companies Act, 2013 provide for the conversions of companies from one type of company to another.

A company can convert into the following types of companies:

a) Conversion of a private company into a public company
b) Conversion of a public company into a private company
c) Conversion of a one person company (OPC) to a private company or public company
d) Conversion of a private company to a one person company (OPC)
e) Conversion of a section 8 company into any other kind of company
f) Conversion of an LLP into a company
g) Conversion from a private company into a limited liability partnership (LLP)
h) Conversion from an unlisted public company into a limited liability partnership (LLP)

Concept 13 - Conversion of LLP into Company

An LLP can be converted into a Private Company as per the provisions contained in Section 366 and the Companies (Authorised to Registered) Rules, 2014. Major advantage of such conversion is that the business can continue under the same name as that of the LLP, with the addition of the words 'Limited' or 'Private Limited'

Requirements for Conversion

There are several requirements that must be satisfied for converting an LLP into a Private Limited Company:

a) The LLP must have at least 7 partners, or 2 partners to be eligible for conversion.
b) Approval from all the partners is required.
c) Advertisement in a local and national newspaper.
d) No Objection Certificate (NOC) from the ROC where such LLP is registered.

Steps for Conversion

1. Approval of Name

- Hold a meeting of partners to decide the company's name.
- Summon the meeting for registering the LLP under Section 366 of the Companies Act, 2013.
- Authorize partners to take necessary steps, execute documents, filings, etc.
- The name once accepted by the authority will be valid for 60 days .

2. Securing DSC and DIN

- Ensure all the members who are future directors of the company after conversion obtain the Digital Signature Certificate (DSC) and Director Identification Number (DIN).
- If not, apply for the DIN through an application form on the MCA portal.

3. Filing Form No. URC-1

- For registration purposes under Section 366(2) of the Companies Act, 2013, Chapter II (Incorporation of Companies) shall apply.
- There must be 2 or more members for registration under this sub-rule.
- A company with less than 7 members will register as a private company.

The following documents must be submitted with Form No. URC-1:

a) A list showing the names, addresses, and occupations of partners, along with details of their shares.
b) A list showing the first directors' particulars, including their DIN, passport details, residential addresses, and interests in other firms or bodies.
c) In case of a firm, submit the partnership deed and Certificate of Registration.
d) Written consent or No Objection Certificate (NOC) from all secured creditors of the applicant.
e) Consent from the majority of partners in a general meeting agreeing for Conversion.

Concept 14 - Conversion of Company into LLP

An existing private company or an unlisted public company can be converted into a Limited Liability Partnership (LLP) by complying with the provisions of Clause 58 and Schedule III & IV of the LLP Act, 2008.

Steps for Conversion of Company into LLP:

1. Board Meeting

- Hold a Board Meeting to pass a resolution for the conversion of the company into an LLP.
- Authorize a director to file the necessary forms with the MCA.
- Obtain the written consent of all shareholders for conversion of the company into an LLP.

2. Name Availability

- File a web-based Form RUN-LLP with the ROC to reserve the name of the LLP.
- Attach the Board Resolution passed by the company approving the conversion into LLP with the form.

3. LLP Agreement: The LLP Agreement should contain key details, including:

a) Name of the LLP.
b) Names of Partners and Designated Partners.
c) Form of contribution.
d) Profit-sharing ratio.
e) Rights and duties of the partners.
f) Proposed business of the LLP.
g) Rules for governing the LLP.

Though it is not necessary to have the LLP Agreement signed at the time of incorporation, it must be filed in e-Form 3 within 30 days of incorporation to avoid disputes regarding terms after conversion.

4. Filing of Application for Conversion: File e-Form 18 with the ROC, which must include the following attachments:

   - Statement of Shareholders, indicating their consent for the conversion.
   - Statement of Assets and Liabilities, certified as true and correct by the auditor.

Concept 15 – Procedure relating to Foreign Companies carrying on Business in India

According to Section 2 (42), 'foreign company' means any company or body corporate incorporated outside India and which:

a) has a place of business in India whether by itself or through an agent, physically or through electronic mode, and
b) conducts any business activity in India in any other manner.

Concept 16 – Registration with the Registrar of Companies

According to Section 380(1), Every foreign company shall, within 30 days of the establishment of its place of business in India, deliver to the Registrar for registration—

a) a certified copy of the charter, statutes or memorandum and articles, of the company, defining the constitution of the company and if the instrument is not in the English language, a certified translation thereof in the English language.
b) the full address of the registered or principal office of the company.
c) a list of the Directors and secretary of the company containing such particulars as may be prescribed.
d) the name and address of one or more persons resident in India authorised to accept on behalf of the company service of process and any notices or other documents required to be served on the company.
e) the full address of the office of the company in India which is deemed to be its principal place of business in India.
f) declaration that none of the Directors of the company or the authorised representative in India has ever been convicted or debarred from formation of companies and management in India or abroad
g) any other information as may be prescribed

Any alteration of the above documents shall be informed to Registrar within 30 days of alteration.

Concept 17 – Display of Name of Foreign Company

According to Section 382, Every foreign company shall—

a) exhibit on the outside of every office or place where it carries on business in India, the name of the company and the country in which it is incorporated, in an easily legible manner in English, and also in the language in general use in the locality in which the office or place is situated.
b) cause the name of the company and of the country in which the company is incorporated, to be stated in English in all business letters, billheads, letter papers , all notices, and other official publications of the company.
c) if the liability of the members of the company is limited, cause notice of that fact—

- to be stated in every such prospectus issued and in all business letters, bill-heads, letter paper, notices, advertisements and other official publications of the company, in English.
- to be exhibited on the outside of every office or place where it carries on business in India, in English and also in language which is in general use in the locality in which the office or place is situated.

Concept 18 – Winding up as an Unregistered Company

According to Section 376, Where a body corporate incorporated outside India which has been carrying on business in India, ceases to carry on business in India, it may be wound up as an unregistered company under this Part, notwithstanding that the body corporate has been dissolved or otherwise ceased to exist as such under or by virtue of the laws of the country under which it was incorporated.

Concept 19 – Foreign company shall be deemed to be an Indian Company

According to Section 379, When 50% or more of the paid-up share capital (equity, preference, or a combination of both) of a foreign company is held by:

a) One or more citizens of India, or
b) One or more Indian companies or bodies corporate incorporated in India, or
c) A combination of both Indian citizens and Indian companies or bodies corporate,

Such a foreign company will be treated as if it were a company incorporated in India for the purposes of Complying with the provisions of Chapters of the Companies Act and following other applicable provisions of the Act, as prescribed, related to the business conducted by it in India.

Concept 20 – Balance Sheet and Profit and Loss account

According to Section 381(1), Every foreign company shall, in every calendar year,—

a) make out a balance sheet and profit and loss account in such form, containing such particulars as may be prescribed.
b) deliver a copy of those documents to the Registrar.

Central Government may provide exceptions and modifications as may be specified in that notification for the above. If any such document as is mentioned in sub-section (1) is not in the English language, there shall be annexed to it a certified translation thereof in the English language.

Every foreign company shall send to the Registrar along with the documents required to be delivered to him under sub-section (1), a copy of a list in the prescribed form of all places of business established by the company in India as at the date with reference to which the balance sheet referred to in sub-section (1)is made out

Concept 21 – Service of Documents

According to Section 383, Any process, notice, or other document required to be served on a foreign company shall be deemed to be sufficiently served, if addressed to any person whose name and address have been delivered to the Registrar under Section 380 and left at, or sent by post to, the address which has been so delivered to the Registrar or by electronic mode.

The Companies Act, 2013

Unit 02 Dividends

Sections 123 - 127



Concept 1 - Introduction

1.1 Meaning of Dividend

"Dividend" means the profit of a company, which is not retained in the business and is distributed among the shareholders in proportion to the amount paid-up on the shares held by them.

1.2 Definition of Dividend

As per Section 2(35) of the Companies Act, 2013, "Dividend" includes any interim dividend.

1.3 Types of Dividend

Based on the time of Declaration of Dividend, there are two kinds:

a) Final Dividend: Dividend recommended by the board of directors, and approved by shareholders at the company's Annual General Meeting.
b) Interim Dividend: The declaration of interim dividend is done by the Board of directors any time between two annual general meetings.

1.4 Dividend Declaration Format: Percentage Vs Absolute Value

Dividends are normally declared as percentage to the face value of shares. However, in recent times, absolute amount, i.e. Rs 7.50 per share, is also used.

Concept 2 – Section 123: Declaration of Dividend

Chapter VIII of the Companies Act, 2013 deals with the Declaration and Payment of Dividend.

2.1 Sources for Declaration of Dividend

According to Section 123 (1), the dividend for any financial year shall be declared or paid from the following sources:

a) Profits of the current financial year after providing for depreciation.
b) Profits of any previous financial year or years after providing for depreciation and remaining undistributed i.e., credit balance in profit and loss account and free reserves.
c) Both (a) and (b)
d) Money provided by the Central Government or a State Government for the payment of dividend by the company in pursuance of a guarantee given by that Government.

Note 1: Dividend can be declared and paid only out of Free Reserves and no other reserves shall be utilised for such purpose.
Note 2: Before declaration of any dividend, carried over previous losses and depreciation not provided in previous year or years are required to be set off against profit of the company for the current year.

Note 3: In computing profits, any amount representing unrealised gains, notional gains or revaluation of assets and any changes in carrying amount of an asset or of a liability on measurement of the asset or the liability at fair value shall be excluded.

2.2 Transfer to Reserves

As per Proviso 1 of Section 123(1), The transfer of profits to reserves for any financial year is left to the discretion of the company (not mandatory). Therefore, a company is free to transfer any portion of its profits to reserves as it deems fit. It may also decide not to transfer any amount to reserves. However, if the transfer is made, it must be done before the declaration of dividend.

2.3 Declaration of Dividend when there is inadequacy or Absence of Profits

As per Proviso 2 of Section 123(1), Where in any year there are no adequate profits for declaring dividend, the company may declare dividend out of the accumulated profits earned by it in previous years and transferred by it to the free reserves only in accordance with the procedure laid down in Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014.

Under Rule 3 such declaration shall be subject to the following conditions:

Condition I:
The rate of dividend declared shall not exceed the average of the rates at which dividend was declared by the company in the immediately preceding three years. However, this condition shall not apply if the company has not declared any dividend in each of the three preceding financial year.

$$\text{Rate of Dividend} \leq \frac{(D1 + D2 + D3)}{3}$$

Where, D1, D2, D3 are rates at which dividend was declared by the company in the immediately preceding three years.

Condition II:
The total amount to be drawn from such Free Reserves shall not exceed 10% of its paid-up share capital and free reserves as appearing in the latest audited financial statement.

Total amount that can be drawn from accumulated profits	≤	10% of (paid-up share capital + free reserves)

Condition III:
The amount so drawn shall first be utilised to set off the losses incurred in the financial year in which dividend is declared.

Condition IV:
The balance of reserves after such withdrawal shall not fall below 15% of its paid-up share capital as appearing in the latest audited financial statement.

Free Reserves – Amount withdrawn	≥	15% of paid-up share capital

All the above conditions must be satisfied to declare dividend in case of inadequacy or absence of profits.

2.4 Interim Dividend

According to Section 123(3), Interim dividend may be declared by the Board of Directors during any financial year or at any time during the period from closure of financial year till holding of the annual general meeting.

The sources for declaring interim dividend include:

a) Surplus in the profit and loss account or
b) Profits of the financial year in which such dividend is sought to be declared or
c) Profits generated in the financial year till the quarter preceding the date of declaration of the interim dividend.

If the company has incurred loss during the current financial year up to the end of the quarter immediately preceding the date of declaration of interim dividend, "such interim dividend shall not be declared at a rate higher than the average rate of dividend declared by the company during the immediately preceding three financial years."

All provisions which are applicable to the payment of dividend shall also apply in case of interim dividend.

2.5 Depositing of Amount of Dividend

According to Section 123(4), the amount of dividend declared (including interim dividend), shall be deposited in a separate account maintained with a scheduled bank within 5 days from the date of declaration of dividend.

2.6 Payment of Dividend

Procedure for treatment of payment of interim and final dividend is same. "Dividend, once declared in AGM, cannot be revoked."

According to Section 123(5)
a) Dividend shall be payable only to the registered shareholder or to his order or to his banker.
b) Dividends are payable in cash and not in kind.
c) Dividends that are payable to the shareholders in cash may also be paid by cheque or dividend warrant or through any electronic mode.
d) Capitalization of profits or reserves of a company for the purpose of issuing fully paid-up bonus shares should NOT be confused with payment of dividend as both are separate issues.

2.7 Prohibition on declaration of Dividend

According to Section 123(6), a company which fails to comply with the provisions of section 73 (Prohibition on acceptance of deposits from public) and section 74 (Repayment of deposits, etc., accepted before the commencement of this Act of 2013) shall not, so long as such failure continues, declare any dividend on its equity shares.

According to Section 8(1), a company having licence under Section 8 (Formation of companies with charitable objects, etc.) is prohibited from paying any dividend to its members. Its profits are intended to be applied only in promoting the objects for which it is formed.

Concept 3 – Section 124: Unpaid Dividend Account

3.1 Unpaid or Unclaimed Dividend to be transferred to the Unpaid Dividend Account

According to Section 124(1), When dividend has been declared by a company but has not been paid or claimed within 30 days from the date of declaration, the company shall, within 7 days from the expiry of the said period of 30 days, transfer the total amount of unpaid or unclaimed dividend to a special account called the Unpaid Dividend Account in any scheduled bank.

3.2 Payment of Interest if default is made in transferring the Amount.

According to Section 124(3), If the company fails to transfer the unpaid or unclaimed dividend to the Unpaid Dividend Account within the prescribed time, it will be required to pay interest at the rate of 12% per annum on the amount not transferred, starting from the date of default.

3.3 Transfer of Unclaimed Amount to Investor Education and Protection Fund (IEPF)

According to Section 124(5), Any money transferred to the unpaid dividend account of a company which remains unpaid or unclaimed for a period of 7 years from the date of such transfer is required to be transferred by the company along with interest accrued, if any, thereon to the Investor Education and Protection Fund (IEPF). The amount shall be remitted within a period of 30 days of such amount becoming due to be credited to the IEPF.

The company shall send a statement of amount credited to Investor Education and Protection Fund in "Form DIV 5" to the authority which administer the fund.

The company shall keep a record consisting of names, last known addresses, the amount to which each person is entitled, folio number, etc. of the persons in respect of whom amount has been remain unpaid or unclaimed for 7 years and transferred to IEPF. Such record shall be maintained for a period of 8 years from the date of such transfer to IEPF and authority administering the fund shall have the powers to inspect such records.

Concept 4 – Section 125: Investor Education & Protection Fund

According to Section 125(1), This fund, being established by the Central Government, shall be credited with specified amounts and utilized for refund of unclaimed and unpaid amounts, promotion of investors awareness and protection of the interests of Investors, etc.

4.1 Amounts Credited to the Fund

According to Section 125(2), following amounts shall be credited to the fund:

a) Amount given by the Central Government- The amount given by the Central Government by way of grants.
b) Donations by the Central Government- Donations given by the Central Government, State Governments, companies, or any other institution for the purposes of the Fund.
c) Amount lying in the Unpaid Dividend Account- The amount lying in the Unpaid Dividend Account of companies which is transferred by them to the Fund under section 124(5).
d) Amount in the General Revenue Account of the Central Government- The amount in the General Revenue Account of the Central Government which had been transferred to that account under the Companies Act, 1956 and remaining unpaid or unclaimed on the commencement of the Act of 2013.
e) Income from Investments- The interest or other income received out of investments made from the Fund.
f) Amount received through disgorgement or disposal of Securities- The amount received through disgorgement or disposal of securities under section 38(4).
g) Application Money- The application money received by companies for allotment of any securities and due for refund.
h) Matured Deposits- Matured deposits with companies other than banking companies.
i) Matured Debentures- Matured debentures with companies.
j) Interest- Interest accrued on the amounts referred to in clauses (g) to (i).
k) Redemption Amount- Redemption amount of preference shares remaining unpaid or unclaimed for seven or more years; and
l) Such other amounts as prescribed

Any person claiming to be entitled to the amount referred above may apply to the authority for the payment of the money claimed.

4.2 Purposes for which the fund can be utilised for.

According to Section 125(3), the fund shall be utilised for:

1. the refund in respect of unclaimed dividends, matured deposits, matured debentures, the application money due for refund and interest thereon.
2. promotion of investors' education, awareness and protection.
3. distribution of any disgorged amount among the persons who have suffered losses, in accordance with the orders made by the Court which had ordered disgorgement.
4. reimbursement of legal expenses
5. any other purpose as may be prescribed.

The Central Government shall constitute, by notification, an authority for administration of the Fund consisting of a chairperson and such other members, not exceeding 7 and a chief executive officer, as the Central Government may appoint.

Concept 5 – Section 127: Punishment for failure to Distribute Dividends

Where dividend has been declared by a company but has not been paid or the warrant has not been posted within 30 days from the date of declaration of the dividend,

5.1 Punishment to Director

Every director of the company shall, if he is knowingly a party to the default, be punishable with imprisonment which may extend to two years and with fine which shall not be less than ₹ 1,000 for every day during which such default continues.

5.2 Punishment to Company

The company shall be liable to pay simple interest at the rate of 18% per annum during the period for which such default continues.

5.3 Provided that no offence under this section shall be deemed to have been committed:

a) where the dividend could not be paid by reason of the operation of any law.

b) where a shareholder has given directions to the company regarding the payment of the dividend and those directions cannot be complied with and the same has been communicated to him.

c) where there is a dispute regarding the right to receive the dividend.

d) where the dividend has been lawfully adjusted by the company against any sum due to it from the shareholder.

e) where, for any other reason, the failure to pay the dividend or to post the warrant within the period under this section was not due to any default on the part of the company

Concept 6 – Dividend Distribution Policy

On the 8th of July 2016 Securities and Exchange Board of India (SEBI) has notified amendment in SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 by inserting "Dividend Distribution Policy as 43A".

1. The top 1000 listed entities based on market capitalization shall formulate a dividend distribution policy which shall be disclosed on the website of the listed company and a web-link shall also be provided in their annual reports.
2. The dividend distribution policy shall include the following parameters:
   a) the circumstances under which the shareholders of the listed entities may or may not expect dividend.
   b) the financial parameters that shall be considered while declaring dividend.
   c) internal and external factors that shall be considered for declaration of dividend.
   d) policy as to how the retained earnings shall be utilized; and
   e) parameters that shall be adopted with regard to various classes of shares:

   Provided that if the listed entity proposes to declare dividend on the basis of parameters in addition to clauses (a) to (e) or proposes to change such additional parameters or the dividend distribution policy contained in any of the parameters, it shall disclose such changes along with the rationale for the same in its annual report and on its website.
3. The listed entities other than those specified at sub-regulation (1) of this regulation may disclose their dividend distribution policies on a voluntary basis in their websites and provide a web-link in their annual reports.

The Companies Act, 2013

Unit 03 Accounts of Companies

Sections 128 - 138



Concept 1 – Introduction and Definition

Chapter IX of the Companies Act, 2013 contain the provisions as to Accounts of Companies (Section 128 to 138)

According to Section 2(13), "Books of Account" includes records maintained in respect of:

a) All sums of money received and expended by a company and matters in relation to which receipts and expenditure take place;
b) All sales and purchases of goods and services by the company
c) The assets and liabilities of the company; and
d) The items of costs as may be prescribed under Section 148.

Concept 2 - Section 128: Maintenance of Books of Accounts

According to Section 128(1),

a) Every company shall prepare and keep at its registered office books of account and other relevant books and papers and financial statement for every financial year which give a true and fair view of the state of the affairs of the company, including that of its branch office or offices, if any.
b) The company shall be in a position to explain the transactions effected both at the registered office and its branches.
c) Such books of Account shall be kept on accrual basis and according to the double entry system of accounting.

Place of maintenance of books of account

a) The books of account and other relevant papers are required to be kept at the registered office of the company.
b) The company may also keep all or any of the books of account at any other place in India as the Board of directors may decide.
c) In such a case, the company shall file with the Registrar of Companies, a notice in writing giving the full address of that other place within 7 days of the Board's decision.

Electronic form of Books of account

The company may keep its books of account or other relevant papers in electronic mode. The books of account and other relevant books and papers maintained in electronic mode shall:

a) remain accessible in India so as to be usable for subsequent reference.
b) be retained in original format, sent or received, or in a format which shall present accurately the information generated, sent or received and the information contained in the electronic records shall remain complete and unaltered.
c) The information received from branch offices shall not be altered and shall be kept in a manner where it shall depict what was originally received from the branches.
d) The information in the electronic record of the document shall be capable of being displayed in a legible form.

e) There shall be a proper system for storage, retrieval, display or printout of the electronic records.
f) The back-up of the books of account and other books and papers of the company maintained in electronic mode, including at a place outside India, if any, shall be kept in servers physically located in India on a daily basis.

The company shall intimate to the Registrar on an annual basis at the time of filing of financial statement:

a) the name of the service provider.
b) the internet protocol address of service provider.
c) the location of the service provider (wherever applicable).
d) where the books of account and other books and papers are maintained on cloud, such address as provided by the service provider.
e) where the service provider is located outside India, the name and address of the person in control of the books of account and other books and papers in India.

Proper books of account in relation to a branch of the company

According to Section 128(2), Where company has a branch office in India or outside India, proper books of account relating to the transactions effected at the branch office may be kept at that branch office. Provided, proper summarised returns periodically must be sent by the branch office to the company at its registered office or the other place as decided by the Board of directors.

Persons who can inspect the Books of Accounts

a) The books of account and other books and papers maintained by the company within India shall be open for inspection at the registered office of the company or at such other place in India by any director during business hours.
b) In the case of financial information, if any, maintained outside the country, copies of such financial information shall be maintained and produced for inspection by any director subject to such conditions:
   i) The summarised returns of the books of account of the company kept and maintained outside India shall be sent to the registered office at quarterly intervals, which shall be kept and maintained at the registered office of the company and kept open to directors for inspection.
   ii) Where any other financial information maintained outside the country is required by a director, the director shall furnish a request to the company setting out the full details of the financial information sought, the period for which such information is sought.
   iii) The company shall produce such financial information to the director within 15 days of the date of receipt of the written request.
c) The inspection in respect of any subsidiary of the company shall be done only by the person authorised in this behalf by a resolution of the Board of Directors.
d) During inspection, the officers and other employees of the company shall give to the person making such inspection all assistance in connection with the inspection which the company may reasonably be expected to give.

Period of Maintenance - Section 128 (5)

a) The books of account of every company together with the vouchers relevant to any entry in such books of account shall be kept in good order by the company for a minimum period of 8 financial years immediately preceding a financial year.
b) Where the company had been in existence for a period of less than 8 years, it shall maintain the books of account in respect of all such preceding years in good order.
c) Where an investigation has been ordered in respect of the company, the Central Government may direct that the books of account may be kept for such longer period as it may deem fit.

Persons responsible for Maintenance & Penalty - Section 128 (6)

The following persons are responsible for the maintenance of proper books of account:

a) The managing director,
b) the whole-time director in charge of finance,
c) the Chief Financial Officer, or
d) any other person of a company charged by the Board.

If any of the persons mentioned above contravenes provisions of this Section, they shall be punishable with Fine which shall not be less than ₹ 50,000 but which may extend to ₹ 5 lakhs.

Concept 3 - Section 129: Financial Statement

According to Section 2(40), 'financial statement' in relation to the company includes:-

a) A balance sheet as at the end of the financial year
b) A profit & loss account, or in case of a company carrying on any activity not for profit, an income and expenditure account for the financial year;
c) Cash Flow Statement for the financial year
d) A statement of changes in equity, if applicable and
e) Any explanatory note annexed to or forming part of any document referred above.

Provided that the financial statement, with respect to One Person Company, small company, dormant company and private company (if it's a start-up company), may not include Cash Flow Statement.

Section 129(1) provides that the financial statements shall:

a) give a true and fair view of the state of affairs of the company or companies,
b) comply with the accounting standards
c) shall be in the form or forms as may be provided for different class or classes of companies in Schedule III.
d) the items contained in such financial statements shall be in accordance with the accounting standards.

The above provisions relating to form and content of financial statement shall not apply to following companies:

a) Insurance Companies, or
b) Banking companies, or

c) Company engaged in the generation or supply of electricity, or

Laying of financial statements at AGM

At every AGM of a company, the Board of directors of the company shall lay before such meeting the financial statements for the financial year.

Consolidated Financial Statements

a) Where a company has one or more subsidiaries, it shall, in addition to its own financial statements prepare a consolidated financial statement of the company and of all the subsidiaries in the same form and manner as that of its own.
b) The Consolidated financial statements shall also be laid before the annual general meeting of the company along with the laying of its own financial statement.
c) The company shall also attach along with its financial statement, a separate statement containing the salient features of the financial statement of its subsidiary or subsidiaries in e-Form AOC-1.
d) For the purposes of consolidated financial statements, subsidiary shall include associate company.
e) the consolidation of financial statements of the company shall be made in accordance with the provisions of Schedule III to the Act and the applicable accounting standards.

Provided further that nothing in this rule shall apply in respect of preparation of consolidated financial statements by a company if it meets the following conditions:-

a) It is a wholly owned subsidiary, or is a partially owned subsidiary of another company and all its other members, having been intimated in writing and for which proof of delivery of such intimation is available with the company, do not object to the company not presenting consolidated financial statements
b) it is a company whose securities are not listed or are not in the process of listing on any stock exchange, whether in India or outside India; and
c) its ultimate or any intermediate holding company files consolidated financial statements with the Registrar which are in compliance with applicable Accounting Standards.

The provisions applicable to the preparation, adoption and audit of the financial statements of a holding company shall also apply to the consolidated financial statements

Deviations from Accounting Standards

According to Section 129(5), If the financial statements of a company do not comply with the accounting standards, the company shall disclose in its financial statements the following namely:

a) the deviation from the accounting standards.
b) the reasons for such deviation and
c) the financial effects, if any, arising out of such deviation.

Exemptions

The Central Government may, on its own or on an application by a class or classes of companies, by notification, exempt any class or classes of companies from complying with any of the requirements of this Section or the rules made thereunder, if it is considered necessary to grant such exemption in the public interest.

Contravention

According to Section 129(7), If a company contravenes the provisions of this Section, the managing director, the whole-time director in charge of finance, the Chief Financial Officer or any other person charged by the Board with the duty of complying with the requirements of this Section and in the absence of any of the officers mentioned above, all the directors shall be punishable with

a) Imprisonment for a term which may extend to 1 year, or
b) Fine which shall not be less than ₹ 50,000 but which may extend to ₹ 5 lakhs, or
c) Both with imprisonment and fine.

Section 129A - Periodical financial results

The Central Government may, require such class or classes of unlisted companies, as may be prescribed:

a) to prepare the financial results of the company on such periodical basis and in such form as may be prescribed;
b) to obtain approval of the Board of Directors and complete audit or limited review of such periodical financial results in such manner as may be prescribed; and
c) file a copy with the Registrar within a period of 30 days of completion of the relevant period with such fees as may be prescribed

Concept 4 - Section 133: Central Government to prescribe Accounting Standards

According to Section 133, the Central Government may prescribe the standards of accounting or any, as recommended by the Institute of Chartered Accountants of India, constituted under the Chartered Accountants Act, 1949 in consultation with and after examination of the recommendations made by the National Financial Reporting Authority (NFRA).

Concept 5 - Section 134: Financial Statement, Board's report, etc

5.1 Authentication of Financial Statements

According to this Section 134(1), The financial statements, including consolidated financial statement, if any, shall be approved by the Board of Directors before they are signed on behalf of the Board at least by the following:

a) The chairperson of the company where he is authorised by the Board, or
b) By 2 directors out of which one shall be managing director, if any and
c) the Chief Executive Officer and
d) The Chief Financial Officer and
e) The company secretary of the company, wherever they are appointed.

In the case of a One Person Company, the financial statement shall be signed by only 1 director, for submission to the auditor for his report thereon.

According to this Section 134(2), The auditors' report shall be attached to every financial statement

According to this Section 134(7), A signed copy of every financial statement, including consolidated financial statement, if any, shall be issued, circulated or published along with a copy each of

a) Any notes annexed to or forming part of such financial statement.
b) The auditor' report and
c) The Board's report.

5.2 Contents of Board's Report

According to this Section 134(3), Board's report shall include

a) The web address, if any, where annual return has been placed.
b) number of meetings of the Board
c) Directors' Responsibility Statement
d) Details in respect of frauds reported by auditors under Section 143 (12) other than those which are reportable to the Central Government
e) a statement on declaration given by independent directors under Sub-Section (6) of Section 149.
f) in case of a company covered under Section 178, Companies where Nomination and Remuneration Committee (NRC) applies, company's policy on directors' appointment and remuneration including criteria for determining qualifications, positive attributes, independence of a director
g) explanations or comments by the Board on every qualification, reservation or adverse remark or disclaimer made:
   i) by the auditor in his report and
   ii) by the company secretary in practice in his secretarial audit report.
h) particulars of loans, guarantees or investments under Section 186.
i) particulars of contracts or arrangements with related parties of Section 188 in e-Form AOC-2.
j) the state of the company's affairs.
k) the amounts, if any, which it proposes to carry to any reserves.
l) the amount, if any, which it recommends should be paid by way of dividend.
m) the conservation of energy, technology absorption, foreign exchange earnings and outgo, in such manner as prescribed
n) A statement indicating development and implementation of a risk management policy for the company
o) the details about the policy developed and implemented by the company on CSR initiatives taken during the year along with the web address where the policy is hosted.
p) Every listed company and every other public company having a paid up share capital of ₹ 25 crore or more calculated at the end of the preceding financial year shall include in the report by its Board of directors, a statement indicating the manner in which formal annual evaluation has been made by the Board of its own performance and that of its committees and individual directors.
q) Such other matters as prescribed

5.3 Board's Report in case of OPC

According to this Section 134(4), In case of a OPC, the report of the Board of Directors to be attached to the financial statement under this Section shall, mean a report containing explanations or comments by the Board on every qualification, reservation or adverse remark or disclaimer made by the auditor in his report.

5.4 Directors' Responsibility Statement

According to this Section 134(5), the Directors' Responsibility Statement shall state that:

a) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation
b) the directors had selected such accounting policies and applied them consistently and made estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company
c) the directors had taken proper and sufficient care for the maintenance of adequate accounting records for safeguarding the assets of the company and detecting fraud.
d) the directors had prepared the annual accounts on a going concern basis and
e) the directors, in the case of a listed company, had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.
f) the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

5.5 Signing of Board's Report

According to Section 134(6), The Board's report shall be signed by

a) its chairperson of the company if he is authorised by the Board and
b) where he is not so authorised, shall be signed by at least 2 directors, one of whom shall be a managing director, or
c) by the director where there is one director.

5.6 Contravention

According to Section 134(8), If a company contravenes any provisions of this Section, the penalty would be ₹ 3 lakh for the company and ₹ 50,000 for every officer in default.

Concept 6 - Section 135: Corporate Social Responsibility (CSR)

According to Section 135(1), every company having net worth of ₹ 500 crores or more, or turnover of ₹1,000 crores or more or a net profit of ₹ 5 crores or more during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee of the Board consisting of 3 or more directors, out of which at least one director shall be an independent director. Where independent director is not required to be appointed in the company, any two or more directors shall be in committee.

According to Section 135(2), The Board's report shall disclose the composition of the CSR Committee.

According to Section 135(3), the CSR committee shall,

a) formulate and recommend to the Board a CSR Policy which shall indicate the activities to be undertaken by the company as specified in Schedule VII of the Companies Act, 2013
b) recommend the amount of expenditure to be incurred on the activities referred to above
c) monitor the CSR Policy of the company from time-to-time.

According to Section 135(4), The Board of every company shall

a) after taking into account the recommendations made by the CSR Committee, approve of the CSR Policy for the company and disclose contents of such policy in its report and also place it on the company's website,
b) ensure that the activities as are included in the policy are undertaken by the company

According to Section 135(5),

a) The Board of every company shall ensure that the company spends, in every financial year, at least 2% of the average net profits of the company made during the 3 immediately preceding financial years or where the company has not completed the period of 3 years, during such immediately preceding years in pursuance of its CSR Policy.
b) the company shall give preference to the local area and areas around it where it operates, for spending the amount earmarked for Corporate Social Responsibility.
c) if the company fails to spend such amount, the Board shall, in its report made specify the reasons for not spending the amount and unless the amount relates to any ongoing project as referred below, transfer such unspent amount to a fund specified under Schedule VII within a period of 6 months of expiry of financial year.
d) Any amount remaining unspent relating to any ongoing project shall be transferred by the company within 30 days from the end of the financial year to a special account to be opened in any scheduled bank and be called as Unspent Corporate Social Responsibility Account and such amount shall be spent for the purpose of the project within a period of 3 years from the date of such transfer, failing which the unspent amount at the end of the 3rd year shall be transferred to fund under Schedule VII, within 30 days after the completion of 3rd year.

Average net profit shall be calculated in accordance with the provisions of Section 198 of the Companies Act, 2013.

Concept 7 - Section 136: Right of member to copies of Audited Financial Statement

According to Section 136, A copy of the financial statements, which are to be laid before a company in its general meeting, shall be sent to the following:

a) every member of the company,
b) to every trustee for the debenture holder of any debentures issued by the company, and
c) to all persons other than such member or trustee, being the person so entitled.

a) Consolidated financial statements, if any, auditors' report and every other document required by law shall be attached with financial statements.

b) These financial statements shall be sent in not less than 21 days before the date of the meeting. May be sent less than 21 days before if shareholders with not less than 95% paid-up share capital or voting power agree at the meeting.

In the case of a listed company:

a) The above provisions shall be deemed to be complied with, if the copies of the documents are made available for inspection at its registered office during working hours for a period of 21 days before the date of the meeting.
b) Along with it a statement containing the salient features of such documents in the Form AOC-3 or copies of the documents is sent to every member of the company.
c) The statement is to be sent not less than 21 days before the date of the meeting unless the shareholders ask for full financial statements.
d) A company shall also allow every member or trustee of the debenture holder to inspect the audited financial statement at its registered office during business hours.
e) A listed company shall also place its financial statements including consolidated financial statements, if any, and all other documents on its website
f) Listed company having subsidiary which is required to be consolidated under the law of the a different country shall place such account on its website (Indian holding company). Further if such subsidiary is not supposed to get audited, such unaudited accounts shall be placed in website If the accounts are prepared in a language other than English, the English translated version is to be placed in holding company website.

In case of Section 8 companies, in the above time limits instead of 21 days, 14 days is applicable.

In case of all listed companies and such public companies which have a net worth of more than ₹ 1 crore and turnover of more than ₹ 10 crores, the financial statements may be sent:

a) by electronic mode to such members whose shareholding is in dematerialized format and whose Email Ids are registered with Depository for communication purposes.
b) Where shareholding is held otherwise than by dematerialized format, to such members who have positively consented in writing for receiving by electronic mode and
c) by dispatch of physical copies through any recognised mode of delivery in all other cases.

Every company having a subsidiary or subsidiaries shall:

a) place separate audited accounts in respect of each of its subsidiary on its website, if any.
b) provide a copy of the separate audited financial statements in respect of each of its subsidiaries, to any member of the company who asks for it.

Penalty for Contravention

a) If any default is made in complying with the provisions of this section, the company shall be liable to a penalty of ₹ 25,000.
b) Every officer of the company who is in default shall be liable to a penalty of ₹ 5,000.

Concept 8 - Section 137: Copy of financial statements to be filed with Registrar

8.1 Filing of Financial Statements when adopted

According to this Section 137(1), A copy of the financial statements, including consolidated financial statement, if any, along with all the documents, duly adopted at the AGM of the company, shall be filed with the Registrar within 30 days of the date of AGM in such manner, with such fees or additional fees as may be prescribed.

If Financial Statements are not adopted

a) Where the financial statements are not adopted at AGM or adjourned AGM, such unadopted financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of AGM.
b) The Registrar shall take them in his records as provisional till the financial statements are filed with him after their adoption in the adjourned AGM for that purpose.
c) If the financial statements are adopted in the adjourned AGM, then they shall be filed with the Registrar within 30 days of the date of such adjourned AGM.

Filing by One Person Company

OPC shall file a copy of the financial statements duly adopted by its member, along with all the documents which are required, within 180 days from the closure of the financial year.

Company having subsidiaries outside India

a) A company shall, along with its financial statements to be filed with the Registrar, attach the accounts of its subsidiary or subsidiaries which have been incorporated outside India and which have not established their place of business in India.
b) In case of foreign subsidiary, which is not required to get its accounts audited as per laws in the country of its incorporation and which does not get such accounts audited, the holding or parent Indian company may file such unaudited accounts.
c) Further, the format of accounts of foreign subsidiaries should be, as far as possible, in accordance with requirements under the Companies Act, 2013. In case this is not possible, a statement indicating the reasons for deviation may be placed/ filed along with such accounts.

8.2 Annual General meeting not held

According to Section 137 (2), Where the AGM of a company for any year has not been held, the financial statements along with the documents required to be attached, duly signed along with the statement of facts and reasons for not holding the AGM shall be filed with the Registrar within 30 days of the last date before which the AGM should have been held.

8.3 Penalty for contravention

According to Section 137 (3), If any of the provisions of this Section are contravened:

a) The company shall be punishable with fine of ₹ 10,000 and in case of continuing default ₹ 100 for every day during which the failure continues but which shall not be more than ₹ 2 Lakhs and
b) The managing director and the CFO of the company, if any, and in their absence, any other director who is charged by the Board and in the absence of any such director, all the directors of the company, shall be liable to a penalty of ₹ 10,000 and in case of continuing failure, a sum of ₹ 100 for each day during which the failure continues, subject to a maximum of ₹ 50,000.

Concept 9 - Section 138: Internal Audit

According to Section 138, The following class of companies shall be required to appoint an internal auditor which may be either an individual or a partnership firm or a body corporate:

a) every listed company.
b) every unlisted public company having

i) paid up share capital of ₹ 50 crores or more during the preceding financial year, or
ii) turnover of ₹ 200 crores or more during the preceding financial year, or
iii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹ 100 crores at any point of time during the preceding financial year, or
iv) outstanding deposits of ₹ 25 crores or more at any point of time during the preceding financial year, and

c) every private company having:

i) turnover of ₹ 200 crores or more during the preceding financial year, or
ii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹ 100 crores at any point of time during the preceding financial year.

An existing company covered under any of the above criteria shall comply with the requirements of Section 138 and this rule within 6 months of commencement of such Section.

Role and eligibility of Internal Auditor

a) Internal Auditor shall either be a CA or a CMA in practice or not, or such other professional as may be decided by the Board
b) He conducts internal audit of the functions and activities of the company.
c) The internal auditor may or may not be an employee of the company.
d) The Audit Committee or the Board shall, in consultation with the Internal Auditor, formulate the scope, functioning, periodicity and methodology for conducting the internal audit.

The Companies Act, 2013

Unit 04 Audit and Auditors

Sections 139 - 148



Concept 1 - Section 139: Appointment of Auditors

1.1 Appointment of First Auditors

Section 139(6) - Appointment of First Auditors Other Than Government Company

a) The first auditor of a company, other than a Government Company, shall be appointed by the Board of directors within 30 days of the date of registration of the company.
b) If the Board fails to exercise its powers i.e. appointment of first auditor, it shall inform the members of the company and the company in general meeting may appoint the first auditor within 90 days at an extra ordinary general meeting and

such auditor shall hold office till the conclusion of the first annual general meeting (AGM).

Section 139(7) - Appointment of First Auditors of Government Company

a) The first auditor shall be appointed by the Comptroller and Auditor General of India (C&AG) within 60 days from the date of registration of the company
b) In case the C&AG does not appoint first auditor within the said period, the Board of Directors of the company shall appoint such auditor within the next 30 days.
c) Further, in the case of failure of the Board to appoint such auditor within the next 30 days, it shall inform the members of the company who shall appoint such auditor within the 60 days at an extraordinary general meeting

who shall hold office till the conclusion of the first AGM

1.2 Appointment of Subsequent Auditors

Section 139(1) - Appointment of Subsequent Auditors Other Than Government Company

Every Company shall at the first AGM appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its 6th AGM and thereafter till the conclusion of every 6th meeting.

Section 139(5) - Appointment of Subsequent Auditors of Government Company

The Comptroller and Auditor General of India (C&AG) shall appoint an auditor duly qualified within a period of 180 days from the commencement of the financial year who shall hold the office till the conclusion of the AGM.

1.3 Manner and Procedure of selection and appointment of auditors

a. In case of a company is not required to constitute an Audit Committee

The Board shall take into consideration the qualifications and experience of an individual or firm and recommend in AGM for appointment as auditor.

b. In case of a company is required to constitute an Audit Committee.

a) the Audit Committee shall recommend a person to be appointed as Auditor to the Board of Directors.
b) If the Board agrees with the recommendation of the Audit Committee, it shall further recommend the appointment of an individual or a firm as auditor to the members in the AGM.
c) If the Board disagrees with the recommendation of the Audit Committee, it shall refer back the recommendation to the committee for reconsideration with reasons for such disagreement.
d) If the Audit Committee, after considering the reasons given by the Board, decides not to reconsider its original recommendation, the Board shall record reasons for its disagreement with the committee and send its own recommendation for consideration of the members in the AGM and if the Board agrees with the recommendations of the Audit Committee, it shall place the matter for consideration by members in the AGM.

1.4 Certificate by Auditor

Before the appointment is made, the written consent of the auditor to such appointment shall be obtained. A certificate shall be also obtained from the auditor stating that:

a) The individual or the firm is eligible for appointment and is not disqualified for appointment under the Act, the Chartered Accountants Act, 1949 and the rules or regulations made there under.
b) The proposed appointment is as per the term provided under the Act.
c) The proposed appointment is within the limits laid down by or under the authority of the Act.
d) The list of proceedings against the auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.
e) The certificate shall also indicate whether the auditor satisfies the criteria provided in Section 141
f) Notice to Registrar: The company shall inform the concerned auditor of his or its appointment, and also file a notice in the Form ADT-1 of such appointment with the Registrar within 15 days of the meeting in which the auditor is appointed.

1.5 Term of Appointment Auditor

According to Section 139 (2), listed companies and the following classes of companies,

a) all unlisted public companies having paid up share capital of ₹ 10 crores or more.
b) all private limited companies having paid up share capital of ₹ 50 crores or more.
c) all companies having paid up share capital of below threshold limit mentioned in (1) and (2) above, but having public borrowings from financial institutions, banks or public deposits of ₹ 50 crores or more.

(except one person companies and small companies) shall not appoint or re-appoint:

a) An individual as auditor for more than one term of 5 consecutive years, and
b) An audit firm as auditor for more than two terms of 5 consecutive years.

Cooling Period

a) An individual auditor who has completed his term (i.e. one term of 5 consecutive years) shall not be eligible for re-appointment as auditor in the same company for 5 years from the completion of his term;
b) An audit firm which has completed its terms (i.e. two terms of 5 consecutive years) shall not be eligible for re-appointment as auditor in the same company for 5 years from the completion of second term.

1.6 Filling up casual vacancy

In Case of Other than Government Company

a) The Board may fill any casual vacancy in the office of an auditor within 30 days but where such vacancy is caused by the resignation of an auditor, such appointment shall also be approved by the company at a general meeting convened within 3 months of the recommendation of the Board.
b) Any auditor appointed in a casual vacancy shall hold office until the conclusion of the next annual general meeting.

In Case of Government Company

a) In the case of a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor General of India, casual vacancy of an auditor be filled by the Comptroller and Auditor General of India within 30 days.
b) In case the Comptroller and Auditor-General of India do not fill the vacancy within the said period, the Board of Directors shall fill the vacancy within next 30 days.

1.7 Rotation of Auditor

According to Section 139 (3), Members of a company may resolve to provide that:

a) in the audit firm appointed by it, the auditing partner and his team shall be rotated at such intervals as may be resolved by members, or
b) audit shall be conducted by more than one auditor.

According to Section 139(4), Manner of rotation of auditors by the companies on expiry of their term,

a) The Audit Committee shall recommend to the Board, the name of an individual auditor or of an audit firm who may replace the incumbent auditor on expiry of the term of such incumbent.
b) Where a company is required to constitute an Audit Committee, the Board shall consider the recommendation of such committee, and in other cases, the Board shall itself consider the matter of rotation of auditors and make its recommendation for appointment of the next auditor by the members in annual general meeting.

For the purpose of the rotation of auditors:

a) in case of an auditor, the period for which the individual or the firm has held office as auditor prior to the commencement of the Act shall be taken into account for calculating the period of 5 consecutive years or 10 consecutive years, as the case may be.
b) the incoming auditor or audit firm shall not be eligible if such auditor or audit firm is associated with the outgoing auditor or audit firm under the same network of audit firms.
c) a break in the term for a continuous period of 5 years shall be considered as fulfilling the requirement of rotation.
d) if a partner, who is in charge of an audit firm and also certifies the financial statements of the company, retires from the said firm and joins another firm of chartered accountants, such other firm shall also be ineligible to be appointed for a period of 5 years.

1.8 Re-appointment of retiring auditor

A retiring auditor may be re-appointed at an AGM, if:

a. he is not disqualified for re-appointment.
b. he has not given the company a notice in writing of his unwillingness to be reappointed, and
c. a special resolution has not been passed at that meeting appointing some other auditor or providing expressly that he shall not be re-appointed.
d. Where at any annual general meeting, no auditor is appointed or re-appointed, the existing auditor shall continue to be the auditor of the company.

1.9 Appointing Auditor other than the Retiring Auditor

According to Section 140(4), If the retiring auditor has not completed a consecutive tenure of 5 years or 10 years in case of firm, special notice shall be required for a resolution at an AGM appointing as auditor a person other than a retiring auditor, or that a retiring auditor shall not be re- appointed.

On receipt of notice of such a resolution, the company shall send a copy to the retiring auditor.

Representation of auditor

Where notice is given of such a resolution and the retiring auditor makes representation in writing to the company and requests its notification to members of the company, the company shall, unless the representation is received by it too late for it to do so,

a) In any notice of the resolution given to members of the company, state the fact of the representation having been made; and
b) Send a copy of the representation to every member of the company to whom notice of the meeting is sent.

If a copy of the representation is not sent to members

1. Either because it was received too late or of the company's default, the auditor may require that the representation shall be read out at the meeting.
2. A copy of such representation shall be filed with the Registrar.

Audit Committee's recommendation

According to Section 139 (11), Where a company is required to constitute an Audit Committee under Section 177, all appointments, including the filling of a casual vacancy of an auditor under this Section shall be made after taking into account the recommendations of such committee.

Concept 2 – Section 140: Removal, resignation of auditor and serving of special notice

2.1 Removal of Auditor

According to Section 140(1), The auditor appointed under Section 139 may be removed from his office before the expiry of his term only,

a) by a special resolution of the company
b) after obtaining the prior approval of the Central Government by making an application in E-Form ADT-2 and shall be accompanied with the prescribed fees.
c) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.
d) The Company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.
e) before taking any action for removal of auditor before the expiry of his term, the auditor concerned shall be given a reasonable opportunity of being heard

2.2 Resignation by Auditor

According to Section 140(2), the Auditor who has resigned from the company,

a) shall file within a period of 30 days from the date of resignation, a statement in the form ADT-3 with the company and the Registrar.
b) In case of government companies or companies controlled by Central Government or State Government, the auditor shall also file such statement with the Comptroller and Auditor General of India also along with company and the Registrar.
c) The auditor shall indicate the reasons and other facts as may be relevant with regard to his resignation, in the statement

2.3 Penalty for Contravention of Section 140(2)

He or it shall be liable for a penalty of ₹ 50,000 or amount equal to the remuneration of auditor, whichever is less and in case of continuing failure, with a further penalty of ₹ 500 for each day after the first during which such failure continues, subject to a maximum of ₹ 2 lakhs.

Concept 3 – Section 141: Qualifications and Disqualifications of an auditor

3.1 Qualifications of an auditor

a) A person shall be eligible to be appointed as auditor of a company only if he is a Chartered Accountant in practice within the meaning of the Chartered Accountants Act, 1949.

b) A firm where majority of partners practicing in India are qualified for appointment as aforesaid may be appointed by its firm name to be auditor of a company.
c) Where a firm including LLP is appointed as an auditor of a company, only the partners who are chartered accountants shall be authorised to act and sign on behalf of the firm.

3.2 Disqualification of an auditor

The following persons shall not be qualified for appointment as auditor of a company:

a) A body corporate other than a limited liability partnership registered under the Limited Liability Partnership Act, 2008.
b) an officer or employee of the company.
c) a person who is a partner, or who is in the employment, of an officer or employee of the company.
d) A person who, or his relative or partner

   i) is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company: (Provided that the relative may hold security or interest in the company of face value not exceeding ₹ 1 Lakh. If the relative acquires any security or interest above the prescribed threshold i.e., ₹ 1 Lakh, the corrective action to maintain the limits as specified above shall be taken by the auditor within 60 days of such acquisition or interest.)
   ii) is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹5 Lakhs, or
   iii) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹1 Lakh.

e) a person or a firm who, whether directly or indirectly, has business relationship with the company, or its subsidiary, or its holding or associate company or subsidiary of such holding company or associate company. Exceptions:
   i) commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm.
   ii) commercial transactions which are in the ordinary course of business of the company at arm 's length price.
f) a person who's relative is a director or is in the employment of the company as a director or key managerial personnel.
g) a person who is in full time employment or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than 20 companies other than OPC, dormant companies, small companies and private companies having paid-up share capital less than ₹ 100 crore rupees
h) a person who has been convicted by a court of an offence involving fraud and a period of 10 years has not elapsed from the date of such conviction.
i) any person who directly or indirectly renders any service referred to in section 144 to the company or its holding company or its subsidiary company.

3.3 Vacation of office by an auditor

If a person appointed as an auditor of a company incurs any of the disqualification specified above, he shall be deemed to have vacated his office. Such vacation shall be deemed to be a casual vacancy in the office of the auditor.

Concept 4 - Section 142: Remuneration of Auditors

Subsequent auditors: The remuneration of auditors has to be fixed by the company in general meeting or in such manner as the general meeting may determine.

First Auditor: While the remuneration of first auditor shall be fixed by the board, which appointed him.

Inclusion and Exclusions

a) The remuneration so fixed is, in addition to the fee payable to an auditor to, includes
b) The expenses, if any, incurred by him in connection with the audit of the company (i.e. out of pocket expense) and
c) Any facility extended to him.

Exclusion: It is not to include any remuneration paid to him for any other service rendered by him at the request of the company.

Concept 5 - Section 143: Powers and duties of auditors and auditing standards

5.1 Powers of Auditors

According to Section 143 (1), Auditor shall have the following powers:

a) Access to books of account and vouchers
b) Entitled to have necessary information and explanation
c) Access to record of all its subsidiaries

5.2 Duties of auditors

According to Section 143(1), The auditor shall inquire into the following matters, namely

1. Whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members;
2. Whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company;
3. Where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company;
4. Whether loans and advances made by the company have been shown as deposits;
5. Whether personal expenses have been charged to revenue account;

6. Where it is stated in the books and documents of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance sheet is correct, regular and not misleading.

The auditor shall make a report to the members of the company on the following:

a) On the accounts examined by him and
b) On every financial statements which are required by or under this Act to be laid before the company in general meeting.

The auditor while making the report shall take into account the accounting and auditing standards and matters which are required to be included in the audit report.

The auditor shall express his opinion of the accounts and financial statements examined by him. He shall express the opinion which according to him and to the best of his information and knowledge, whether the said accounts, financial statements give a true and fair view of the state of the company's affairs as at the end of its financial year and profit or loss and cash flow for the year.

The auditors' report shall also state:

a) Whether he has sought and obtained all the information and explanations which to the best of his knowledge and belief were necessary for the purpose of his audit and if not, the details thereof and the effect of such information on the financial statements;
b) Whether, in his opinion, proper books of account as required by law have been kept by the company so far as appears from his examination of those books and proper returns adequate for the purposes of his audit have been received from branches not visited by him;
c) Whether the report on the accounts of any branch office of the company audited by a person other than the company's auditor has been sent to him and the manner in which he has dealt with it in preparing his report;
d) Whether the company's balance sheet and profit and loss account dealt with in the report are in agreement with the books of account and returns;
e) Whether, in his opinion, the financial statements comply with the accounting standards;
f) The observations or comments of the auditors on financial transactions or matters which have any adverse effect on the functioning of the company;
g) Whether any director is disqualified from being appointed as a director under sub section (2) of section 164;
h) Any qualification, reservation or adverse remark relating to the maintenance of accounts and other matters connected therewith;
i) Whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;
j) Such other matters as may be prescribed, namely:

    i) whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement.
    ii) whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses, if any, on long term contracts including derivative contracts.

iii) whether there has been any delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company.
iv) Such other matters as may be prescribed.

5.3 Compliance with auditing standards

According to Section 143(9), Every auditor shall comply with the auditing standards.

The Central Government may prescribe the standards of accounting or any, as recommended by the Institute of Chartered Accountants of India, constituted under the Chartered Accountants Act, 1949 in consultation with and after examination of the recommendations made by the National Financial Reporting Authority (NFRA).

5.4 Audit of Government Companies

In the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor General of India shall direct auditor the manner in which the accounts of the Government company are required to be audited and thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor General of India.

The audit report among other things, include the following:

a) the directions, if any, issued by the Comptroller and Auditor General of India
b) the action taken thereon and
c) its impact on the accounts and financial statement of the company.

The Comptroller and Auditor General of India shall within 60 days from the date of receipt of the audit report have a right to:

a) conduct a supplementary audit of the financial statement of the company by such person or persons as he may authorise in this behalf and for the purposes of such audit, as the Comptroller and Auditor General of India may direct, and
b) comment upon or supplement such audit report.

Any comments given by the Comptroller and Auditor General of India upon, or supplement to, the audit report shall be sent by the company to every person entitled to copies of audited financial statements and also be placed before the AGM of the company.

The Comptroller and Auditor General of India may by an order conduct test audit of the accounts of government company under this section.

5.5 Audit of accounts of branch office of company (Section 143(8))

Branch office in India:

Where a company has a branch office, the accounts of that office shall be audited either by:

a) the company's auditor or
b) by any other person qualified under Section 139.

Branch office outside India:

If the branch office is situated in a country outside India, the accounts of the branch office shall be audited either by:

i) the company's auditor or
ii) by an accountant or
iii) by any other person duly qualified to act as an auditor in accordance with the laws of that country.

a) The duties and powers of the company's auditor are applicable to the branch auditor.
b) The branch auditor shall prepare a report on the accounts of the branch examined by him and send it to the auditor of the company who shall deal with it in his report

5.6 Reporting of frauds by auditors (Section 143 (12))

Fraud involving amount of ₹ 1 crore or more

If an auditor of a company, in the course of the performance of his duties as auditor,

a) Has reason to believe that an offence involving fraud
b) Which involves or is expected to involve individually an amount of ₹ 1 crore or more

is being or has been committed against the company by officers or employees of the company. He shall immediately report the matter to the Central Government within such time and in such manner as may be prescribed.

the auditor shall report the matter to the Central Government in following manner

a) The auditor shall report the matter to the Board or the Audit Committee immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days;
b) On receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments to the Central Government within 15 days from the date of receipt of such reply or observations;
c) In case the auditor fails to get any reply or observations from the Board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply.
d) The report shall be filed electronically in Form ADT-4.

Fraud involving amount less than ₹ 1 crore

In case of a fraud involving lesser than an amount of rupees one crore, the auditor shall report the matter to the audit committee or to the Board immediately but not later than 2 days of his knowledge of the fraud and he shall report the matter specifying the following;

a) Nature of Fraud with description;
b) Approximate amount involved; and
c) Parties involved.

Disclosure in Board's Report

The audit committee or the Board shall disclose the following details about such frauds (reported to them, but not to the Central Government), in the Board's report;

a) Nature of fraud with description
b) Approximate amount involved
c) Parties involved, if remedial action not taken and
d) Remedial actions taken.

Section 143 (12) is also applicable to Cost accountants in practice conducting Cost audits under Section 148.

Penalty for non-compliance of section 143(12)

If any auditor, cost accountant, or company secretary in practice does not comply with the provisions of sub-section (12), he shall

a) Be liable to a penalty of ₹ 5 lakhs in case of a listed company; and
b) Be liable to a penalty of ₹ 1 lakh in case of any other company.

Concept 6 - Section 144: Auditor not to render certain services

An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be.

But such services shall not include any of the following services (whether such services are rendered directly or indirectly to the company or its holding company or subsidiary company), namely:

a) accounting and book keeping services.
b) internal audit.
c) design and implementation of any financial information system
d) actuarial services
e) investment advisory services
f) investment banking services.
g) rendering of outsourced financial services.
h) management services and
i) any other kind of services as may be prescribed.

Concept 7 - Section 145: Auditors to sign audit reports

a) The person appointed as an auditor of the company shall sign the auditor's report or sign or certify any other document of the company (i.e. in case of firm including LLP, only Chartered Accountants are authorised to act and sign).
b) The qualifications, observations or comments on financial transactions which have any adverse effect on the company mentioned in the auditor' report shall be read before the company in general meeting and shall be open to inspection by any member of the company.

Concept 8 - Section 146: Auditors to attend general meeting

a) All notices of and other communications relating to, any general meeting shall be forwarded to the auditor of the company.
b) The auditor shall, unless otherwise exempted by the company, attend either by himself or through his authorised representative, who shall also be qualified to be an auditor, any general meeting.
c) The auditor shall have right to be heard at such meeting on any part of the business which concerns him as the auditor.

Concept 9 - Section 147: Punishment for contravention

Penalty on company

According to Section 147(1), If any of the provisions of Sections 139 to 146 is contravened, the company shall be punishable with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 5 lakhs.

Penalty on officers

According to Section 147(1), If any of the provisions of Sections 139 to 146 is contravened, every officer of the company who is in default shall be punishable with fine which shall not be less than ₹ 10,000 but which may extend to ₹ 1 lakh.

Penalty on auditor

According to Section 147(2), If an auditor of a company contravenes any of the provisions of section 139, section 144 or section 145, the auditor shall be punishable with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 5 lakhs or 4 times the remuneration of the auditor, whichever is less.

If an auditor has contravened any of the provisions of section 139, section 144 or section 145, knowingly or wilfully with the intention to deceive the company or its shareholders or creditors or tax authorities, he shall be punishable with the imprisonment for a term which may extend to 1 year and with the fine which shall not be less than ₹ 50,000 but which may extend to ₹ 25 lakhs or eight times the remuneration of the auditor, whichever is less

Refund of Renumeration

According to Section 147(3), Where an auditor has been convicted above shall be liable to,

a) refund the remuneration received by him to the company, and
b) Pay for damages to the company, statutory bodies or authorities or to members or creditors of the company for loss arising out of incorrect or misleading statements made in his audit report.

Liability of Audit firm

According to Section 147(5), Where, in case of audit of a company being conducted by an audit firm,

It is proved that the partner or partners of the audit firm has or have acted in a fraudulent manner or colluded in any fraud by the company or its directors or officers, the liability for such act shall be of the partner or partners concerned of the audit firm and of the firm jointly and severally.

Concept 10 - Section 148: Cost Audit

According to Section 148,

a) the Central Government may order such class of companies engaged in the production of such goods or providing such services, that particulars relating to the utilisation of material, labour or to other items of cost also be included in the books of account kept under Section 128 in Form CRA-1.
b) the Central Government may, by order, direct that the audit of cost records of class of companies, shall be conducted in the manner specified in the order.

The cost audit shall be conducted by a Cost Accountant in practice who shall be appointed by the Board on such remuneration as recommended by the Audit Committee and shall be ratified by shareholders.

Concept – 11 Company Auditor Report Order (CARO) Rules

MCA has notified Companies (Auditor's Report) Order, 2020 on 25th February, 2020 which replaced CARO, 2016. It is a new format of reporting of statutory audit. CARO, 2020 is applicable for all statutory audits commencing on or after 1.4.2020 corresponding of Financial Year 2019-20. However, by notification, applicability of CARO has been deferred by one year. Now, CARO 2020 is applicable for all statutory audits commencing on or after 01.04.2021 corresponding to the financial year 2020-21

CARO 2020 is applicable to every company including a foreign company

The following classes of companies are outside the purview of the CARO 2020.

a) Banking company
b) Insurance company
c) Company licensed to operate under Section 8
d) A one person company
e) A small company

f) The auditor of following type of Private Companies are not required to comment on the matter prescribed under CARO 2020:
   i) is not holding or subsidiary company of a public company, and
   ii) having a paid up capital and reserve and surplus not more than ₹ 1 crore as on the balance sheet date and
   iii) which does not have total borrowing exceeding ₹ 1 crore from any bank and financial institution at any point of time during the financial year, and
   iv) which does not have total revenue as disclosed in the Schedule III (including revenue from discontinuing operations) exceeding ₹ 10 crores during the financial year.

Matters included in CARO 2020 are discussed below:

Clause (i) - Property, Plant & Equipment (PPE)

a) Whether the company is maintaining proper records showing full particulars including quantitative details and situation of PPE & full particulars of intangible assets.
b) Whether these fixed asset have been physically verified by management at reasonable interval, whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account.
c) Matters relating to title deeds not in the name of the company, revaluation etc.
d) Whether the company has revalued its PPE or intangible assets and in this respect any material discrepancies of 10% or more has been observed.
e) Whether any proceeding have been initiated or pending against the company for holding any benami property.

Clause (ii) - Inventory

a) Whether physical verification of inventory has been conducted at reasonable interval by the management, any material discrepancies of 10% or more has been noticed on such verification and if so, whether the same has been properly dealt with in the books of account
b) Whether during any point of time, the company has been sanctioned working capital limits in excess of ₹ 5 crores.

Clause (iii) - Investment / providing any guarrantee or security or granted loan and advances

a) Whether the company has granted any loans, secured or unsecured to companies, firms, LLP or other parties.
b) Whether terms and conditions of the grant of such loan are not prejudicial to the company's interest.
c) Whether the schedule of repayment of principal and payment of interest has been stipulated and whether the repayments and receipts are regular
d) If the amount is overdue, state the total amount overdue, state the total amount overduefor more than 90 days and whether reasonable steps have been taken by the company for recovery of principal.

Clause (iv) - Compliance with Sec 185 & 186 of the Companies Act, 2013

Clause (v) - Acceptance of Deposits

In case the company has accepted deposits, whether the following has been complied with:

a) Directives issued by the Reserve Bank of India
b) Section 73 to 76 of Companies Act, 2013 and the rules framed there under, and
c) Nature of contraventions, due to non compliance

Clause (vi) - Maintaining of Cost Records

If the companies required to maintain any cost records whether such records have been maintained and non- compliance, if any.

Clause (vii) - Depositing Statutory Dues

a) Whether the company is regular in depositing statutory dues with the appropriate authorities. If not the extent of arrears of outstanding statutory dues as at the last day of the financial year concerned for a period of more than 6 months from the date they become payable, shall be indicated by the auditor.
b) In case disputed statutory dues, the amount involved and the forum where dispute is pending.

Clause (viii) - Reporting of Transactions not covered in books of Accounts

Clause (ix) - Repayment of Loan

Whether the company has defaulted in repayment of loans and borrowing to a financial institution, banks, government or dues to debenture holders. If yes, the period and the amount of default to be reported.

Clause (x) - Money raised through IPO and further public offer

Clause (xi) - Disclosure regarding Fraud

Clause (xii) - Nidhi Company

Whether the Nidhi company has complied with the net owned funds to deposit in the ratio of 1:20 to meet out the liability and whether the Nidhi company is maintain 10% unencumbered term deposit to meet out the liability. Details of any default in payment of interest on deposits or repayment.

Clause (xiii) - Related Party Transaction

Clause (xiv) - Internal Audit .

Clause (xv) - Non Cash Transaction

Clause (xvi) - Registration under Section 451A of the Reserve Bank of India Act, 1934

Clause (xvii) - Report on cash losses

Clause (xviii) - Reporting on auditor's resignation

Clause (xix) - Reporting on financial position

Clause (xx) - Reporting on CSR compliance

Clause (xxi) - Reporting on Consolidated financial statement

The Companies Act, 2013

Unit 05

Board of Directors

Sections **149 - 169**



Concept 1 – Introduction

1.1 Meaning

a) A director of a company can be either an owner/promoter or a professional appointed to manage the company, and they play a crucial role in formulating policies and overseeing operations to achieve the company's objectives.
b) The Board of Directors is a collective body appointed according to the Companies Act and Articles of Association, holding the authority to manage the company's affairs, except for certain powers reserved for the shareholders in general meetings.
c) Directors act as the guiding force of the company, serving as officers rather than servants, and are responsible for safeguarding the company's assets and working in the best interest of stakeholders.

1.2 Definitions

According to Section 2(10), Board of Directors or Board, in relation to a company, means the collective body of directors of the company
According to Section 2(34), Director means a director appointed to the Board of the company.

Chapter XI of the Companies Act, 2013 contains provisions related to Appointment and Qualifications of Directors.

Concept 2 – Section 149: Company to have Board of Directors

2.1 Minimum and Maximum number of Directors

According to Section 149 (1), every company shall have a Board of Directors consisting of individuals as directors and shall have:

a) Minimum number of directors
   (i) Public company - 3
   (ii) Private Company - 2
   (iii) One Person company (OPC) – 1
b) Maximum number of directors shall be 15

As per Proviso 1 of Section 149 (1), If the company wants to appoint more than 15 directors, it can do so after passing a special resolution.

Clause b) and proviso 1 is not applicable in case of Government and section 8 companies. Exemption is applicable only if such companies have not committed a default in filing its financial statements (under section 137) or Annual return (under section 92) with the Registrar.

2.2 Women director

As per Proviso 2 of Section 149 (1), At least 1 woman director shall be on the Board of such class or classes of companies as may be prescribed.

a) every listed company
b) every other public company having.
   i) paid-up share capital of ₹ 100 crores or more (or)
   ii) turnover of ₹ 300 crores or more.

A company, which has been incorporated under the Act and is covered under provisions of Proviso 2 of Section 149 (1) shall comply with such provisions within a period of 6 months from the date of its incorporation.
Further, any intermittent vacancy of a woman director shall be filled-up by the Board at the earliest but not later than next Board meeting or 3 months from the date of such vacancy whichever is later.

2.3 Resident Director

According to Section 149 (3), Every company shall have at least one director who stays in India for a total period of not less than 182 days during the financial year.

2.4 Independent Director

According to Section 149(4), Every listed public company shall have at least 1/3rd of the total number of directors as independent directors.
Any fraction contained in such one-third numbers shall be rounded off as one.

According to the Rule 4 of the Companies Appointment and Qualification of Directors) Rules, 2014, the following classes of companies shall have at least 2 directors as independent directors:

a) Public Companies having paid up share capital of ₹ 10 crores or more (or)
b) Public Companies having turnover of ₹ 100 crores or more (or)
c) Public Companies which have, in aggregate, outstanding loans, debentures and deposits, exceeding ₹ 50 crores. (figures as on last day of the audited final statement)

However, in case a company covered under the above rule is required to appoint a higher number of independent directors due to composition of its audit committee, such higher number of independent directors shall be applicable to it.

Further, any intermittent vacancy of an independent director shall be filled-up by the Board at the earliest but not later than next Board meeting or 3 months from the date of such vacancy, whichever is later.

2.5 Qualifications of an Independent Director

According to Section 149(6), An independent director in relation to a company, means a director other than a managing director or a whole-time director or a nominee director, who:
a) in the opinion of the Board, is a person of integrity and possesses relevant expertise and experience
b) is/was not a promoter of the company or its holding, subsidiary or associate company
c) is not related to promoters or Directors in the company, its holding, subsidiary or associate company

d) has or had no pecuniary relationship (other than remuneration as such director or having transaction not exceeding 10% of his total income or such amount as may be prescribed) with the company, its holding, subsidiary or associate company, or their promoters, or Directors, during the 2 immediately preceding financial years or during the current financial year

e) none of whose relatives—

i) is holding any security of or interest in the company, its holding, subsidiary or associate company during the 2 immediately preceding financial years or during the current financial year.

Provided that the relative may hold security or interest in the company of face value not exceeding ₹ 50 lakhs or 2% of the paid-up capital of the company, its holding, subsidiary or associate company or such higher sum as may be prescribed

ii) is indebted to the company, its holding, subsidiary or associate company or their promoters, or Directors, for such amount as may be prescribed (₹ 50 lakhs) during the 2 immediately preceding financial years or during the current financial year.

iii) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, its holding, subsidiary or associate company or their promoters, or Directors of such holding company, for such amount as may be prescribed (₹ 50 lakhs) during the 2 immediately preceding financial years or during the current financial year (or)

iv) has any other pecuniary transaction or relationship with the company, or its subsidiary, or its holding or associate company amounting to 2% or more of its gross turnover or total income singly or in combination with the transactions referred above.

f) who, neither himself nor any of his relatives

i) holds or has held the position of a KMP or is or has been employee of the company or its holding, subsidiary or associate company in any of the 3 financial years immediately preceding the financial year in which he is proposed to be appointed

Provided that in case of a relative who is an employee, the restriction under this clause shall not apply for his employment during preceding 3 financial years.

ii) is or has been an employee or proprietor or a partner, in any of the 3 financial years immediately preceding the financial year in which he is proposed to be appointed, of:

- a firm of auditors or company secretaries in practice or cost auditors of the company or its holding, subsidiary or associate company; or
- any legal or a consulting firm that has or had any transaction with the company, its holding, subsidiary or associate company amounting to 10% or more of the gross turnover of such firm;

iii) holds together with his relatives 2% or more of the total voting power of the company or

iv) is a Chief Executive or director, by whatever name called, of any non-profit organisation that receives 25% or more of its receipts from the company, any of its promoters, Directors or its holding, subsidiary or associate company or that holds 2% or more of the total voting power of the company;

g) who possesses such other qualifications as may be prescribed.

Every independent director shall at the first meeting of the Board in which he participates as a director and thereafter at the first meeting of the Board in every financial year or whenever there is any change in the circumstances which may affect his status as an independent director, give a declaration that he meets the criteria of independence.

Independent director shall have to get himself registered with Data Bank maintained by Indian Institute of Corporate Affairs (IICA). They have to pass an examination conducted by IICA. No examination shall be required for persons:

a) Person has served 3 years or more as a Director/KMP
b) 10 years as an advocate, practicing CA/CMA/CS
c) Working in pay scale of directors, equivalent in CG/SG in matter relating to commerce, corporate, finance, industry etc

Concept 3 – Section 152: Appointment of Directors

3.1 First Directors

According to Section 152(1), Where no provision is made in the articles of a company for the appointment of the first director, the subscribers to the memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed.
In case of a One Person Company, an individual being member shall be deemed to be its first director until the director or directors are duly appointed by the member in accordance with the provisions of this section.

3.2 Subsequent Directors

According to Section 152(2), Save as otherwise provided in this Act, Every director shall be appointed by the company in general meeting.

3.3 Requirement of Director Identification Number (DIN)

According to Section 152(3), No person shall be appointed as a director of a company unless he has been allotted the Director Identification Number (DIN).

3.4 Declaration and Consent by the Director

According to Section 152(4), Every person proposed to be appointed as a director by the company in general meeting or otherwise, shall furnish his Director Identification Number (DIN) and a declaration that he is not disqualified to become a director under this Act.

According to Section 152(5), A person appointed as a director shall not act as a director unless he gives his consent to hold the office as director and such consent has been filed with the Registrar within 30 days of his appointment in Form DIR-12 along with the fee as prescribed by the Company.

Director shall submit form DIR-2 with the Company on or before the appointment, containing DIN, his declaration and consent.

The Ministry of Corporate Affairs has clarified via Notification that section 152 (5) shall not apply:

a) where appointment of such director is done by the Central Government or State Government, as the case may be.
b) to a section 8 company.

Concept 4 – Section 153 – 159: Director Identification Number (DIN) Provisions

Obtaining DIN is a unique number allotted to a person acting as director and there cannot be two DIN of the same person like Aadhar and PAN. 'Director Identification Number' (DIN) means an identification number allotted by the Central Government to a director.

4.1 Application for allotment of Director Identification Number

According to Section 153, Every Individual intending to be appointed as director of a company shall make an application for allotment of DIN to the Central Government in such form and manner and along with such fees as may be prescribed.

Rule 9 of the Companies (Appointment and Qualification of Directors) Rules, 2014 provides a detailed procedure for making application for allotment of DIN. The procedure is detailed below:

a) Every applicant, who intends to be appointed as director of an existing company shall make an application electronically in Form DIR-3, to the central Government for allotment of a DIN along with such fees.
b) Provided that in case of proposed directors not having approved DIN, the particulars of maximum 3 directors shall be mentioned in Form No INC-32 (spice+) and DIN may be allotted to maximum 3 proposed directors through Form INC-32 (spice+)
c) The applicant shall download Form DIR-3 from the portal, fill in the required particulars, verify and sign the form through digital signature and after attaching copies of the following documents, scan and file the entire set of documents electronically:
   i) Photograph
   ii) proof of identity
   iii) proof of residence
   iv) Board resolution proposing his appointment as director in an existing company
   v) specimen signature duly verified.
d) Form DIR-3 shall be signed and submitted electronically by the applicant using his or her own Digital Signature Certificate and shall be verified digitally by a company secretary in full time employment of the company or by the managing director or director or CEO or CFO of the company in which the applicant is intended to be appointed as director in an existing company.
e) In case the name of a person does not have a last name, then his or her father's or grandfather's surname shall be mentioned in the last name along with the declaration in Form No. DIR-3A.

4.2 Allotment of Director Identification Number

According to Section 154, The Central Government shall, within 1 month from the receipt of such application under Section 153, allot a Director Identification Number to the applicant in the following manner. process the applications received for allotment of DIN and decide on the approval or rejection thereof and communicate the same to the applicant along with the DIN allotted in case of approval by way of a letter by post or electronically or in any other mode,

Rule 10 of the Companies (Appointment and Qualification of Directors) Rules, 2014 provides the procedure for allotment of DIN according to which:

a) On the submission of the Form DIR-3 on the portal an application number shall be generated by the system automatically.
b) After generation of application number, the Central Government shall process the applications received for allotment of DIN and decide on the approval or rejection and communicate the same to the applicant along with the DIN allotted in case of approval by way of a letter by post or electronically or in any other mode, within a period of 1 month from the receipt of the application.
c) If the Central Government finds such application to be defective or incomplete, it shall give intimation, by placing it on the website and by email to the applicant.
d) Applicant shall rectify the defects or incompleteness by resubmitting the application within a period of 15 days of such placing on the website and email.
e) Provided that the Central Government shall:
   i) reject the application and direct the applicant to file fresh application with complete and correct information, where the defect has been rectified partially or the information given is still found to be defective.
   ii) treat and label such application as invalid in case the defects are not removed within the given time and
   iii) inform the applicant either by way of letter by post or electronically or in any other mode.
f) In case of rejection or invalidation of application, the fee so paid with the application shall neither be refunded nor adjusted with any other application.
g) The DIN so allotted under these rules is valid for the life-time of the applicant and shall not be allotted to any other person.

4.3 Prohibition to obtain more than one DIN

According to Section 155, No individual, who has already been allotted a DIN under section 154, shall apply for, obtain or possess another DIN.

4.4. Director to intimate DIN

According to Section 156, every existing director shall, within 1 month of the receipt of DIN from the Central Government, intimate his DIN to the company or all companies wherein he is a director.

4.5. Company to inform DIN to Registrar

According to Section 157(1), Every company shall within 15 days of the receipt of intimation under section 156, furnish the DIN of all its directors to the Registrar with such fees as may be prescribed or with such additional fees as may be prescribed.
According to Section 157(2), If a company fails to furnish the DIN under sub-section (1), such company shall be liable to penalty of ₹ 25,000 and in case of continuing failure, with further penalty of ₹ 100 for each day during which such default continues, subject to maximum of ₹ 1,00,000, and every officer of the company who is in default shall be liable to a penalty of not less than ₹ 25,000 and in case of continuing failure, with further penalty of ₹ 100 for each day during which such default continues, subject to maximum of ₹ 1,00,000.

According to Rule 10A of the Companies (Appointment and Qualification of Directors) Amendment Rules, 2014:

a) Every director, functioning as a director in one or more companies on or before the 30th June, 2007 and who has not yet intimated his DIN to such company or companies shall, within 1 month of the receipt of DIN from the Central Government, intimate his DIN to the company or all companies wherein he is a director as per Form DIR-3B.
b) The intimation by the company of DIN of its directors under section 157 of the Act shall be furnished in Form DIR-3C within 15 days of receipt of intimation under section 156.

4.6 Obligation to indicate DIN

According to section 158, every person or company, while furnishing any return, information or particulars as are required to be furnished under this Act, shall mention the DIN in such return, information or particulars in case related to the director.

4.7 Punishment for contravention

According to Section 159, If any individual or director of a company makes any default in complying with section 152, section 155 or section 156, shall be liable to a penalty which may extend to ₹ 50,000 and where the default is a continuing one, with a further penalty which may extend to ₹ 500 for each day after the first during which such default continues.

4.8 Cancellation or Surrender or Deactivation of DIN

The Central Government or any officer authorised may, upon being satisfied on verification of particulars or documentary proof attached with the application received cancel or deactivate the DIN in case:

a) the DIN is found to be duplicated
b) the DIN was obtained in a wrongful manner or by fraudulent means
c) of the death of the concerned individual.
d) the concerned individual has been declared as a person of unsound mind by a competent Court
e) if the concerned individual has been adjudicated an insolvent.
f) on an application made in Form DIR-5 by the DIN holder to surrender his or her DIN along with declaration that he has never been appointed as director in any company and said DIN has never been used for filing of any document with any authority, the Central Government may deactivate such DIN.

4.9 Intimation of changes in particulars specified in DIN application

Every individual who has been allotted a DIN under these rules shall, in the event of any change in his particulars as stated in Form DIR-3, intimate such changes to the Central Government within a period of 30 days of such changes in Form DIR-6 in the following manner:
a) The applicant shall download Form DIR-6 from the portal, fill in the relevant changes, verify the Form and attach duly scanned copy of the proof of the changed particulars and submit electronically.
b) the form shall be digitally signed by a CA or a CS or a CMA in practice.
c) the applicant shall submit the Form DIR-6.

d) The Central Government, upon being satisfied, after verification of such changed particulars from the enclosed proofs, shall incorporate the said changes and inform the applicant by way of a letter by post or electronically or in any other mode confirming the effect of such change in the electronic database maintained by the Ministry.
e) The DIN cell of the Ministry shall also intimate the changes in the particulars of the director submitted to it in Form DIR-6 to the concerned Registrar under whose jurisdiction the registered office of the company in which such individual is a director is situated.
f) The concerned individual shall also intimate the changes in his particulars to the company or companies in which he is a director within 15 days of such change.

Concept 5 – Section 152: Rotational and non-rotational directors

5.1 Rotation of Directors

According to Section 152(6), Unless the articles provide for the retirement of all the directors at every AGM, not less than 2/3rd of total number of directors of public company shall,
(i) be the persons whose period of office is liable to determination by retirement of directors by rotation and
(ii) save as otherwise expressly provided in this Act, be appointed by the company in general meeting.
The Remaining directors, shall, unless otherwise expressly provided in this Act, be appointed by the company in general meeting.
For the purposes of this section, "total number of directors" shall not include –

- Independent directors
- Nominee directors
- Small shareholder directors

a) At the first annual general meeting of a public company held after the date of the general meeting at which the first directors are appointed and at every subsequent annual general meeting, 1/3rd of such of the directors for the time being as are liable to retire by rotation, the number nearest to one-third, shall retire from office.
b) The retiring directors shall be those who have been longest in office since their last appointment, but as between persons who became directors on the same day, those who are to retire shall, in subject to any agreement among themselves, be determined by lot.
c) At the annual general meeting at which a director retires as aforesaid, the company may fill up the vacancy by appointing the retiring director or some other person thereto.

5.2 Vacancy in case of retiring director

According to Section 152(7),
a) If the vacancy of the retiring director is not so filled-up and the meeting has not expressly resolved not to fill the vacancy, the meeting shall stand adjourned till the same day in the next week, at the same time and place, or if that day is a national holiday, till the next succeeding day which is not a holiday, at the same time and place.
b) If at the adjourned meeting also, the vacancy of the retiring director is not filled up and that meeting also has not expressly resolved not to fill the vacancy, the retiring director shall be deemed to have been re-appointed at the adjourned meeting, unless:
   i) at that meeting or at the previous meeting a resolution for the re-appointment of such director has been put to the meeting and lost.

ii) the retiring director has, by a notice in writing addressed to the company or its Board of directors, expressed his unwillingness to be so re-appointed.
iii) he is not qualified or is disqualified for appointment.
iv) a resolution, whether special or ordinary, is required for his appointment or re appointment by virtue of any provisions of this Act.
v) Section 162 is applicable to the case.

5.3 Non applicability of section 152 (6) and (7)

a) A Government company, which is not a listed company in which not less than 51% of paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments;
b) A subsidiary of a Government company, referred to in (a) above.

Concept 6 - Section 160: Right of persons other than retiring directors to stand for directorship

According to Section 160(1), A person who is not a retiring director shall, subject to the provisions of this Act, be eligible for appointment to the office of a director at any general meeting, if he, or some member intending to propose him as a director, has, not less than 14 days before the meeting, left at the registered office of the company, a notice in writing under his hand signifying his candidature as a director or, as the case may be, the proposal of such member to consider him as a candidate for director, along with the deposit of ₹ 1,00,000 and shall be refunded to such person or to the member, if the person proposed get selected as a director or gets more than 25% of the total valid votes on such resolution.

Requirement of deposit shall not apply in the following cases of appointment of directors
a) Independent director
b) if the appointment of director is recommended by Nomination and Remuneration committee/Board.

According to Section 160(2), the company shall inform its members of the candidature of a person in the prescribed manner in Rule 13 of the Companies (Appointment and Qualification of Directors) Rules, 2014:

a) The company shall, at least 7days before the general meeting, inform its members of the candidature of a person for the office of a director.
b) by serving individual notices, on the members through electronic mode to such members who have provided their email addresses to the company for communication purposes, and in writing to all other members and
c) by placing notice of such candidature or intention on the website of the company
d) However, it shall not be necessary for the company to serve individual notices upon the members as aforesaid, if the company advertises such candidature or intention, not less than 7days before the meeting at least once in a vernacular newspaper in the principal vernacular language of the district in which the registered office of the company is situated, and at least once in English language in an English newspaper circulating in that district.

Non-Applicability of Section 160:

a) A Government company in which the entire paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments.
b) A subsidiary of a Government company, referred to in (a) above, in which the entire paid up share capital is held by the Government company.
c) A Private company
d) Section 8 Companies whose articles provide for election of directors by ballot.

Concept 7 - Section 161: Appointment of Additional, Alternate and Nominee director

7.1 Additional Director

According to Section 161(1),

a) The Board of Directors of a company may, if so authorised by its articles, can appoint an additional director at any time.
b) In order the get the services, guidance and expertise of such persons, Board of directors have been given the power to select a person as director till next AGM.
c) A person, who fails to get appointed as a director in a general meeting, cannot be appointed as an additional director.
d) Additional director shall hold office up to the date of the next AGM or the last date on which the AGM should have been held, whichever is earlier.

7.2 Alternate Director

According to Section 161(2),

a) The Board of Directors of a company may, if so authorised by its articles or by a resolution passed by the company in general meeting, appoint a person to act as an alternate director in place of another director (original director) during his absence for a period of not less than 3 months from India.
b) A person who is holding any alternate directorship for any other director in the company or holding directorship in the company cannot be considered for appointment as above.
c) No person shall be appointed as an alternate director for an independent director unless he is qualified to be appointed as an independent director.
d) An alternate director shall not hold office for a period longer than that permissible to the original director in whose place he has been appointed and shall vacate the office if and when the original director returns to India.
e) Any provision for the automatic re-appointment of retiring directors in default of another appointment shall apply to the original, and not to the alternate director.
f) whether an alternate director shall be appointed or not and who shall be appointed is the prerogative of the Board and not the decision of the original director.

7.3 Nominee Director

According to Section 161(3), subject to the articles of a company, the Board may appoint any person as a director nominated by any institution in pursuance of the provisions of any law for the time being in force or of any agreement or by the Central Government or the State Government by virtue

of its shareholding in a Government company. It is worth mentioning here "nomination" do not mean "appointment". The person appointed shall have to be appointed in the proper manner.

7.4 Casual Vacancy

According to Section 161 (4),

a) If the office of any director appointed is vacated before his term of office expires in the normal course, the resulting casual vacancy may be filled by the Board of Directors at a meeting of the Board which shall be subsequently approved by the members in immediately next GM.
b) Any person so appointed shall hold office only up to the date up to which the director in whose place he is appointed would have held office if it had not been vacated.

Concept 8 - Section 151: Appointment of Directors elected by Small shareholders

There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholders.

According to Section 151, A listed company may have one director elected by such small shareholders in such manner and on such terms and conditions as may be prescribed.

Meaning - "Small Shareholders" means a shareholder holding shares of nominal value of not more than ₹ 20,000 or such other sum as may be prescribed.

The Companies (Appointment and Qualification of Directors) Rules, 2014 provides for the procedure for appointment of small shareholders' director according to which:

a) A listed company, may upon notice of not less than
   i) 1000 small shareholders, or
   ii) 1/10th of the total number of such shareholders, whichever is lower
   have a small shareholders' director elected by the small shareholders.
b) However, a listed company may opt to have a director representing small shareholders' suo moto
c) The small shareholders intending to propose a person as a candidate for the post of small shareholders' director shall leave a notice of their intention with the company at least 14 days before the meeting under their signatures specifying the name, address, shares held and folio number of the person whose name is being proposed for the post of director and of the small shareholders who are proposing such person for the office of director.
d) The notice shall be accompanied by a statement signed by the person whose name is being proposed for the post of small shareholders' director stating:
   i) his DIN
   ii) that he is not disqualified to become a director under the Act
   iii) his consent to act as a director of the company.
e) Such director shall be considered as an independent director subject to, his being eligible under section 149(6) and his giving a declaration of his independence
f) The appointment of small shareholders' director shall be subject to the provisions of section 152 except that:
   i) such director shall not be liable to retire by rotation

ii) such director's tenure as small shareholders' director shall not exceed a period of 3 consecutive years;
iii) on the expiry of the tenure, such director shall not be eligible for re-appointment.

g) A person appointed as small shareholders' director shall vacate the office if:
   i) the director incurs any of the disqualifications specified in section 164
   ii) the office of the director becomes vacant in pursuance of section 167
   iii) the director ceases to meet the criteria of independence.

h) No person shall hold the position of small shareholders' director in more than two companies at the same time. However, the second company in which he has been so appointed shall not be in a business which is competing or is in conflict with the business of the first company.

i) A small shareholders director shall not, for a period of 3 years from the date on which he ceases to hold office as a small shareholders' director in a company, be appointed in or be associated with such company either directly or indirectly.

Concept 9 - Section 163: Proportional representation for appointment of Directors

According to Section 163,

a) The articles of a company may provide for the appointment of not less than 2/3rd of the total number of the directors of a company with the principle of proportional representation.
b) Such appointments may be made once in every 3 years.

These systems of voting ensure that the Board will have fair representation of the minority interest.

The section 163 shall not apply to:

a) A Government company in which the entire paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments
b) A subsidiary of a Government company, referred to in (a) above, in which the entire paid up share capital is held by the Government company.

Concept 10 - Section 164: Disqualifications for appointment of Director

10.1 Disqualifications of the Individual Director

According to this Section 164(1), A person shall not be eligible for appointment as a director of a company, if:

a) he is of unsound mind declared by a competent court
b) he is an undischarged insolvent
c) he has applied to be adjudicated as an insolvent and his application is pending
d) he has been convicted by a court of any offence and sentenced to imprisonment for not less than 6 months and a period of 5 years has not elapsed from the date of expiry of the sentence. However, if a person has been convicted of any offence and sentenced to imprisonment for a period of 7 years or more, he shall not be eligible to be appointed as a director in any company.
e) an order disqualifying him for appointment as a director has been passed by a court or Tribunal and the order is in force.
f) he has not paid any calls in respect of any shares of the company held by him and 6 months have elapsed from the last day fixed for the payment of the call.
g) he has been convicted of the offence of dealing with related party transactions under section 188 at any time during the last preceding 5 years

h) he is not allotted DIN
i) he has not complied with Section 165 relating to holding of maximum number of directorship.

10.2 Disqualification arising due to the actions of the Company

According to Section 164(2), No person who is or has been a director of a company which:
a) has not filed financial statements or annual returns for any continuous period of 3 financial years or
b) has failed to repay the deposits or pay interest or to redeem any debentures on the due date or pay any dividend declared and such failure continues for 1 year or more.

shall be eligible to be re-appointed as a director of that company or appointed in other company for period of 5 years from the date on which the said company fails to do so. However, such director shall not incur the disqualification for a period of 6 months from the date of appointment.
Section 164(2) is not applicable to Government Company.
A private company may by its articles provide for any disqualifications for appointment as a director in addition to those specified above.

Concept 11 - Section 166: Duties of Directors

According to Section 166,

a) The Director shall act in accordance with the articles of the company, subject to the provisions of this Act.
b) He shall act in good faith in order to promote the objects of the company and in the best interests of the stakeholders.
c) He shall exercise his duties with due and reasonable care, skill and diligence and shall exercise independent judgment.
d) He shall not involve in a situation in which he may have a direct or indirect interest that conflicts the interest of the company.
e) He shall not achieve or attempt to achieve any undue gain or advantage either to himself or to his relatives, partners, or associates.
f) He shall not assign his office.

Concept 12 - Section 168: Resignation of Director

According to Section 168(1), a director may resign from his office by giving a notice in writing to the company. The Board shall on receipt of such notice take note of the same. The company shall within 30 days from the date of receipt of notice of resignation from a director, intimate the Registrar in Form DIR-12 and post the information on its website, if any. The company shall also place the fact of such resignation in the report of directors laid in the immediately following general meeting by the company. Such director may forward a copy of his resignation along with detailed reasons for the resignation to the Registrar within 30 days from the date of resignation in Form DIR- 11.

Concept 13 - Section 169: Removal of Directors

According to Section 169(1), A company may, by ordinary resolution, remove a director other than a director appointed by the Tribunal under section 242 of the Act, before the expiry of the period of his office after giving him a reasonable opportunity of being heard.

a) Independent director appointed for the second term can be removed by the special resolution only.
b) The directors appointed under section 163 cannot be removed.

According to Section 169(2), A special notice from members shall be required of any resolution, to remove a director under section 169 or to appoint somebody in place of a director so removed, at the meeting at which he is removed.

According to Section 169(3), On receipt of the notice, the company shall forthwith send a copy thereof to the director concerned, and the director, whether or not he is a member of the company, shall be entitled to be heard on the resolution at the meeting.

According to Section 169(5), The vacancy resulting from the removal may be filled in by the appointment of another director at the same meeting at which the director is removed, provided special notice of the proposed appointment has been given under section 169(2).

According to Section 169(6), A director so appointed shall hold office for the remaining tenure of the director who has been removed would have held office if he had not been removed.

According to Section 169(7), If the vacancy is not filled in the same meeting as above, then it may be filled as a casual vacancy but the director who was so removed from office shall not be reappointed as a director.
This section does not take away a person's right to receive compensation or damages if they are removed from their position as a director before the end of their term, or if their appointment as director ends early.

Concept 14 - Section 167: Vacation of office of Director

According to Section 167(1), The office of a director shall become vacant in case

a) he incurs any of the disqualifications specified in section 164. Provided that where he incurs disqualification under sub-section (2) of section 164, the office of the director shall become vacant in all the companies, other than the company which is in default under that sub-section.
b) he absents himself from all the meetings of the Board of Directors held during a period of 12 months with or without seeking leave of absence of the Board.
c) he acts in contravention of the provisions of section 184 relating to entering into contracts or arrangements in which he is directly or indirectly interested
d) he fails to disclose his interest in any contract or arrangement in which he is directly or indirectly interested, in contravention of the provisions of section 184.
e) he becomes disqualified by an order of a court or the Tribunal.
f) he is convicted by a court of any offence, whether involving moral turpitude or otherwise and sentenced in respect thereof to imprisonment for not less than 6 months.
g) he is removed in pursuance of the provisions of this Act.

h) he, having been appointed a director by virtue of his holding any office or other employment in the holding, subsidiary or associate company, ceases to hold such office or other employment in that company.

According to Section 167(2), If a person acts as a director even when he knows that the office of director held by him has become vacant on account of any of the disqualifications specified above, he shall be punishable with fine which shall not be less than ₹ 1 lakh but which may extend to ₹ 5 lakhs.

According to Section 167(3), Where all the directors of a company vacate their offices under any of the disqualifications, the promoter or, in his absence, the Central Government shall appoint the required number of directors who shall hold office till the directors are appointed by the company in the general meeting.

A private company may, by its articles, provide any other ground for the vacation of the office of a director in addition to those specified above.

The Companies Act, 2013

Unit 06 Board Meetings and Procedures

Sections 173 - 188



Concept 1 – Introduction

Board of directors are responsible for management of the company. Board manages through meetings where various issues are discussed.

Chapter XII of the Companies Act, 2013 contains provisions related to Meetings of Board and its Powers. (from Section 173 to Section 195)

Concept 2 – Section 173: Meetings of Board

2.1 Frequency of Board Meetings

According to Section 173(1), Every company shall hold the first meeting of the Board of Directors within 30 days of the date of its Incorporation and subsequently minimum of 4 meetings shall be held every Calendar year provided that the gap between two consecutive board meetings shall not be more than 120 days unless exempted by the Central Government .

Exceptions: OPC, small company and dormant company shall be deemed to have complied with the above, if at least 1 meeting of the Board of Directors has been conducted in each half of a calendar year and the gap between the two meetings is not less than 90 days. This provision will not apply where OPC is having only one director.

As per Secretarial Standards, Committees shall meet as often as necessary subject to the minimum number and frequency stipulated by the Board or as prescribed by any law or authority. And where a company is required to appoint Independent Directors under the Act, such Independent Directors shall meet at least once in a Financial year.

2.2 Participation in Board Meeting

According to Section 173(2), directors can attend Board meetings:

a) in person or
b) through video conferencing or
c) other audio visual means.

Such audio visual means should be capable of recording and recognizing the participation of the directors and of recording and storing the proceedings of such meetings along with date and time.

Key points related to meetings of Board that are held through conferencing or other audio visual means are as under:

a) Every Company shall make necessary arrangements to avoid failure of video or audio visual connection.
b) The Chairperson of the meeting and the company secretary, if any, shall take due and reasonable care:

   i) to safeguard the integrity of the meeting by ensuring sufficient security

ii) to ensure availability of proper equipment or facilities for effective communication and participation of the participants at the Board meeting
iii) to record proceedings and prepare the minutes of the meeting
iv) to store for safekeeping and marking the tape recordings at least before the time of completion of audit of that particular year.
v) to ensure that only the concerned director is attending the meeting through video conferencing and
vi) to ensure that participants attending the meeting through audio visual means are able to hear and see the other participants clearly during the course of the meeting.
vii) However, the differently disabled persons may make a request to the Board to allow a person to accompany him.

The Central Government may restrict matters which shall not be dealt with in a meeting through video conferencing and other audio visual means.

2.3 Notice of the Meeting

According to Section 173(3),

a) Every board meeting shall be called by giving at least 7 days notice in writing to every director at their registered address with the company.
b) The notice may be sent by hand delivery or by post or by electronic means.
c) Meeting of the Board of Directors may be called on a shorter notice (less than 7 days) in order to transact an urgent business, subject to the condition that at least one independent director, if any, shall be present at the meeting.
d) If no independent director is present, then the decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any.
e) The fact that meeting is being called at shorter notice, shall be stated in the notice.

2.4 Other Provision related to the Notice of meeting:

a) It shall inform the directors regarding the option available to them to participate through video conferencing mode or other audio visual means, and shall provide all the necessary information to enable the directors to participate.
b) On receiving such a notice, a director intending to participate through video conferencing or audio visual means shall communicate his intention to the chairperson or the company secretary of the company so that the company is able to make suitable arrangements in this behalf.
c) If the director does not give any intimation of his intention to participate that he wants to participate through the electronic mode, it shall be assumed that the director shall attend the meeting in person.
d) The director, who desires, to participate may intimate his intention of participation through the electronic mode at the beginning of the calendar year and such declaration shall be valid for one calendar year. In the absence of any such intimation from the director, it shall be assumed that he will attend the meeting in person.
e) Notice of the meeting, wherein the facility of participation through Electronic mode is provided, shall clearly mention a venue to be the venue of the meeting and it shall be the place where all

the recordings of the proceedings at the meeting would be made. Otherwise, it shall be assumed that the director shall attend the meeting in person.

2.5 The SS-1 (Secretarial Standards on the Meeting of Board) provides that:

a) Where director specifies a particular means of delivery of notice, notice shall be given to him by such means only.
b) Notice shall be issued by the Company Secretary or where there is no Company Secretary, by any director or any other person authorized by the Board for the purpose.
c) The notice shall specify the serial number, day, date, time and full address of the venue of the meeting.
d) The Agenda, setting out the business to be transacted at the meeting, and Notes to agenda shall also be sent to all the directors along with Notice of the Board Meeting.
e) Each meeting and item of the business to be taken up in the meeting shall be serially numbered. Every Meeting shall have a serial number.
f) Proof of sending notice, agenda and notes on agenda and their delivery shall be maintained by the company.
g) A meeting may be convened at any time and place, on any day, excluding a National Holiday.

National Holiday includes Republic Day i.e. 26th January, Independence Day i.e. 15th August, Gandhi Jayanti i.e. 2nd October and such other day as may be declared as National Holiday by the Central Government.

2.6 Penalty for failure to give notice

According to Section 173(4), every officer of the Company whose duty is to give notice under this section and who has failed to do so, shall be liable to a penalty of ₹ 25,000.

Concept 3 - Section 174: Quorum for meetings of Board

A quorum is the minimum number of directors who must be present at a duly convened Board meeting. A meeting shall not be deemed to have been properly held unless the quorum was present at that meeting.

3.1 General Quorum

According to Section 174(1), The quorum for a Board Meeting shall be 1/3rd of its total strength or 2 directors, whichever is higher. The directors who participate by video conferencing or by other audio visual means shall also be counted for the purpose of quorum.

3.2 Exceptions

a) In Case of Section 8 companies, quorum for the Board meeting, either 8 members or 25% of its total strength whichever is less. Provided that quorum shall not be less than 2 members.
b) Section 174 are not applicable to one-person company in which there is only one director
c) For the purpose of calculating quorum, any fraction of a number shall be rounded off as one.
d) Total strength shall not include directors whose places are vacant.

e) Quorum shall be present throughout the meeting.
f) In case of committee meetings, the presence of all members is necessary to form the quorum for the meetings of such committee unless otherwise stipulated.

3.3 Quorum in case Vacancy

If there is any Vacancy in the BOD (Strength is less than that mentioned in the articles), the continuing directors may act irrespective of such vacancy. But, if the number is reduced below the quorum fixed by the Act, the continuing directors may meet for the purpose of increasing the number of directors to that fixed for the quorum, or summoning a general meeting of the company and for no other purpose.

3.4 Interested directors

'Interested director' means a director with meaning of Section 184(2).

Where at any time the number of interested directors exceeds or is equal to $2/3^{rd}$ of the total strength of the Board of Directors, the quorum shall be the number of non-interested directors who are present at the meeting and are not be less than 2.

Concept 4 - Section 175: Passing of resolution by circulation

According to Section 175, No resolution shall be deemed to have been duly passed by the Board or by a Committee thereof by circulation unless:

a) The resolution has been circulated in draft to all the directors or members of the Committee.
b) at their addresses registered with the company
c) by hand delivery or by post or by courier, or through such electronic means as maybe prescribed,
d) has been approved by a majority of the directors or members, who are entitled to vote on the resolution.

If at least 1/3rd of the total number of directors of the company require that any resolution under circulation must be decided at a meeting, the chairperson shall put the resolution to be decided at a meeting of the Board. A resolution that has been passed by circulation shall have to be necessarily be noted in the next meeting and made part of the minutes of such meeting.

As per SS 1, not more than 7 days from the date of circulation of draft resolution shall be given to the Directors to respond.

Concept 5 - Section 118: Minutes of the Meeting of the General Meeting/Board Meeting

The minutes of a meeting are a written record of the business transacted, decisions and resolutions arrived at the meeting.
According to Section 118,
1) Every company shall cause minutes of the proceedings of
   - every general meeting of any class of shareholders or creditors, and
   - every resolution passed by postal ballot and
   - every meeting of its Board of Directors or of

- every Committee of the Board,

to be prepared and signed in such manner as may be prescribed and kept within 30 days of the conclusion of every such meeting concerned, or passing of resolution by postal ballot in books kept for that purpose with their pages consecutively numbered.

2) The minutes of each meeting shall contain a fair and correct summary of the proceedings of the meetings.
3) All appointments made at any of the meetings aforesaid shall be included in the minutes of the meeting
4) In the case of a meeting of the Board of Directors or of a committee of the Board, the minutes shall also contain:
   - the names of the directors present at the meeting, and
   - in the case of each resolution passed at the meeting, the names of the directors, if any, dissenting from, or not concurring with the resolution.
5) There shall not be included in the minutes, any matter which, in the opinion of the Chairman of the meeting:
   - is or could reasonably be regarded as defamatory of any person, or
   - is irrelevant or immaterial to the proceedings; or
   - is detrimental to the interests of the company.
6) Chairman shall exercise absolute discretion in regard to the inclusion or non-inclusion of any matter in the minutes on the grounds specified.
7) The minutes kept shall be evidence of the proceedings recorded therein.
8) Where the minutes have been kept in accordance with sub-section (1) then until the contrary proved, the meeting shall be deemed to have been duly called and held, and all proceedings thereat to have duly taken place, and the resolutions passed by postal ballot to have been duly passed and in particular, all appointments of directors, key managerial personnel, auditors or company secretary in practice, shall be deemed to be valid.
9) No document purporting to be a report of the proceedings of any meeting shall be circulated at the expense of the company, unless it includes all the matters required under this section.
10) Every company shall observe Secretarial Standards with respect to general and board meetings specified by the Institute of Company Secretaries of India.
    - SS-1: Board Meetings
    - SS-2: General Meetings

Other Related Provisions

a) The draft minutes of the meeting shall be circulated among all the directors within 15 days of the meeting either in writing or in electronic mode as may be decided by the Board
b) The minutes are to be signed by the chairman of the meeting or the next meeting.

Concept 6 - Section 119: Minutes of the Meeting of the General Meeting/Board Meeting

The books containing the minutes of the proceedings of any general meeting of a company or of a resolution passed by postal ballot, shall:

a) be kept at the registered office of the company in electronic form, and
b) be open, during business hours, to the inspection by any member without charge, subject to such reasonable restrictions as the company may, by its articles or in general meeting, impose, so, however, that not less than two hours in each business day are allowed for inspection.

Any member shall be furnished within 7 working days of request, with fees, a copy of the minutes of general meeting.

If any inspection is refused or any copy is not furnished within the time specified, the company shall be liable to a penalty of ₹ 25,000 and every officer of the company who is in default shall be liable to a penalty of ₹ 5,000 for each refusal or default.

Concept 7 - Registers

The company has to maintain at its registered office certain registers and records for statutory, statistical, disclosure, information management and MIS (Management Information System) purposes.

Every company incorporated under the Act is required to keep at its registered office, inter alia, the following statutory books and registers:

1) Register of investments in securities not held in company's name in Form MBP-3.
2) Register of deposits.
3) Register of securities bought back in Form SH-10.
4) Register of charges in Form CHG-7.
5) Register and index of members in Form MGT-1.
6) Register and index of debenture holders in Form MGT-2.
7) Register and index of beneficial owners.
8) Foreign register of members and debenture holders and their duplicates in Form MGT-3.
9) Copies of Annual Return
10) Books containing minutes of general meeting and of Board and of committees of Directors.
11) Register of Postal Ballot
12) Books of accounts.
13) Cost account records for Companies engaged in industries so specified by Central Government
14) Register of contracts with companies/firms in which directors are interested in Form MBP-4.
15) Register of Directors and Key Managerial Personnel.
16) Register of loans or investments made, guarantees given and security provided to other body corporate in Form MBP-2.
17) Register of Renewed and Duplicate Share Certificates in Form SH-2.
18) Register of sweat equity shares in Form SH-3
19) Place of keeping and Inspection of Registers, returns etc.

According to Section 94,

a) The registers required to be kept and maintained by a company and copies of the annual return shall be kept at the registered office of the company:
Provided that such registers or copies of return may also be kept at any other place in India in which more than 1/10th of the total number of members entered in the register of members reside, if approved by a special resolution passed at a general meeting of the company.
b) The registers, except when they are closed, and the copies of all the returns shall be open for inspection by any member, debenture-holder, other security holder or beneficial owner, during business hours without payment of any fees and by any other person on payment of such fees as may be prescribed.
c) Any such person mentioned above may:
   - take extract from any register or return without payment of any fee or
   - require a copy of any such register or return on payment of such fees as may be prescribed

The Institute of Company Secretaries of India (ICSI) has issued Secretarial Standard (SS-4) on register and records. It seeks to prescribe a set of principles in relation to various registers and records including the maintenance and inspection thereof. Adherence by the Company to the Secretarial Standard is recommendatory.

Concept 8 - Section 177: Audit Committee

8.1 Classes of Companies to constitute Audit Committee

According to Section 177(1), An audit committee shall be constituted by the Board of directors of:

a) Every listed company, and
b) All public companies with a paid up capital of ₹ 10 crores or more.
c) All public companies having turnover of ₹ 100 crores or more.
d) All public companies, having in aggregate, outstanding loans or debentures or deposits exceeding ₹ 50 crores.

The above values to be considered as per the latest audited Financial Statements.

8.2 Composition of Audit Committee

According to Section 177(2), the Audit Committee shall consist of a minimum of 3 directors with independent directors forming a majority. "With Independent Directors forming a majority' is not required in case of Section 8 Companies. Majority of members of Audit Committee including its Chairperson shall be persons with ability to read and understand the financial statement.

8.3 Responsibilities of Audit Committee

According to Section 177(4), Every Audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, include:

1. the recommendation for appointment, remuneration and terms of appointment of auditors of the company. But in case of Government companies appointment is made by CAG.
2. review and monitor the auditor 's independence and performance, and effectiveness of audit process.
3. examination of the financial statement and the auditors' report thereon.
4. approval or any subsequent modification of transactions of the company with related parties.
5. scrutiny of inter-corporate loans and investments
6. valuation of undertakings or assets of the company, wherever it is necessary.
7. evaluation of internal financial controls and risk management systems.
8. monitoring the end use of funds raised through public offers and related matters.

The Audit Committee shall have authority to investigate into any matter in relation to the items specified above for this purpose may obtain professional advice from external sources and have full access to information contained in the records of the company.

8.4 Role of auditor in Audit Committee

According to Section 177 (5), the Audit Committee is empowered to:

a) call for the comments of the auditors about:
   i) internal control systems
   ii) the scope of audit, including the observations of the auditors
   iii) review of financial statement before their submission to the Board
b) discuss any related issues with the internal and statutory auditors and the management of the company.

The auditors of a company and the KMP shall have a right to be heard in the meetings of the Audit Committee when it considers the auditor's report but shall not have the right to vote.

Board Report shall disclose the constitution of Audit Committee and where Board has not accepted any recommendation of the Audit Committee, the same shall be disclosed.

8.5 Vigil mechanism

According to Section 177 (9), a Vigil mechanism shall be formed in:

a) Every listed company.
b) Every company which accept deposits from the public.
c) Companies which have borrowed money from banks and PFI in excess of ₹ 50 crores.

Provisions related to vigil mechanism:

a) A vigil mechanism shall be formed for directors and employees to report genuine concerns or grievances.
b) Company has to disclose the details of the establishment of vigil mechanism on the website of the company and in Board 's report.
c) The audit committee shall oversee the vigil mechanism and if any of the members of the committee have a conflict of interest in a given case, they should recuse themselves and the others on the committee would deal with the matter on hand.
d) In case of other companies, the Board of directors shall nominate a director to play the role of audit committee for the purpose of vigil mechanism to whom other directors and employees may report their concerns.
e) The employees and directors who avail of vigil mechanism may have direct access to the Chairperson of the Audit Committee or the director nominated to play the role of Audit Committee.
f) In case of repeated frivolous complaints being filed by a director or an employee, the audit committee or the director nominated to play the role of audit committee may take suitable action against them.

Concept 9 - Section 179: Powers of the Board

According to Section 179(1), The Board of Directors shall be entitled to exercise all such powers, and to do all such acts and things, as the company is authorized to exercise and do, subject to the provisions of this Act, or the Memorandum or Articles, or any regulations made by the company in general meeting.

The Board shall not exercise any power or do any act or thing to be exercised or done by the company in general meeting.

According to Section 179(2), no regulation made by the company in general meeting shall invalidate any prior act of the Board which would have been valid if that regulation had not been made.

According to Section 179(3), the Board of Directors of a company shall exercise the following powers on behalf of the company by means of resolutions passed at meetings of the Board, namely:

a) to make calls on shareholders in respect of money unpaid on their shares
b) to authorise buy-back of securities under section 68
c) to issue securities, including debentures, whether in or outside India
d) to borrow monies
e) to invest the funds of the company
f) to grant loans or give guarantee or provide security in respect of loans
g) to approve financial statement and the Board's report
h) to diversify the business of the company
i) to approve amalgamation, merger or reconstruction
j) to take over a company or acquire a controlling or substantial stake in another company
k) any other matter which may be prescribed

The Board may, by a resolution passed at a meeting, delegate the powers specified in points d) to f) above, to:

i) any committee of directors
ii) the managing director
iii) the manager or any other principal officer of the company or
iv) the principal officer of the branch office (in the case of a branch office of the company).

The Rules have specified certain more powers that shall be exercised by the BOD only by means of resolutions passed at meetings of the Board:

a) to make political contributions
b) to appoint or remove KMP; and
c) to appoint internal auditors and secretarial auditor.

This section does not affect the company's right, in a general meeting, to place restrictions or conditions on how the Board uses any of the powers mentioned above.

Concept 10 - Section 180: Restrictions on Powers of Board

According to Section 180(1), The Board of Directors of a company shall exercise the following powers only with the consent of the company by a special resolution, namely:

a) To sell, lease or dispose of the whole or substantially the whole of the undertaking of the company or where the company owns more than one undertaking, of the whole or substantially the whole of any of such undertakings.

i) Here, 'Undertaking' means an unit of business in which the investment of the company exceeds 20% of its net worth of the preceding financial year or an undertaking which generates 20% of the total income of the company during the previous financial year.
ii) substantially the whole of the undertaking shall mean 20% or more of the value of the undertaking as per balance sheet of the preceding financial year.

b) To invest otherwise in trust securities the amount of compensation received by it as a result of any merger or amalgamation;
c) To borrow money, where the money to be borrowed, together with the money already borrowed, will exceed the aggregate of its paid-up share capital and free reserves and securities premium, apart from temporary loans obtained from the company's bankers in the ordinary course of business.
d) To remit, or give time for the repayment of, any debt due from a director.

Every Special Resolution is required to be filed in Form No. MGT -14 as per Section 117.

This section shall not apply to private companies.

Concept 11 - Section 182: Powers Related to Political Contributions

According to Section 182(1), A company may contribute any amount directly or indirectly to any political party.

Here, political party means a political party registered under section 29A of the Representation of the People Act, 1951.

The following companies are not allowed to contribute to any political party:

a) a Government company and
b) a company which has been in existence for less than three financial years.

The amount of political contribution that can be made in any financial year cannot exceed 7.5% of the average net profit of the preceding three financial years. Such contribution shall be made through a resolution passed at a meeting of the Board of Directors.

According to Section 182(2), In addition to any direct contribution to a political party, following are also deemed as Political contributions:

a) a donation, subscription, or payment given by a company to any person carrying on an activity which can reasonably be regarded as likely to affect public support for a political party.
b) the amount of expenditure incurred, directly or indirectly, on an advertisement in any publication, whether by or on behalf of a political party, or otherwise made for its advantage.

Every company shall disclose in its profit and loss account any amount or amounts contributed by it to any political party during the financial year to which that account relates.

Concept 12 - Section 184: Disclosure of Interest by Director

12.1 General Disclosure of Interest

According to Section 184(1), Every director shall disclose his interest in any company or companies or bodies corporate, firms, or other association of individuals which shall include the shareholding, directorship or in any other capacity. He should ensure that the notice of disclosure is placed in the meeting.

a) At the First meeting of the Board in which he participates as a director, and
b) Thereafter, at the first meeting of the Board in every financial year, or
c) Whenever there is any change in the disclosures already made, then at the first Board meeting held after such change.
d) shall disclose his concern or interest, by giving a notice in writing.

12.2 Special Disclosure of Interest

Interested Director - Every director of the company, who is in any way, whether directly or indirectly, concerned or interested in a contract or arrangement or proposed contract or arrangement entered into or to be entered into:

a) with a body corporate in which such director or such director in association with any other director, holds more than 2% shareholding of that body corporate, or is a promoter, manager, CEO of that body corporate, or
b) with a firm or other entity in which such director is a partner, owner, or member, as the case may be.

Such directors shall disclose the nature of the interest at the meeting in which the contract or arrangement is discussed and shall not participate in such meeting.

12.3 Consequences of non-disclosure

a) A contract or arrangement entered into by the company without disclosing or with participation by a director who is concerned or interested in any way, directly or indirectly, in the contract or arrangement, shall be voidable at the option of the company.
b) If a director of the company contravenes the provisions of Section 184, such director shall be liable to penalty of ₹ 1 lakh

12.4 Exception

Section 184 shall not apply to any contract or arrangement entered into or to be entered into between 2 companies where any of the directors of the one company or two or more of them together holds or hold not more than 2% of the paid-up share capital in the other company.

Concept 13 – Section 188: Related Party Transactions

13.1 Who is a Related Party ? and What are Related Party Transactions ?

"related party" includes –
a) a director or a KMP or his relative;
b) a firm, in which a director, manager or his relative is a partner;
c) a private company in which a director or manager or his relative is a member or director;

d) a public company in which a director or manager is a director and holds along with his relatives, more than 2% of its paid-up share capital;
e) any company which is-
   - a holding, subsidiary or an associate company of such company; or
   - a subsidiary of a holding company to which it is also a subsidiary;
   - an investing company or the venturer of the company;
f) such other person as may be prescribed.

Related party transactions are transactions entered by the company with the related parties. Such Transactions are specified under Section 188(1).

a) Sale, purchase or supply of any goods or materials
b) Selling or otherwise disposing of or buying, property of any kind.
c) Leasing of property of any kind
d) Availing or rendering of any services
e) Appointment of any agent for purchase or sale of goods, materials, services or property
f) Such related parties appointment to any office or place of profit in the company, its subsidiary company or associate company.
g) underwriting the subscription of any securities or derivatives of the company.

13.2 Related Party Transactions, for which no approval is required.

Transactions entered into by the company in the ordinary course of business and at an arm's length basis.

13.3 Related Party Transactions, for which consent of Board is required

The Related Party Transactions covered under Section 188(1) are

1. not on arm's length basis and
2. also does not require approval of the shareholders

shall be entered into by the company after obtaining consent of the board of directors given by a resolution at the meeting of the board.

13.4 Related Party Transactions requiring approval by ordinary resolution.

Nature of Transaction	Prescribed limits for seeking approval by resolution
1) Sale, purchase or supply of any goods or materials directly or through an agent	if the value of such transaction amounts to 10% or more of the turnover of the company
2) Selling or disposing of or buying property of any kind directly or through an agent.	if the value of such transaction amounts to 10% or more of net worth of the company
3) Leasing of property of any kind	if the value of such transaction amounts to 10% or more of the turnover of the company
4) Availing or rendering of any services directly or through an agent.	if the value of such transaction amounts to 10% or more of the turnover of the company

5) Where the transaction to be entered into as a contract or arrangement is for appointment to any office or place of profit in the company its subsidiary company or associate company	at a monthly remuneration exceeding ₹2.5 lakhs.
6) Where the transaction to be entered into as a contract or arrangement is for the remuneration for underwriting the subscription of any securities or derivatives of the company	exceeding 1% of the net worth.

In case transactions are entered into between a holding company and its wholly owned subsidiary whose accounts are consolidated with such holding company and placed before the shareholders at the general meeting there is no need for seeking approval of the company by passing an ordinary resolution by the members.

In case of a wholly owned subsidiary company, the resolution passed by the holding company shall be sufficient for the purpose of entering into the transactions between the wholly owned subsidiary and the holding company.

Every contract or arrangement entered into under section 188(1) shall we disclose in the Board's report to the shareholders along with the justification for entering into such contract.

Where any contract or arrangement is entered by a director or any other employee without obtaining the consent of the board or approval by resolution in general meeting and if it is not ratified by the board or by the shareholders within 3 months from the date on which such contract was entered into such contracts shall be voidable at the option of the board or the shareholders and if the contract is with the related party to any director, the director is concerned shall indemnify the company against any loss incurred by it.

13.5 Omnibus approval for related party transactions given by Audit Committee

All related party transactions shall require approval of the Audit Committee and the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the company subject to the following conditions, namely:

(A) The Audit Committee shall, after obtaining approval of the Board of Directors, specify the criteria for making the omnibus approval which shall include the following, namely:

a) maximum value of the transactions, in aggregate, which can be allowed under the omnibus route in a year.
b) the maximum value per transaction which can be allowed.
c) extent and manner of disclosures to be made to the Audit Committee at the time of seeking omnibus approval.
d) Review at such intervals as the Audit Committee may deem fit, related party transaction entered into by the company pursuant to each of the omnibus approval made.
e) transactions which cannot be subject to the omnibus approval by the Audit Committee.

The Audit Committee shall satisfy itself on the need for omnibus approval for transactions of repetitive nature and that such approval is in the interest of the company.

The omnibus approval shall contain or indicate the following:

a) name of the related parties.
b) nature and duration of the transaction.
c) maximum amount of transaction that can be entered into.
d) the indicative base price or current contracted price and the formula for variation in the price, if any, and
e) any other information relevant or important for the Audit Committee to take a decision on the proposed transaction:

Provided that where the need for related party transaction cannot be foreseen and aforesaid details are not available, audit committee may make omnibus approval for such transactions subject to their value not exceeding ₹ 1 crore per transaction.

Omnibus approval shall be valid for a period not exceeding 1 financial year and shall require fresh approval after the expiry of such financial year.

The Companies Act, 2013

Unit 07

Key Managerial Personnel

Sections **196 - 203**



Concept 1 – Important Definitions

1.1 Managing director

According to Section 2(54), Managing Director is a director who is entrusted with substantial powers of management of the affairs of the company by:

a) virtue of the articles of a company, or
b) an agreement with the company, or
c) a resolution passed in its general meeting, or by its Board of Directors,

and includes a director occupying the position of the managing director, by whatever name called. Substantial powers of the management shall not be deemed to include the power to do such administrative acts of a routine nature when so authorised by the Board, such as

a) the power to affix the common seal of the company to any document or
b) to draw and endorse any cheque on the account of the company in any bank or
c) to draw and endorse any negotiable instrument or
d) to sign any certificate of share or
e) to direct registration of transfer of any share.

1.2 Whole Time Director

According to Section 2(94), Whole-time director includes a director in the whole time employment of the company. They are also considered as executive directors of the company. There are some companies where a particular function is attached to the director, i.e. Director (Finance), Director (Marketing) etc.

1.3 Manager

According to Section 2(53), Manager means an individual who, subject to the superintendence, control and direction of the Board of Directors, has the management of the whole, or substantially the whole, of the affairs of a company, and includes a director or any other person occupying the position of a manager, by whatever name called, whether under a contract of service or not.

Though , legally, managing director and manager are almost same, we hardly hear companies with manager instead of managing director.

Concept 2 - Section 196: Appointment of Managing Director, Whole Time Director or Manager

2.1 Conditions for Appointment

According to Section 196,

a) No company shall appoint or employ a managing director and a manager at the same time.
b) No company shall appoint or re-appoint any person as its managing director, whole time director or manager for a term exceeding 5 years at a time ,provided that no re-appointment shall be made earlier than 1 year before the expiry of his term.

c) No company shall appoint or continue the employment of any person as managing director, whole-time director or manager who:
   i) is below the age of 21 years or has attained the age of 70 years. Person who has attained the age of 70 years may be appointed by the passing of a special resolution. If special resolution is not passed but the votes cast in favour exceed the votes cast against and the appointment has the approval of central government the appointment of the person who has attained the age of 70 years may be made.
   ii) is an undischarged insolvent or has at any time been adjudged as an insolvent or
   iii) has at any time suspended payment to his creditors or
   iv) has at any time been convicted by a court of an offence and sentenced for a period of more than 6 months.

d) Schedule V of the Companies Act, 2013, prescribes additional conditions for managing or whole-time director or a manager to be eligible for appointment. The schedule stipulates that :
   i) he had not been sentenced to imprisonment for any period, or to a fine exceeding ₹ 1,000, for the conviction of an offence under 19 Acts as specified under Schedule V.
   ii) he had not been detained for any period under the Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974
   iii) he has completed the age of 21 years and has not attained the age of 70 years.
   iv) he is resident of India.
   In this context, 'resident in India' includes a person who has been staying in India for a continuous period of not less than 12 months immediately preceding the date of his appointment as a managerial person and who has come to stay in India,

   - for taking up employment in India; or
   - for carrying on a business or vacation in India.

   v) Where an appointment not approved by AGM, any Act done by him deemed to be invalid.

2.2 Procedure of Appointment

According to Section 196 (4),

e) a managing director, whole-time director or manager shall be appointed, and the terms and conditions of such appointment and remuneration payable be approved by the Board of Directors at a meeting.
f) The terms and conditions and remuneration approved by Board of Directors as above shall be subject to the approval of shareholders by a resolution at the next general meeting of the company.
g) In case such appointment is at variance to the conditions specified in the Schedule V of the Companies Act, 2013, the appointment shall be approved by the Central Government.
h) The notice convening Board or general meeting for considering such appointment shall include the terms and conditions of such appointment, remuneration payable and such other matters including interest, of a director or directors in such appointments, if any.
i) A return in the Form No. MR-1 along with the prescribed fee shall be filed with the Registrar within 60 days of such appointment.

Subject to the provisions of this Act, where an appointment is not approved by the company at a general meeting, any act done by the director before such approval shall deemed to be valid.

Concept 3 - Section 203: Appointment of Key Managerial Personnel

3.1 Requirement of Whole-time Key Managerial Personnel

According to Section 203(1),

a) Every listed company
b) Every other public company having a paid up share capital of ₹ 10 crores or more

shall have the following whole time key managerial personnel:

a) Managing Director or Chief Executive Officer or Manager and in their absence, a whole time Director.
b) Company Secretary and
c) Chief Financial Officer.

Every private company which has a paid up share capital of ₹ 10 crores or more shall have a whole-time company secretary.

An individual shall not be appointed or reappointed as the chairperson of the company as well as the managing director or CEO of the company at the same time unless:

a) the articles of such a company provide otherwise (or)
b) the company does not carry multiple businesses.

Provided that the above mentioned prohibition shall not apply to such companies engaged in multiple businesses and which has appointed one or more CEOs for each such business.

3.2 Conditions for appointment

a) According to Section 203(2), Every whole-time KMP of a company shall be appointed by Board resolution containing the terms and conditions of the appointment including the remuneration.
b) According to Section 203(3), A whole-time KMP shall not hold office in more than one company at the same time except in its subsidiary company
c) A company may appoint or employ a person as its managing director, if he is the managing director or manager of one, and of not more than one of other company, approved by Board resolution passes with the consent of all the directors present at the meeting in India.
d) According to Section 203(4), If the office of any whole-time KMP is vacated, the resulting vacancy shall be filled-up by the Board at a meeting within a period of 6 months from the date of such vacancy.

Concept 4 - Section 197: Payment of Remuneration to Directors and KMP and Disclosures

4.1 Overall Maximum Managerial Remuneration

According to Section 197(1), a company having profits in a financial year may pay remuneration to a managerial personnel not exceeding the limits specified under this section. The overall managerial remuneration to the Directors including managing director, whole time director and manager is summarized as under:

Category	Maximum Remuneration %	Conditions for exceeding limits
Directors (including Managing Director (MD), Whole-Time Directors (WTD), Managers) of Public Companies	11% of net profits of the company for that financial year	Requires approval in a general meeting as per Schedule V.
Only one MD/WTD/Manager	5% of net profits	Can be exceeded with special resolution in a general meeting.
More than one MD/WTD/Manager	10% of net profits	Can be exceeded with special resolution in a general meeting.
Other Directors (with MD or Whole-Time Director)	1% of net profits	Can be exceeded with special resolution in a general meeting.
Other Directors (without MD or Whole-Time Director)	3% of net profits	Can be exceeded with special resolution in a general meeting.

Where the company has defaulted in the payment to any bank / PFI or Non-Convertible Debentures or any secured creditor, prior approval of bank/PFI, shall be obtained before obtaining the approval in the general meeting.

The net profits shall be computed in the manner laid down in section 198 except that the remuneration of the directors shall not be deducted from the gross profits.

4.2 Remuneration rendered in any other capacity

According to Section 197(4), The remuneration payable to the directors of a company, including any managing or whole-time director or manager, shall be determined either

a) by the articles of the company or
b) by a resolution or
c) if the articles so require, by a special resolution, passed by the company in general meeting, and

The remuneration payable to a director determined above shall be inclusive of the remuneration payable to him for the services rendered by him in any other capacity.

Any remuneration for services rendered by any such director in other capacity shall not be so included if:

a) the services rendered are of a professional nature, and
b) in the opinion of the Nomination and Remuneration Committee (NRC) or the Board of Directors the director possesses the requisite qualification for the practice of the profession.

4.3 Sitting Fees to directors

According to Section 197(5), A director may receive remuneration by way of fee for attending meetings of the Board or Committee.

The sitting fees shall not exceed ₹ 1 lakh per meeting of the Board or committee. However, for Independent Directors and Women Directors, the sitting fee shall not be less than the sitting fee payable to other directors. The percentages under sub-section (1) shall be exclusive of any sitting fees payable to directors.

4.4 Mode of remuneration

According to Section 197(6), A director or manager may be paid remuneration either by way of a monthly payment or at a specified percentage of the net profits of the company or partly by one way and partly by the other.

4.5 No profits or profits are inadequate

According to Section 197(3), If in any financial year, a company has no profits or its profits are inadequate, the company shall not pay by way of remuneration any sum exclusive of sitting fees to its directors, including any managing or whole- time director or manager except in accordance with the provisions of Schedule V.

4.6 Refund of excess

a) If any director draws or receives, directly or indirectly, by way of remuneration any such sums in excess of the limit or without approval required, he shall refund such sums to the company, within 2 years or such lesser period as may be allowed by the company, and until such sum is refunded, hold it in trust for the company.
b) The company shall not waive the recovery of any sum refundable to it unless approved by the company by special resolution within 2 years from the date the sum becomes refundable.
c) Provided that where the company has defaulted in payment of dues to any bank or PFI or debenture holders or any other secured creditor, the prior approval of the bank or PFI concerned or the debenture holders or other secured creditor, as the case may be, shall be obtained by the company before obtaining approval of such waiver.

4.7 Disclosure by listed company

a) Every listed company shall disclose in the Board's report, the ratio of the remuneration of each director to the median employee's remuneration and such other details as may be prescribed.
b) The Board's report shall include a statement showing the name of top 10 remunerating employees of the company and the name of the every employee who:

   i) If employed for the entire financial year, received total remuneration of at least ₹ 1.02 crores for the year.
   ii) If employed for part of the financial year, received total remuneration of at least ₹ 8,50,000 per month.
   iii) If employed during the whole year or part of it, received remuneration that is more than what the managing director, whole-time director, or manager received, and holds at least 2% of the company's equity shares, either alone or with their spouse and dependent children.

4.8 Insurance for indemnification

a) Where any insurance is taken by a company on behalf of its managing director, whole time director, manager, CEO, CFO or Company Secretary for indemnifying any of them against any liability in respect of any negligence, default, breach of trust for which they may be guilty in relation to the company.
b) The premium paid on such insurance shall not be treated as part of the remuneration payable to any such personnel.
c) If such person is proved to be guilty, the premium paid on such insurance shall be treated as part of the remuneration.

4.9 Receiving Commission

Any director who is in receipt of any commission from the company and who is a managing or whole-time director of the company shall not be disqualified from receiving any remuneration or commission from any holding company or subsidiary company of such company subject to its disclosure by the company in the Board's report.

4.10 Contravention

If any person contravenes section 197, he shall be liable to penalty with fine of ₹ 1 Lakh and where such default has been made by the company, penalty shall be ₹ 5 Lakhs.

Concept 5 - Section 200: company to fix limit with regard to remuneration

A company may, while according its approval under section 196, to any appointment or to any remuneration under section 197, in respect of cases where the company has inadequate or no profits, fix the remuneration within the limits specified in this Act, at such amount or percentage of profits of the company, as it may deem fit and while fixing the remuneration, the Central Government or the company shall have regard to:

a) the financial position of the Company
b) the remuneration or commission drawn by the individual concerned in any other capacity.
c) the remuneration or commission drawn by him from any other company.
d) professional qualifications and experience of the individual concerned.
e) any other matters as may be prescribed

Concept 6 – Section 202: Compensation for Loss of Office

Loss of office means cessation/end of the job of the director.

3.1 Eligibility

According to Section 202(1), A company may make payment to a managing or whole-time director or manager, but not to any other director, by way of compensation for loss of office, or as consideration for retirement from office.

3.2 No Payment in certain cases

According to Section 202(2), No payment of compensation shall be made in the following cases:

a) where the director resigns from his office as a result of the reconstruction/amalgamation of the company with any other body corporate and is appointed as the director of the reconstructed company or of amalgamated company
b) where the director resigns from his office in normal course
c) where the office of the director is vacated under Section 167.
d) Where the company is being wound up due to the negligence or default of the director.
e) where the director has been guilty of fraud or breach of trust in relation to the conduct of the affairs of the company or any subsidiary company or holding company
f) where the director has intentionally taken part directly or indirectly in bringing about the termination of his office.

3.3 Amount of Compensation

According to Section 202(3),

a) Any payment made to a managing or whole-time director or manager shall not exceed the remuneration which he would have earned if he had been in office for the remainder of his term or for 3 years, whichever is shorter,
b) Calculated on the basis of the average remuneration actually earned by him during a period of 3 years immediately preceding the date on which he ceased to hold office, or where he held the office for a lesser period than three years, during such period.
c) No such payment shall be made to the director in the event of the winding up of the company, before or within 12 months after, the date on which he ceased to hold office, if the assets of the company on the winding up, after deducting the expenses thereof, are not sufficient to repay to the shareholders the share capital, including the premiums, if any, contributed by them.
d) Nothing in this section shall be deemed to prohibit the payment to a director of any remuneration for services rendered by him to the company in any other capacity.

The Companies Act, 2013

Unit 08 Investment and Loans

Sections **185, 186 & 187 and 73 to 76A**



Concept 1 - Section 185: Loan to Directors

Imposition of Restrictions

According to Section 185(1), A company is not permitted, directly or indirectly, to advance any loan, including any loan represented by a book debt to, or to give any guarantee or provide any security in connection with any loan taken by:

a) any director of company, or of a company which is its holding company or any partner or relative of any such director; or
b) any firm in which any such director or relative is a partner.

Relaxation from restrictions

According to Section 185(2), Subject to the specified conditions, a company is permitted to:

a) advance any loan including any loan represented by a book debt, or
b) give any guarantee or provide any security in connection with any loan taken,

by any person in whom any of the director of the company is interested.

The specified conditions to be followed are:

a) a special resolution is passed by the company in general meeting.
b) the loans are utilized by the borrowing company for its principal business activities.

The expression "any person in whom any of the director of the company is interested" means,

c) any private company of which any such director is a director or member;
d) body corporate at a general meeting of which not less than 25% of the total voting power may be exercised or controlled by any such director, or by two or more such directors, together; or
e) body corporate, the Board of directors, managing director or manager, whereof is accustomed to act in accordance with the directions or instructions of the Board, or of any director or directors, of the lending company.

Non-applicability of restrictions

According to Section 185(3), In the following cases, restrictions stated in Section 185 (1) or specified conditions for relaxation of restrictions stated in Section 185 (2) shall not apply:

a) where any loan is given to a managing or whole-time director

   i) as a part of the conditions of service extended by the company to all its employees; or
   ii) pursuant to any such scheme which is approved by the members by a special resolution.

b) where a company in the ordinary course of its business:

   i) provides loans or gives guarantees or securities for the due repayment of any loan; and

ii) in respect of such loans an interest is charged at a rate not less than the rate of prevailing yield of Government security closest to the tenor of the loan.

c) where any loan is made by a holding company to its wholly owned subsidiary company; or
d) where any guarantee is given or security is provided by a holding company in respect of any loan made to its wholly owned subsidiary company.
e) Where any guarantee is given or security is provided by a holding company in respect of loan made by any bank or financial institution to its subsidiary company.

As a pre-condition, it must be ensured that the loans made under clauses (c) to (e) are utilized by the subsidiary company for its principal business activities.

Penalty for Contravention

If any loan is advanced or a guarantee is given or provided in contravention of the provisions of section 185, the following penalties shall be leviable:

Punishment for the Company

Fine - Minimum ₹ 5 lakhs and maximum ₹ 25 lakhs.

Punishment for Every Officer in default

Imprisonment- Maximum 6 months or

Fine - Minimum ₹ 5 lakhs and maximum ₹ 25 lakhs

Punishment for the director or the other person to whom any loan is advanced or guarantee or security is given in connection with any loan taken by him or the other person

Imprisonment- Maximum 6 months or

Fine - Minimum ₹ 5 lakhs and maximum ₹ 25 lakhs or both imprisonment and fine.

Concept 2 - Section 186: Loan and Investment by Company

It is applicable to both public and private companies.

According to Section 186(1), A company is not permitted to make investment through more than 2 layers of investment companies.

"Investment company" means a company whose principal business is the acquisition of shares, debentures or other securities. A company will be deemed to be principally engaged in the business of acquisition of shares, debentures or other securities,

a) if its assets in the form of investment in shares, debentures or other securities constitute not less than 50% of its total assets or

b) if its income derived from investment business constitutes not less than 50% as a proportion of its gross income.

Exception to the rule of two layers: In the following cases, the provisions of Section 186 (1) shall not be applicable:

a) Acquisition of a company incorporated outside India: If a company acquires any other company incorporated in a country outside India and such other company can have investment subsidiaries beyond two layers as per the laws of such country.
b) Subsidiary from having an investment subsidiary: A subsidiary company can have any investment subsidiary for the purposes of meeting the requirements under any law for the time being in force.

According to Section 186(2), No company shall directly or indirectly

a) give any loan to any person or other body corporate
b) give any guarantee or provide security in connection with a loan to any other body corporate or person and
c) acquire by way of subscription, purchase or otherwise, the securities of any other body corporate,

exceeding 60% of its paid-up share capital, free reserves and securities premium account or 100% of its free reserves and securities premium account, whichever is more. The word "person" does not include any individual who is in the employment of the company under this section.

Where the aggregate of the loans and investment so far made, the amount for which guarantee or security so far provided to or in all other bodies corporate along with the investment, loan, guarantee or security proposed to be made or given by the Board, exceed the limits specified under Section 186 (2), no investment or loan shall be made or guarantee shall be given or security shall be provided unless previously authorised by a special resolution passed in a general meeting.

Related provisions

a) Any investment shall be made or loan or guarantee or security given by the company only after when the resolution sanctioning it is passed at a meeting of the Board with the consent of all the directors present at the meeting.
b) The prior approval of the public financial institution concerned where any term loan is subsisting shall also be obtained.
c) Prior approval of a public financial institution (PFI) shall not be required where the aggregate of the loans and investments so far made, the amount for which guarantee or security so far provided to or in all other bodies corporate, along with the investments, loans, guarantee or security proposed to be made or given:

    i) does not exceed the limit as specified in section 186(2) and
    ii) there is no default in repayment of loan instalments or payment of interest thereon as per the terms and conditions of such loan to the public financial institution.

d) A loan under this section shall be given at a rate of interest which is not lower than the prevailing yield of one year, 3 year, 5 year or 10 year Government Security closest to the tenor of the loan.
e) A company which is in default in the repayment of any deposits accepted before or after the commencement of the Act or in payment of interest thereon, shall not give any loan or give any guarantee or provide any security till such default continues.
f) Every company shall maintain a register containing the particulars of loans, guarantee and security provided by the company and kept at the registered office of the company. Such register shall be open for inspection and extracts can be taken and copies may be furnished to any member on payment of prescribed fees.

Non Applicability of Section 186

a) to any loan made, any guarantee given or any security provided or any investment:

    1) made by a banking company, or an insurance company, or a housing finance company in the ordinary course of its business; or
    2) made by a company established with the object of and engaged in the business of financing industrial enterprises, or of providing infrastructural facilities ;
    For the purposes above provision, the expression "business of financing industrial enterprises" shall include-
        (i) with regard to a NBFC registered with RBI, "business of giving of any loan to a person or providing any guaranty or security for due repayment of any loan availed by any person in the ordinary course of its business"; and
        (ii) with regard to a Finance Company registered with the International Financial Services Centres Authority, "specific activities as provided under the International Financial Services Centres Authority (Finance Company) Regulations, 2021 in the ordinary course of its business".

b) to any investment:

    1) made by an investment company;
    2) made in shares allotted or in shares allotted in pursuance of rights issues made by a body corporate;
    3) made, in respect of investment or lending activities, by NBFC whose principal business is acquisition of securities.

Punishment for contravention

According to Section 186 (13), In case of contravention of any of the provisions of Section 186, the punishment shall be as under:

a) Company: punishable with minimum fine of ₹ 25,000 and maximum of ₹ 5 lakhs.
b) Every defaulting officer: punishable with imprisonment maximum up to 2 years and with fine minimum of ₹ 25,000 and maximum of ₹ 1,00,000.

Concept 3 - Section 187: Investments of Company to be held in its own name

According to Section 187(1), All investments made or held by a company in any property, security or other asset shall be made and held by it in its own name:

Provided that the company may hold any shares in its subsidiary company in the name of any nominee or nominees of the company, if it is necessary to do so, to ensure that the number of members of the subsidiary company is not reduced below the statutory limit.

According to Section 187(2), Nothing in this Section shall be deemed to prevent a company (Exceptions):

a) from depositing with a bank, any shares or securities for the collection of any dividend or interest payable thereon.
b) From depositing with or transferring to, or holding in the name of the State Bank of India or a scheduled bank, being the bankers of the company, shares or securities, in order to facilitate the transfer thereof:
c) from depositing with, or transferring to, any person any shares or securities, by way of security for the repayment of any loan.
d) From holding investments in the name of a depository when such investments are in the form of securities held by the company as a beneficial owner.

According to Section 187(3), Where any shares or securities in which investments have been made by a company are not held by it in its own name, the company shall maintain a register which shall contain such particulars as may be prescribed and such register shall be open to inspection by any member or debenture-holder of the company without any charge during business hours.

Concept 4 - Meaning of Deposit and Depositor

Deposit - includes any receipt of money by way of deposit or loan or in any other form by a company, but does not include such categories of amount as may be prescribed in consultation with the Reserve Bank of India.

Depositor – Any member of public or private company who has deposited money with its company and Any person (member or not) who has deposited money with a public company

Concept 5 - Section 73: Prohibition on Acceptance of Deposits from Public

According to Section 73(1), No company can invite, accept or renew deposits under this Act from the public except in a manner provided under this Chapter.

Exceptions: Banking company and non-banking financial company and such other company as the Central Government may, after consultation with the Reserve Bank of India, specify.

According to Section 73(2), A company may, with the mandate of a resolution in general meeting and subject to such rules as may be prescribed accept deposits from its members on such terms and conditions, including the provision of security, if any, or for the repayment of such deposits with interest, as may be agreed upon between the company and its members, subject to the fulfilment of the following conditions, namely:

a) issuance of a circular to its members including
    i) statement showing the financial position of the company
    ii) the credit rating obtained
    iii) the total number of depositors
    iv) the amount due towards deposits in respect of any previous deposits accepted by the company
    v) such other particulars in such form and in such manner as may be prescribed.
b) Filing a copy of the circular along with such statement with the Registrar within 30 days before the date of issue of the circular.
c) Depositing on or before 30th April each year at least 20% of the amount of its deposits maturing during the following financial year, and kept in a scheduled bank in a separate bank account to be called as deposit repayment reserve account.
d) Provided that the amount remaining deposited shall not at any time fall below 20% of the amount of deposits maturing during the financial year.
e) certifying that the company has not committed any default in the repayment of deposits accepted either before or after the commencement of this Act or payment of interest on such deposits, and where the default has occurred, the company made good the default and five years have elapsed since then.
f) providing security, if any for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company.

Provided that in case where a company does not secure the deposits or secures such deposits partially, then, the deposits shall be termed as 'unsecured deposits' and shall be so quoted in every circular, form, advertisement or in any document related to invitation or acceptance of deposits.

According to Section 73(3), Every deposit accepted by a company shall be repaid with interest in accordance with the terms and conditions.

According to Section 73(4), Where a company fails to repay the deposit or part there of or any interest thereon under Section 73(3), the depositor concerned may apply to the Tribunal for an order directing the company to pay the sum due or for any loss or damage incurred by him as a result of such non-payment and for such other orders as the Tribunal may deem fit.

According to Section 73(5), The deposit repayment reserve account shall not be used by the company for any purpose other than repayment of deposits.

Terms and Conditions of Acceptance of Deposits by Companies (Rule 3)

a) No company shall accept or renew any deposit, whether secured or unsecured, which is repayable on demand or upon receiving a notice within a period of less than 6 months or more than 36 months from the date of acceptance or renewal of such deposit.
b) However, a company may, accept or renew such deposits for repayment earlier than 6 months: not exceeding 10% of the aggregate of the paid up share capital, free reserves and Securities Premium of the company, but shall be repayable not earlier than 3 months.
c) Maximum limit of deposit outstanding at any point of time from members shall be 35% of the aggregate of the Paid-up share capital, Free reserves and securities premium of the company.

Creation of Security (Rule 6)

Every eligible company inviting secured deposits shall provide for security by way of a charge on its assets for the due repayment of the amount of deposit and interest thereon for an amount which shall not be less than the amount remaining unsecured by the deposit insurance.
The security (not being in the nature of a pledge) for deposits as specified above shall be created in favour of a trustee for the depositors on:

a) specific movable property of the company or
b) specific immovable property of the company wherever situated, or any interest therein

Appointment of Trustee for Depositors (Rule 7)

1) No eligible company shall issue a circular or advertisement inviting secured deposits unless the company has appointed one or more trustees for depositors for creating security for the deposits.
2) The company shall execute a deposit trust deed in Form DPT-2 at least 7 days before issuing the circular or circular in the form of advertisement.
3) No person including a company that is in the business of providing trusteeship services shall be appointed as a trustee for the depositors, if the proposed trustee (Disqualifications of Trustee):
    a) is a director, KMP or any other officer or an employee of the company or of its holding, subsidiary or associate company or a depositor in the company.
    b) is indebted to the company, or its subsidiary or its holding or associate company or a subsidiary of such holding company.
    c) has any material pecuniary relationship with the company.
    d) has entered into any guarantee arrangement in respect of principal debts secured by the deposits or interest thereon.
    e) is related to any person specified in clause a) above.
4) No trustee for depositors shall be removed from office after the issue of circular or advertisement and before the expiry of his term except with the consent of all the directors present at a meeting of the board.

Duties of Trustees (Rule 8)

It shall be the duty of every trustee for depositors to:

a) ensure that the assets of the company on which charge is created together with the amount of deposit insurance are sufficient to cover the repayment of the principal amount of secured deposits outstanding and interest accrued thereon.
b) satisfy himself that the circular or advertisement inviting deposits does not contain any information which is inconsistent with the terms of the deposit scheme or with the trust deed and is in compliance with the rules and provisions of the Act.
c) ensure that the company does not commit any breach of covenants and provisions of the trust deed.
d) take such reasonable steps as may be necessary to procure a remedy for any breach of covenants of the trust deed or the terms of invitation of deposits.
e) take steps to call a meeting of the holders of depositors as and when such meeting is required to be held.

f) supervise the implementation of the conditions regarding creation of security for deposits and the terms of deposit insurance.
g) do such acts as are necessary in the event the security becomes enforceable.
h) carry out such acts as are necessary for the protection of the interest of depositors and to resolve their grievances.

Meeting of Depositors (Rule 9)

The trustee for depositors shall call a meeting of all the depositors on:

a) requisition in writing signed by at least 1/10th of the depositors in value for the time being outstanding.
b) the happening of any event, which constitutes a default or which, in the opinion of the trustee for depositors, affects the interest of the depositors.

Concept 6 - Section 74: Repayment of Deposits accepted before Commencement of this Act

According to Section 74(1), Where in respect of any deposit accepted by a company before the commencement of this Act, the amount of such deposit or part thereof or any interest due thereon remains un paid on such commencement or becomes due at any time thereafter, the company shall:

a) file, within a period of 3 months from commencement or from the date on which such payments are due, with the Registrar a statement of all the deposits accepted by the company and sums remaining unpaid on such amount with the interest payable along with the arrangements made for such repayment and
b) repay within 3 years from such commencement or on or before expiry of the period for which the deposits were accepted, whichever is earlier

According to Section 74(2), The Tribunal may on an application made by the company, after considering the financial condition of the company, the amount of deposit and the interest payable and such other matters, allow further time as considered reasonable to the company to repay the deposit.

According to Section 74(3), If a company fails to repay the deposit or any interest within the time specified or such further time as may be allowed by the Tribunal, the company shall, in addition to the payment of the amount of deposit or part thereof and the interest due, be punishable with fine which shall not be less than ₹ 1 crore rupees but which may extend to ₹ 10 crore rupees and every officer of the company who is in default shall be punishable with imprisonment which may extend to 7 years or with fine which shall not be less than ₹ 25 lakhs but which may extend to ₹2 crore or with both.

Concept 7 - Registers of Deposits

Every company accepting deposits shall maintain at its registered office one or more separate registers for deposits accepted or renewed, in which there shall be entered separately in the case of each depositor the following particulars, namely:

a) name, address and PAN of the depositors

b) particulars of guardian, in case of a minor
c) particulars of the nominee.
d) deposit receipt number.
e) date and the amount of each deposit.
f) duration of the deposit and the date on which each deposit is repayable.
g) rate of interest or such deposits to be payable to the depositor.
h) due date for payment of interest
i) mandate and instructions for payment of interest and for non-deduction of tax at source, if any.
j) date or dates on which the payment of interest shall be made.
k) particulars of security or charge created for repayment of deposits
l) any other relevant particulars.

The entries specified above shall be made within 7 days from the date of issuance of the receipt duly authenticated by a director or secretary of the company or by any other officer authorised by the Board for this purpose.

The register shall be preserved in good order for a period of not less than 8 years from the financial year in which the latest entry is made in the register.

Concept 8 - Section 75: Damages for Fraud

According to Section 75(1), Where a company fails to repay the deposit or part thereof or any interest thereon referred to in Section 74, and it is proved that the deposits had been accepted with intent to defraud the depositors or for any fraudulent purpose, every officer of the company who was responsible for the acceptance of such deposit shall be liable under Section 447 and be personally responsible for all or any of the losses or damages that may have been incurred by the depositors.

According to Section 75(2), Any suit, proceedings or other action may be taken by any person, group of persons or any association of persons who had incurred any loss as a result of the failure of the company to repay the deposits any interest thereon.

Concept 9 - Section 76: Acceptance of Deposits from Public by Certain Companies

Only Eligible companies can accept deposits from the public, in addition to their members.

"Eligible company" for acceptance of deposits from public : means a

a) public limited company
b) with net worth minimum ₹ 100 crores or a turnover of minimum ₹ 500 crores
c) have consent of shareholders through special resolution to accept public deposits.
d) The special resolution has been filed with the registrar.
e) Later on an ordinary resolution is enough for acceptance of deposits.

No eligible company shall accept or renew:

a) any deposit from its members exceeding 10% of paid-up share capital, Free reserves and security premium of the company.

b) any other deposit exceeding 25% paid-up share capital, Free reserves and security premium of the company.

Provided that such a company shall be required to obtain the rating from a recognised credit rating agency for informing the public the rating given to the company at the time of invitation of deposits from the public which ensures adequate safety and the rating shall be obtained for every year during the tenure of deposits.

Provided further that every company accepting secured deposits from the public shall within 30 days of such acceptance, create a charge on its assets of an amount not less than the amount of deposits accepted in favour of the deposit holders in accordance with such rules as may be prescribed.

Concept 10 - Section 76A: Punishment for contravention of Section 73 or Section 76

Where a company accepts or invites any deposit in contravention of the manner or the conditions prescribed under Section 73 or Section 76 or rules or if a company fails to repay the deposit or any interest due thereon within the time specified under Section 73 or Section 76 or rules made thereunder or such further time as may be allowed by the Tribunal then,

Punishment for the company

The company shall, in addition to the payment of the amount of deposit or part thereof and the interest due, be punishable with fine which shall not be less than ₹ 1 crore or twice the amount of deposit whichever is lower but which may extend to ₹ 10 crores

Punishment for the officer in default

Every officer of the company who is in default shall be punishable with imprisonment which may extend to 7 years and fine which shall not be less than ₹ 25 lakhs but which may extend to ₹ 2 crores.

But if it is proved that the officer of the company who is in default, has contravened such provisions knowingly or wilfully with the intention to deceive the company or its shareholders or depositors or creditors or tax authorities, he shall be liable for action under Section 447.

The Companies Act, 2013

Unit 09

Inspection inquiry and investigation

Sections **206 - 225**



Concept 1 - Introduction

In a company, shareholders elect directors to manage its operations. However, directors may sometimes misuse their power, leading to potential harm to stakeholders. To address this, the Central Government is empowered to investigate when there are suspicions of fraud, unlawful activities, or oppression.

Chapter XIV of the Companies Act, 2013 (Sections 206 to 229), outlines the provisions for Inspection, Inquiry, and Investigation.

Concept 2 – Meaning of the terms with examples

Inspection
The Act of looking into something carefully to ensure everything is correct and legal.
Example: A manufacturing company conducts quality inspections before the sale of its products to ensure customer satisfaction.

Inquiry
It's an official process to discover the facts behind something that went wrong.
Example: There is a misstatement in the company's financial records, and the finance department may order an inquiry to determine the cause.

Investigation
It's a process of examining a crime or issue to uncover the truth and identify the people involved.
Example: A theft has occurred in the company, and now a full investigation team will be launched to uncover the facts.

Concept 3 – Section 206: Power to call for information, inspect Books and Conduct Inquiries

3.1 Power of the Registrar to call for information, explanation or documents.

According to Section 206(1), where on scrutiny of any document or on any information received, the Registrar is of the opinion that further information or explanation or documents relating to the company is necessary, he may by a written notice require the company—
a) to furnish in writing such information or explanation; or
b) to produce such documents,
within such reasonable time, as may be specified in the notice.

3.2 Duty of the Company and its officers

According to Section 206(2), On the receipt of a notice, it shall be the duty of the company and its officers,
a) to furnish such information or explanation to the best of their knowledge and power and
b) to produce the documents to the Registrar within the time specified.

Duty of past officers of the company: The Past Officers of the company shall also furnish such information or explanation to the best of their knowledge, if called upon by the Registrar through a notice served on them in writing.

3.3 Additional written notice by the Registrar

According to Section 206 (3), The Registrar may by additional written notice call on the company to produce such further books of account, books, papers and explanations as he may require at such time specified in the notice, when –

a) If no information or explanation is furnished to the Registrar within the time specified or
b) If the Registrar on an examination of the documents furnished is of the opinion that the information or explanation furnished is inadequate or
c) If the Registrar is satisfied on a scrutiny of the documents furnished that an
   - unsatisfactory state of affairs exists in the company.
   - the documents do not disclose a full and fair statement of the information required.

3.4 Inquiry by Registrar

According to Section 206(4), If the Registrar is satisfied on the basis of information furnished to him or on a representation made to him by any person, that

a) the business of a company is being carried on for a fraudulent or unlawful purpose or not in compliance with the provisions of this Act or
b) if the grievances of investors are not being addressed.

the Registrar shall follow the below procedure for inquiry,

a) Inform the company of the allegations made against it by a written order.
b) Call on the company to furnish in writing any information or explanation on matters specified in the order within such time as he may specify and
c) carry out inquiry after providing the company a reasonable opportunity of being heard.

3.5 Inquiry by Central Government

The Central Government may, if it is satisfied that the circumstances so warrant,

a) direct the Registrar or an inspector appointed by it for such purpose to carry out the inquiry.
b) direct inspection of books and papers of a company by an inspector appointed by it for the purpose.
c) by general or special order, authorize any statutory authority to carry out the inspection of books of account of a company.

If a company fails to furnish any information or explanation or produce any document, the company and the officers in default shall become liable for penalty.

Concept 4 – Section 207: Conduct of Inspection and Inquiry

4.1 Duty of director, officer or employee

According to Section 207 (1), When the registrar calls for any information or while carrying out any inspection or inquiry, it shall be the duty of every director, officer, or other employees of the company:

a) to produce all such documents; and
b) to furnish with such statements, information or explanations in such form as may require; and
c) to render all assistance in connection with such inspection.

4.2 Powers of the Registrar or inspector

According to Section 207 (2), The Registrar or inspector during such inspection or inquiry,

a) make or cause to be made copies of books of account and other books and papers; or
b) place or cause to be placed any marks of identification in such books.

The Registrar or inspector making an inspection or inquiry shall have all the powers as are vested in a civil court under the Code of Civil Procedure, 1908.

4.3 Penalty for Contravention

According to Section 207(4), If any director or officer of the company disobeys the direction issued by the Registrar or the inspector under this section, the director, or the officer,

a) shall be punishable with imprisonment and with fine.
b) shall vacate his office.
c) shall be disqualified from holding an office in any company.

Concept 5 – Section 208: Report on Inspection

According to this Section 208, The Registrar or inspector shall, after the inspection or an inquiry, submit a report in writing to the Central Government and may recommend in report that there is the need of further investigation with reasons in support.

Concept 6 – Section 209: Circumstances for seizure

6.1 Search and Seizure by Registrar

According to this Section 209(1), based on the information in his possession, the Registrar or inspector has reasonable ground to believe that the books and papers of

a) a company
b) the key managerial personnel
c) any director or
d) auditor or
e) company secretary in practice

are likely to be destroyed, mutilated, altered, falsified or secreted, he may,

after obtaining an order from the Special Court for the seizure of such books and papers,

a) enter and search, the place or places where such books or papers are kept and
b) seize such books and papers as he considers necessary after allowing the company to take copies or extracts at its cost.

6.2 Period of seizure

According to Section 209(2), The Registrar or inspector shall return the seized books and papers to the company within 180 days of the seizure.

The books and papers may be called for by the Registrar or inspector for a further period of 180 days by an order in writing if they are needed again. Before returning such books and papers, the Registrar or inspector may take copies or extracts of them or place identification marks on them if he considers necessary.

The provisions of the Code of Criminal Procedure, 1973 relating to searches or seizures shall apply to every search and seizure made under this Chapter.

Concept 7 – Section 210: Investigation into affairs of company

According to this section 210 (1), Where the Central Government is of the opinion, that it is necessary to investigate into the affairs of a company, it may order an investigation.

a) on the receipt of a report of the Registrar or inspector under section 208
b) on intimation of a special resolution passed by a company that the affairs of the company ought to be investigated or
c) Suo moto in public interest
d) Where an order is passed by a court or the Tribunal in any proceedings before it that the affairs of a company ought to be investigated

According to Section 210 (3), the Central Government may appoint one or more persons as inspectors to investigate into the affairs of the company and to report thereon.

Concept 8 – Section 212: Investigation by Serious Fraud Investigation Office (SFIO)

8.1 Serious Fraud Investigation Office (SFIO)

The Central Government has established an office called the Serious Fraud Investigation Office to investigate frauds relating to a company.

8.2 Assigning of investigation to SFIO by CG:

According to section 212(1), where the Central Government is of the opinion, that it is necessary to investigate into the affairs of a company by the Serious Fraud Investigation Office (SFIO) –

a) on receipt of a report of the Registrar or inspector under section 208
b) on intimation of a special resolution passed by a company that its affairs are required to be investigated
c) in the public interest
d) on request from any Department of the Central Government or a State Government.

the Central Government may, by order, assign the investigation into the affairs of the company to the SFIO.

8.3 Investigation by SFIO

a) On receipt of such order SFIO may designate such number of inspectors necessary for such investigation.
b) Where a case has been assigned by the Central Government to the SFIO for investigation, no other investigating agency of Central Government or any State Government shall proceed with investigation in such case.
c) In case investigation has already been initiated, the concerned agency shall transfer the relevant documents and records in respect of such investigation to SFIO.
d) SFIO shall conduct the investigation in the manner and follow the procedure provided in Chapter XIV of the Act.
e) The company and its officers and employees, who are or have been in employment of the company shall be responsible to provide all information, explanation, documents and assistance to the Investigating Officer as he may require for conduct of the investigation.

The SFIO shall submit an interim report and the final investigation report on completion of the investigation to the Central Government. On receipt of the investigation report, the Central Government may direct the SFIO to initiate prosecution against the company and its officers or employees.

Concept 9 – Section 213: Investigation into affairs of company in other cases

Case 1 - The Tribunal may, on an application made by,

a) not less than 100 members or members holding not less than 1/10th of the total voting power, in the case of a company having a share capital; or

b) not less than 1/5th of the persons on the company's register of members, in the case of a company having no share capital,

and supported by such evidence for conducting an investigation into the affairs of the company or

Case 2 - The Tribunal may, on an application made to it by any other person or otherwise, if it is satisfied that,

a) the business of the company is being conducted with intent to defraud its creditors or members or that the company was formed for any fraudulent or unlawful purpose.

b) persons concerned in the formation or the management of affairs of the company are guilty of fraud or misconduct towards the company or towards any of its members.

c) the members of the company have not been given all the information which they might reasonably expect.

order, after giving a reasonable opportunity of being heard to the parties concerned, that the affairs of the company ought to be investigated by the Central Government.

The Central Government shall appoint one or more competent persons as inspectors to investigate into the affairs of the company. If after investigation the allegations are proved, then every officer of the company who is in default shall be punishable for fraud in the manner as provided in section 447.

Concept 10 – Section 216: Investigation of Ownership of Company

According to the Section 216(1), Central Government may appoint one or more inspectors to investigate and report, for the purpose of determining the true persons,

a) who are or have been financially interested in the success or failure, whether real or apparent, of the company or
b) who are or have been able to control or to materially influence the policy of the company or
c) who have or had beneficial interest in shares of a company or who are or have been beneficial owners of the company.

Concept 11 – Section 217: Procedures, powers, etc of inspectors

11.1 Duty of all officers and employees

According to Section 217(1), it shall be the duty of all officers and other employees and agents including the former officers, employees and agents of a company which is under investigation,

a) to preserve and to produce to an inspector, all books and papers of the company which are in their custody or power and
b) to give to the inspector all assistance in connection with the investigation which they are reasonably able to give.

11.2 Period of custody of inspector

According to Section 217(3), The inspector shall not keep in his custody any books and papers produced above for more than 180 days and return the same to the company. However, the books and papers may be called for by the inspector if they are needed again for a further period of 180 days by an order in writing.

11.3 Powers to inspectors similar as are vested in a civil court:

According to Section 217(5), the inspector making an investigation under this chapter, shall have all the powers as are vested in a civil court under the Code of Civil Procedure, 1908, namely

a) the discovery and production of books of account and other documents, at such place and time as may be specified by such person.
b) summoning and enforcing the attendance of persons and examining them on oath and
c) inspection of any books, registers, and other documents of the company at any place.

The officers of the Central Government, State Government, police, or statutory authority shall provide assistance to the inspector, which the inspector may, with the prior approval of the Central Government, require.

The Central Government may enter into an agreement with the Government of a foreign State for reciprocal arrangements to assist in any investigation.

Concept 12 – Section 218: Protection of employees during investigation

During the course of any investigation of the affairs of the company under section 210, section 212, section 213 or section 219 or section 216, such company, other body corporate proposes,

a) to discharge or suspend any employee or
b) to punish him, whether by dismissal, removal, reduction in rank or otherwise or
c) to change the terms of employment to his disadvantage.

the company shall obtain approval of the Tribunal of the action proposed against the employee and if the tribunal has any objection to the action proposed it shall send by post notice in writing to the company or the other body corporate.

If the company, other body corporate or any person concerned does not receive any notice within 30 days of making of application for the approval of the Tribunal, then the company may proceed to take against the employee, the action proposed.

If the company, other body corporate or any person concerned is dissatisfied with the objection raised by the Tribunal, it may, within a period of 30 days of the receipt of the notice of objection, appeal to the Appellate Tribunal. The decision of the Appellate Tribunal on such appeal shall be final and binding on the Tribunal and on the company or any person concerned.

Concept 13 – Section 219: Investigation into affairs of related companies

If an inspector appointed under section 210 or section 212 or section 213 to investigate into the affairs of a company considers it necessary for the purposes of the investigation, can also investigate the affairs of

a) any other body corporate which is or has at any relevant time been the company's subsidiary company or holding company, or a subsidiary company of its holding company.

b) any other body corporate which is, or has at any relevant time been managed by any person as managing director or as manager, who is, or was, at the relevant time, the managing director or the manager of the company.

c) any other body corporate whose Board of Directors comprises nominees of the company or is accustomed to act in accordance with the directions or instructions of the company or any of its directors or

d) any person who is or has at any relevant time been the company's managing director or manager or employee.

Then such inspector shall, subject to the prior approval of the Central Government, investigate into the affairs of the other body corporate or of the managing director or manager, if he considers relevant to the investigation of the affairs of the company for which he is appointed.

Concept 14 – Section 220: Seizure of documents by inspector

14.1 Seizure of books and papers

According to Section 220(1), Where during an investigation, the inspector has reasonable grounds to believe that the books and papers relating to any company or other body corporate or managing director or manager of such company are likely to be destroyed, mutilated, altered, falsified or secreted, the inspector may—

a) enter the place or places where such books and papers are kept
b) seize books and papers as he considers necessary after allowing the company to take copies of, or extracts from, such books and papers at its cost.

14.2 Time period for keeping books and papers

According to Section 220(2), The inspector shall keep in his custody the books and papers seized for such period not later than the conclusion of the investigation and thereafter shall return the same to the company.

The inspector may, before returning such books and papers take copies of, or extracts from them or place identification marks on them as he considers necessary.

Concept 15 – Restriction on transfer of Securities

If the Tribunal, during an investigation under Section 216 or based on a complaint, finds it necessary to uncover facts about securities issued or to be issued by a company, and believes such facts cannot be found without restrictions, it may impose such restrictions on the securities for a period not exceeding 3 years, as specified in the order.

The Tribunal may order a freeze on the transfer, removal, or disposal of a company's funds, assets, or properties, for a period not exceeding 3 years, if it believes such action is necessary to protect the interests of the company, its shareholders, creditors, or the public.

Concept 16 – Section 223: Inspector's Report

Submission of interim report and final report

An inspector appointed under this Chapter may, if directed by the Central Government shall, submit interim reports to that Government and on the conclusion of the investigation, shall submit a final report to the Central Government.

A copy of the above report may be obtained by members, creditors, or any other person whose interest is likely to be affected by making an application in this regard to the Central Government

Concept 17 – Section 224: Actions to be taken in pursuance of Inspector's report

According to Section 224(1), If, from an inspector's report, it appears to the Central Government that any person related to the company has been guilty of any offence for which he is criminally liable, it may prosecute such person for the offence. It shall be the duty of all officers and other employees of the company to give the Central Government the necessary assistance in connection with the prosecution.

According to Section 224(3), if an inspector's report reveals that, in the public interest, legal action should be initiated by the company or body corporate (whose affairs have been investigated) for:

a) for the recovery of damages in respect of any fraud, misfeasance or other misconduct or
b) for the recovery of any property of such company or body corporate which has been misapplied or wrongfully retained,

the Central Government may itself file proceedings for winding up in the name of such company or body corporate.

According to Section 224(4), The Central Government shall be indemnified by such company or body corporate against any costs or expenses incurred by it in, or in connection with, any proceedings brought by virtue of sub-section (3).

Concept 18 – Section 225: Expenses of Investigation

Reimbursement of expenses

The expenses of an investigation by an inspector shall be initially paid by the Central Government, but later on shall be reimbursed by the following persons:

a) any person who is convicted on a prosecution instituted, or
b) who is ordered to pay damages or
c) restore any property in proceedings brought.

Any amount for which a company or body corporate is liable, shall be a first charge on the sums or property mentioned in that clause.

The Companies Act, 2013

Unit 10

Compromises Arrangements and amalgamations

Sections **230 - 239**



Concept 1 – Introduction and Meaning of the terms

Compromise

It a peaceful and willing settlement of a dispute by mutual concessions, which results in agreement between the company and the creditors or members for a change in terms and conditions effecting their rights and obligations.

Arrangement

The term 'arrangement' is of very wide import. It includes a reorganization of the share capital of a company by the consolidation of shares of different classes, or by the division of share into shares of different classes or by both these methods.

Chapter XV of the Companies Act, 2013 (Section 230 to Section 240) provides for Compromises, Arrangements and Amalgamations.

Concept 2 – Section 230: Power to compromise or make arrangements with creditors or members

2.1 Power of Tribunal to call for a meeting on application filed for a compromise/arrangement

According to Section 230(1), When a Compromise or arrangement (C/A) is proposed,

a) between a company and its creditors
b) between a company and its members

The Tribunal may, on application of the,

a) company or
b) of any creditor or
c) member of the company, or
d) In the case of a company which is being wound up, the liquidator,

order a meeting of the creditors or of the members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.

2.2 Disclosure to be made by the Applicants

According to Section 230(2), The Company or any other person, by whom an application is made, shall disclose to the Tribunal by affidavit,

a) all material facts relating to the company, such as
   - the latest financial position of the company,
   - the latest auditor's report on the accounts of the company and
   - the pendency of any investigation or proceedings against the company.
b) reduction of share capital of the company, if any, included in the C/A.
c) any scheme of Corporate Debt Restructuring (CDR) consented to by not less than 75% of the secured creditors in value, including:

- a creditor's responsibility statement
- safeguards for the protection of other secured and unsecured creditors
- report by the auditor that the fund requirements of the company after CDR shall conform to the liquidity test based upon the estimates provided to them by the Board;
- where the company proposes to adopt the CDR guidelines specified by the Reserve Bank of India, a statement to that effect and
- a valuation report in respect of the shares and the property and assets of the company by a registered valuer.

2.3 Notice of meeting conducted on order of Tribunal

According to Section 230(3), Notice of the meeting shall be sent to all the creditors, all the members and all the debenture-holders of the company individually at the address registered with company, which shall be accompanied by:

a) a statement disclosing the details of the C/A
b) a copy of the valuation report and
c) explaining its effect on creditors, KMP, promoters and non-promoter members and the debenture holders and
d) the effect of the C/A on any material interests of the directors of the company and
e) such other matters as may be prescribed:

2.4 Advertisement of Notice

Such notice and other documents shall,

a) be placed on the website of the company and
b) in case of a listed company, these documents shall be sent to the SEBI and stock exchange where the securities of the companies are listed, for placing on their website and
c) be published in newspapers.

When the notice for the meeting is issued by way of an advertisement, it shall indicate the time within which copies of the C/A shall be made available to the concerned persons free of charge from the registered office of the company.

2.5 Procedural aspects relating to notice

A notice along with all the documents shall also be sent to,

- The Central Government.
- The Income tax authorities
- The RBI,
- The SEBI
- The Registrar
- The respective stock exchanges
- the Official liquidator
- the Competition Commission of India
- and such other sectoral regulators or authorities which are likely to be affected by the C/A .

and shall require that representations to be made by them, shall be made within a period of 30 days from the date of receipt of such notice failing which it shall be presumed that they have no representations to make on such proposals.

The Notice of the meeting after the order of the Tribunal, shall be sent individually specifying therein,

a) disclosure of nature and extent of interest and effect of C/A or
b) a statement to the effect that there is no interest or there is no effect of the scheme of C/A.

on such interest of KMP, directors, promoters, non-promoter members, depositors, creditors, debenture holders and KMP of holding, subsidiary and associate, employees of company.

c) investigation proceedings pending against the company or any promoter, director or KMP.
d) details of any No-objection(s), approvals received from the concerned authorities for the C/A.
e) details of the availability of the following documents for inspection by the members and creditors, namely:

- latest audited financial statements of the company including CFS.
- copy of the order of Tribunal.
- copy of scheme of C/A.
- contracts or agreements material to the C/A and
- such other information/documents as the Board/ Management believes necessary and relevant for making decision for / against the scheme.

g) declaration to the effect that the scheme is in the best interests of the employees, creditors, debenture holders, members, minority shareholders, etc.
h) Any objection to the C/A can be made only by persons holding
    - not less than 10% of the shareholding or
    - having outstanding debt not less than 5% of the total outstanding debt.

2.6 Approval and sanction of the scheme

a) At a meeting held if, majority of persons representing 3/4th in value of the creditors or members as the case may be, voting in person or by proxy or by postal ballot, agree to any C/A and
b) if such C/A is sanctioned by the Tribunal by an order
c) the same shall be binding on the company, all the creditors, or members, as the case may be, or, in case of a company being wound up, on the liquidator and the contributories of the company.
d) The Tribunal may dispense with calling of a meeting of creditor where such creditors having at least 90% value, agree and confirm, by way of affidavit, to the scheme of C/A.

An order made by the Tribunal shall provide for all or any of the following matters, namely:-

a) where the C/A provides for conversion of preference shares into equity shares, such preference shareholders shall be given an option to either obtain arrears of dividend in cash or accept equity shares equal to the value of the dividend payable;
b) the protection of any class of creditors;

c) if the C/A results in the variation of the shareholders' rights, it shall be given effect to under the provisions of the Act
d) if the C/A is agreed to by the creditors, any proceedings pending before the Board for Industrial and Financial Reconstruction established under section 4 of the Sick Industrial Companies (Special Provisions) Act, 1985 shall abate;
e) such other matters including exit offer to dissenting shareholders, if any, as are in the opinion of the Tribunal necessary to effectively implement the terms of the compromise or arrangement:

C/A is to be in conformity with the accounting standards to be confirmed by company's auditor. Order of Tribunal to be filed with the ROC within a period of 30 days of the receipt of the order. Further, a statement of compliance needs to be filed with ROC within 210 days from the end of each financial year.

2.7 Compromise includes takeover

According to Section 230 (11), any C/A may include takeover offer.

Members of the company holding not less than 3/4th shares of the company can file an application to acquire remaining share. In case of listed companies, takeover offer shall be as per the regulations framed by the SEBI.

Concept 3 - Section 231: Power of the Tribunal

According to Section 231(1), when the Tribunal makes an order under Section 230 sanctioning a compromise or an arrangement, it:

a) shall have power to supervise the implementation of the scheme of C/A and
b) may give such directions or make any modifications for the proper implementation of the scheme of C/A as it may consider necessary.
c) If the Tribunal is satisfied that the C/A sanctioned cannot be implemented satisfactorily with or without modifications and the company is unable to pay its debts as per the scheme, it may make an order for winding up the company.
d) Tribunal may require the liquidator or the company to report on the working of the scheme.

Concept 4 - Section 232: Merger and Amalgamation of Companies

According to Section 232(1), when an application is made to the Tribunal for a C/A proposed between a company and any such persons, and it is shown to the Tribunal:

a) that the C/A proposed involves a scheme of merger or the amalgamation of any two or more companies
b) that the whole or any part of the undertaking, property or liabilities of any company is required to be transferred to another company or two or more companies.

the Tribunal may on such application, order a meeting of the creditors or the members, to be called, held and conducted as per Section 230.

Such order shall also require to circulate the following for the meeting so ordered by the Tribunal, namely:

a) the draft of the scheme drawn up by the directors of the merging company.
b) confirmation that a copy of the draft scheme has been filed with the Registrar.
c) share exchange ratio adopted under the scheme.
d) the report of the expert with regard to valuation, if any.
e) A supplementary accounting statement, if the last Financial Statements of any of the merging company are older than 6 months before the first meeting for such approval of the scheme.

The Tribunal may, after holding of meeting, by order, sanction the C/A and make provision for the following matters, namely:

a) Transfer of Assets & Liabilities: Transfer of the undertaking, property, or liabilities of the transferor company to the transferee company from a specified date.
b) Allotment of Instruments: Allotment of shares, debentures, or similar instruments by the transferee company as per the arrangement.
c) Legal Proceedings: Continuation of legal proceedings by or against the transferee company.
d) Dissolution: Dissolution of the transferor company without winding-up.
e) Dissenting Persons: Provisions for those dissenting from the arrangement.
f) Non-Resident Share Allotment: Allotment of shares to non-residents.
g) Employee Transfer: Transfer of employees from the transferor to the transferee company.
h) Listed to Unlisted Company: Transferee remains unlisted until it becomes a listed company.
i) Authorised Capital: after dissolution the fee paid by the transferor company on its authorised capital can be set-off against the fee payable by the transferee company subsequent to amalgamation.

No C/A shall be sanctioned by the Tribunal unless a certificate from the company's auditor is filed, confirming that the proposed scheme complies with the accounting standards.

Effect of Tribunal Order: The Properties, assets & liabilities shall be transferred to the transferee company as per the tribunal order.

Registrar Filing: Certified copy of the Tribunal's order to be filed with the Registrar within 30 days of the receipt of the order. Annual statement certified by CA/CS/CMA to be filed with Registrar every year until the completion of the scheme.

Effective Date: The scheme shall clearly indicate an appointed date from which it shall be effective.

Concept 5 - Section 233: Fast track mode of merger/Amalgamation of certain Companies

According to Section 233(1), a scheme of merger or amalgamation may be entered into through fast-track mode, between the following as prescribed under Rule 25 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016:

a) two or more small companies or
b) a holding company and its wholly-owned subsidiary company or
c) two or more start-up companies or

d) one or more start-up company with one or more small company or
e) One or more unlisted company, (not being section 8 company) with one or more unlisted company, (not being section 8 company), where every company involved in the merger,
   (i) has, in aggregate, outstanding loans, debentures or deposits not exceeding ₹ 200 crores, and
   (ii) has no default in repayment of loans, debentures or deposits, on a day, not more than 30 days before the date of notice and on the date of filing of scheme.

   Provided that a certificate from the auditor of the company that the company meets the conditions referred to in this clause shall be filed along with the copy of the approved scheme.
f) a holding company (listed or unlisted) and a subsidiary company (listed or unlisted): Provided that this clause shall not apply where the transferor company or companies are listed
g) one or more subsidiary company of a holding company with one or more other subsidiary company of the same holding company where the transferor company or companies are not listed;
h) merger of the transferor foreign company incorporated outside India being a holding company with the transferee Indian company being its wholly owned subsidiary company incorporated in India.

"start-up company" means a private company incorporated under the Companies Act, 2013 or Companies Act, 1956 and recognised as such in accordance with notification issued by the Department for Promotion of Industry and Internal Trade.

Procedure to be followed

Step 1 – Preparation of proposed scheme

Step 2 – A notice of the proposed scheme shall be sent to the Registrar and Official Liquidators, inviting objections or suggestions within 30 days from the date the notice is issued by the transferor company and the transferee company.

Step 3 - the objections and suggestions received are considered by the companies in their respective general meetings and the scheme is approved by members at a general meeting holding at least 90% of the total number of shares.

Step 4 - each of the companies involved in the merger files a declaration of solvency, with the Registrar of the place where the registered office of the company is situated; and

Step 5 - the scheme shall be approved by majority representing 9/10th in value of the creditors of respective companies indicated in a meeting convened by the company by giving a notice of 21 days along with the scheme to its creditors in writing.

Step 6 - the transferee company shall file a copy of the scheme so approved with the Central Government, Registrar and the Official Liquidator.

Step 7 - On the receipt of the scheme, if the Registrar or the Official Liquidator has no objections or suggestions to the scheme, the Central Government shall register the same and issue a confirmation order to the companies.

If there are any objections or suggestions, the Registrar or the Official Liquidator may communicate the same in writing to the Central Government within a period of 30 days from the date of receipt, failing which, it shall be presumed that there is no objection to the scheme.

If the Central Government does not have any objection to the scheme or it does not file any application under this Section before the Tribunal, it shall be deemed that it has no objection to the scheme.

Application by Central Government to the Tribunal

If the Central Government is of the opinion that the scheme is not in public interest or in the interest of the creditors, it may file an application before the Tribunal within a period of 60 days of the receipt of the scheme stating its objections and requesting that the Tribunal may consider the scheme under Section 232.

Tribunal's Action to Central Government's application

The Tribunal is of the opinion that the scheme should be considered as per the procedure laid down in Section 232, the Tribunal may direct accordingly or it may confirm the scheme by passing such order.

A copy of the order confirming the scheme shall be communicated to the Registrar concerned and the Registrar shall register the scheme and issue a confirmation thereof to the companies and such confirmation shall be communicated to the Registrars where transferor company or companies were situated.

Effect of Registration of the Scheme

a) Dissolution of the transferor company without process of winding up.
b) transfer of property or liabilities of the transferor company to the transferee company.
c) the charges on the property of the transferor company shall be applicable and enforceable as if the charges were on the property of the transferee company.
d) legal proceedings by or against the transferor company pending before any court of law shall be continued by or against the transferee company, and
e) Any amount payable under the scheme, to the dissenting shareholders or to dissenting creditors, shall become the liability of the transferee company.
f) The transferee company shall not hold any shares in its own name and all such shares shall be cancelled on the merger or amalgamation.

Concept 6 - Section 234: Merger or Amalgamation of the Company with Foreign Company

The expression 'foreign company' means any company or body corporate incorporated outside India whether having a place of business in India or not. A foreign company may merge with an Indian company or vice versa after obtaining prior approval from RBI and after complying with provisions of the section 230 to 232 and relevant rules.

According to Section 234 (1), the provisions of this Chapter, shall apply to schemes of mergers and amalgamations between companies registered under this Act and Foreign companies as notified from time to time by the Central Government.

According to Section 234 (2), the terms and conditions of the scheme of merger may provide, for the payment of consideration to the shareholders of the merging company in cash or in Depository Receipts or partly in cash and partly in Depository Receipts.

According to Rule 25A of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, Merger or Amalgamation of a foreign company with a company and vice versa.

1) A foreign company incorporated outside India may merge with an Indian company after obtaining prior approval of RBI and after complying with the provisions of Sections 230 to 232 of the Act and these rules.
2) (a) A company may merge with a foreign company incorporated in any of the jurisdictions after obtaining prior approval of the RBI and after complying with provisions of Sections 230 to 232 of the Act and these rules.
   (b) The transferee company shall ensure that valuation is conducted by valuers who are members of a recognised professional body in the jurisdiction of the transferee company and further that such valuation is in accordance with internationally accepted principles on accounting and valuation. A declaration to this effect shall be attached with the application made to RBI for obtaining its approval.
3) The concerned company shall file an application before the Tribunal as per provisions of section 230 to section 232 of the Act and these rules after obtaining approvals specified above.
4) In case of a compromise or an arrangement or merger or demerger between an Indian company and a company or body corporate which has been incorporated in a country which shares land border with India, a declaration in Form No. CAA-16 shall be required at the stage of submission of application under section 230.
5) Where the transferor foreign company incorporated outside India being a holding company and the transferee Indian company being a wholly owned subsidiary company incorporated in India, enter into merger or amalgamation:
   (i) both the companies shall obtain the prior approval of the RBI;
   (ii) the transferee Indian company shall comply with the provisions of section 233;
   (iii) the application shall be made by the transferee Indian company to the Central Government under section 233 and provisions of rule 25 shall apply to such application; and
   (iv) the declaration referred to in 4) shall be made at the stage of making application under section 233.

Concept 7 - Section 235: Power to acquire shares of shareholders in dissenting from scheme approved by majority

"Dissenting shareholder" includes a shareholder who has not assented to the scheme and any shareholder who has failed or refused to transfer his shares to the transferee company in accordance with the scheme.

7.1 Basic requirements as to acquisition of shares

a) Approval by majority of shareholders: The scheme involving the transfer of shares of the transferor company to the transferee company has been approved by the holders of not less than 9/10th in value of the shares whose transfer is involved.
b) Time Limit for receiving approval: The approval from 9/10th of the shareholders in value or more shall be received within 4 months after making of an offer in that behalf by the transferee company.
c) Acquisition of the remaining shares of dissenting shareholders: The transferee company shall express its desire to acquire the remaining shares of dissenting shareholders within 2 months after the expiry of the said 4 months and shall give notice in prescribed form to any dissenting shareholders.
d) The shares already held at the date of the offer by Transferee Company, or by a nominee of the transferee company or its subsidiary companies shall not be counted for this purpose.

7.2 Right of Dissenting Shareholder to Approach Tribunal

Where a notice is given, the transferee company shall, be entitled to and bound to acquire those shares on the same terms on which the shares of the approving shareholders are to be transferred to the transferee company. Unless-

- an application made by the dissenting shareholder to the Tribunal, within 1 month from the date on which the notice was given and
- the Tribunal thinks fit to order otherwise.

7.3 Application by dissenting Shareholders

Where a notice has been given by the transferee company and the Tribunal has not, on an application made by the dissenting shareholder, made an order to the contrary, the transferee company shall,

- on the expiry of 1 month from the date on which the notice has been given, or,
- if an application to the Tribunal by the dissenting shareholder is pending, after that application has been disposed of,

send a copy of the notice to the transferor company together with an instrument of transfer, to be executed on behalf of the shareholder by any person appointed by the transferor company and on its own behalf by the transferee company, and pay to the transferor company the amount of consideration payable by the transferee company for the shares which, that company is entitled to acquire, and the transferor company shall-

- thereupon register the transferee company as the holder of those shares; and
- within 1 month of the date of such registration, inform the dissenting shareholders of the fact of registration and of the receipt of the amount of consideration paid to them by the transferee company.

7.4 Separate Bank account for disbursement to entitled shareholders

Any sum received by the transferor company shall be paid into a separate bank account, and any such sum received shall be held by that company in trust for the persons entitled to the shares in respect of which the said sum were respectively received and shall be disbursed to the entitled shareholders within 60 days.

Concept 8 - Section 236: Purchase of Minority shareholding

8.1 Notifying company for purchase of minority shareholding

a) In the event of an acquirer, or a person acting in concert becoming registered holder of 90% or more of the issued equity share capital of a company, or
b) In the event of any person or group of persons becoming 90% majority or holding 90% of the issued equity share capital of a company, by virtue of an amalgamation, share exchange, conversion of securities or for any other reason.

such acquirer, person or group of persons, shall notify the company of their intention to buy the remaining equity shares.

8.2 Offer of equity shares to minority shareholders by acquirer, person or group of persons

The acquirer shall offer to the minority shareholders of the company for buying the equity shares held by them at a price determined on the basis of valuation by a registered valuer in accordance with Rule 27 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

8.3 Offer to majority shareholder to purchase the minority equity shareholding

The minority shareholders of the company may offer to the majority shareholders to purchase the minority equity shareholding of the company at the price determined in accordance with Rule 27 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

8.4 Deposit of amount in separate bank account

The majority shareholders shall deposit an amount equal to the value of shares acquired in a separate bank account to be operated by the company for at least one year for payment to the minority shareholders and such amount shall we disbursed to the entitled shareholders within 60 days.

8.5 Determination of price for purchase of minority shareholders

Rule 27 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 prescribes that the registered valuer shall determine the price to be paid by the acquirer for purchase of equity shares of the minority shareholders of the company in accordance with the prescribed rules.

Concept 9 - Section 237: Amalgamation by Central Government on public interest

According to Section 237(1), when the Central Government is satisfied that it is essential in the public interest that two or more companies should amalgamate,

It may order for the amalgamation of those companies into a single company with such constitution, with such property, powers, rights, interests, and with such liabilities, duties and obligations, as may be specified in the order. The order may specify the continuation of any legal proceedings by or against the transferee company that were pending against the transferor company

Every member or creditor, including a debenture holder, of each of the transferor companies before the amalgamation shall have the same interest or rights in the transferee company as he had earlier. Otherwise, he shall be entitled to compensation to that extent, which shall be assessed and paid to

the member or creditor concerned by the transferee company. Every such assessment shall be published in the Official Gazette.

Any person aggrieved by any assessment of compensation, may, within a period of 30 days from the date of publication of such assessment in the Official Gazette, appeal to the Tribunal and thereupon the assessment of the compensation shall be made by the Tribunal.

Concept 10 - Section 238: Registration of offers and scheme

According to Section 238(1), every offer of a scheme involving the transfer of shares in the transferor company to the transferee company, shall comply with following -

a) every circular containing such offer and recommendation by its directors to accept such offer, shall be sent to the members of the transferor company
b) every such offer shall contain a statement by the transferee company, disclosing the steps it has taken to ensure that necessary cash will be available and
c) Every such circular shall only be circulated after registration. Registrar may refuse registration which may be appealed to the NCLT.

The Companies Act, 2013

Unit 11

Prevention of Oppression and Mismanagement

Sections **241 - 245**



Concept 1 – Introduction

Case Law - Foss Vs Harbottle

In the case of Foss v. Harbottle, two shareholders of the Victory Park Company, Foss and Turton, sued the company's directors and promoters for misappropriation of assets and other improper acts. The court ruled against the shareholders and established two key principles:

a) The Proper Plaintiff Principle

If any wrongdoing, such as misappropriation of assets or director misconduct, occurs within a company, the company itself is the only proper party to file a suit. This means that the company, not individual shareholders, should take legal action.

b) The Majority Rule Principle

Major decisions in a company are made at general meetings, following a democratic process. If the majority of shareholders approve a decision, the minority shareholders cannot challenge it.

However, there are four exceptions where shareholders can bring an individual suit, even without following these principles:

a) Acts that are illegal or ultra vires to the company's objectives.
b) Acts that require a special majority but are passed by a simple majority.
c) Minority oppression.
d) Fraud on the minority.

Concept 2 - Meaning of Oppression and Mismanagement

Oppression: If affairs of a company have been or are being conducted prejudicial to public interest or in a manner prejudicial or oppressive to any member or prejudicial to the interest of company, there is a case of oppression.

Mismanagement: Any material change that has taken place in management or control of a company and that by reason of such change it is likely that the affairs of a company will be conducted prejudicial to interest of its member or company, that would also be considered as mismanagement.

Concept 3 – Section 241: Application to the Tribunal for relief in cases of Oppression

Chapter XVI of the Companies Act, 2013 (Section 241 to Section 246) provides for Prevention of Oppression and Mismanagement.

According to Section 241(1), Any member of a company who complains that:

a) the affairs of the company have been or are being conducted in a manner prejudicial to public interest or in a manner prejudicial or oppressive to him or any other member or members or in a manner prejudicial to the interests of the company; or

b) the material change, not being a change brought in the interests of creditors, including debenture holders or shareholders of the company, has taken place in the management or control of the company, it is likely that the affairs of the company will be conducted in a manner prejudicial to its interests or its members.

may apply to the Tribunal, provided such member has a right to apply under section 244, for an order under this Chapter.

According to Section 241(2), The Central Government, if it is of the opinion that the affairs of the company are being conducted in a manner prejudicial to public interest, it may itself apply to the Tribunal for an order under this Chapter,

According to Section 241(3), Where in the opinion of the Central Government there exist circumstances suggesting that,

a) Any person in management is guilty of fraud, misfeasance, persistent negligence, or breach of duty.
b) The business is not being conducted in line with sound business principles or prudent commercial practices.
c) Management is being conducted in a way that has caused or is likely to cause serious harm to the interests of the trade or industry to which the company belongs.
d) The business is being carried out with the intent to defraud creditors, members, or for any fraudulent or unlawful purpose.

the Central Government may initiate a case against such person and refer the same to the Tribunal with a request that the Tribunal may inquire into the case and record a decision as to whether or not such person is a fit and proper person to hold the office of director or any other office connected with the conduct and management of any company.

Concept 4 - Section 244: Right to apply to Tribunal

According to Section 244(1), The following members of a company shall have the right to apply under Section 241, namely:

a) in the case of a company having a share capital, not less than 100 members of the company or not less than $1/10^{th}$ of the total number of its members, whichever is less, or any member or members holding not less than $1/10^{th}$ of the issued share capital of the company, subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares;
b) in the case of a company not having a share capital, not less than $1/5^{th}$ of the total number of its members

tribunal may, on an application made to it in this behalf, waive all or any of the requirements specified in above so as to enable the members to apply under section 241.

According to Section 244(2), Where any members of a company are entitled to make an application above, any one or more of them having obtained the consent in writing of the rest, may make the application on behalf and for the benefit of all of them.

Concept 5 - Section 242: Powers of Tribunal

According to Section 242(1), On application made under Section 241, the Tribunal is of the opinion:

a) that the company's affairs have been or are being conducted in a manner prejudicial or oppressive to any member or members or prejudicial to public interest or in a manner prejudicial to the interests of the company, and
b) that to wind up the company would unfairly impact such member or members, but that otherwise the facts would justify the making of a winding-up order on the ground that it was just and equitable that the company should be wound up

the Tribunal may make such order as it thinks fit.

According to Section 242(2), an order made under above circumstances may provide for:

a) the regulation of conduct of affairs of the company in future.
b) the purchase of shares or interests of any members of the company
c) consequent reduction of its share capital.
d) restrictions on the transfer or allotment of the shares of the company.
e) the termination, setting aside or modification, of any agreement between the company and the managing director, any other director or manager or any other person.
f) the termination, setting aside or modification, of any agreement between the company and any other person, except after due notice and after obtaining the consent of the party concerned.
g) removal of the managing director, manager or any of the directors of the company.
h) recovery of undue gains made by managerial persons
i) appointment of such number of persons as directors, who may be required by the Tribunal to report to the Tribunal as it directs
j) imposition of costs
k) any other matter as determined by the tribunal.

According to Section 242(3), A certified copy of the order of the Tribunal shall be filed by the company with the Registrar within 30 days of the order of the Tribunal.

The Tribunal may, make any interim order also. Where an order of the Tribunal makes any alteration in the memorandum or articles of a company, the company shall not have power, to make any alteration inconsistent with the order.

Concept 6 - Section 243: Termination or modification of certain agreements

According to Section 243(1), Where an order made under Section 242 terminates, sets aside or modifies an agreement,

a) such order shall not give rise to any claims whatever against the company by any person for damages or for compensation for loss of office
b) no managing director or other director or manager whose agreement is so terminated or set aside shall, for a period of 5 years from the date of order, be appointed or act as the managing director or other director or manager of the company, without the approval of the Tribunal.

Provided that the Tribunal shall not grant approval, unless notice of the intention to apply for approval has been served on the Central Government and that Government has been given a reasonable opportunity of being heard in the matter.

Person considered unfit by Tribunal shall not hold any office of director or connected with management of a company for 5 years, unless approved by the Central Government and the Tribunal.

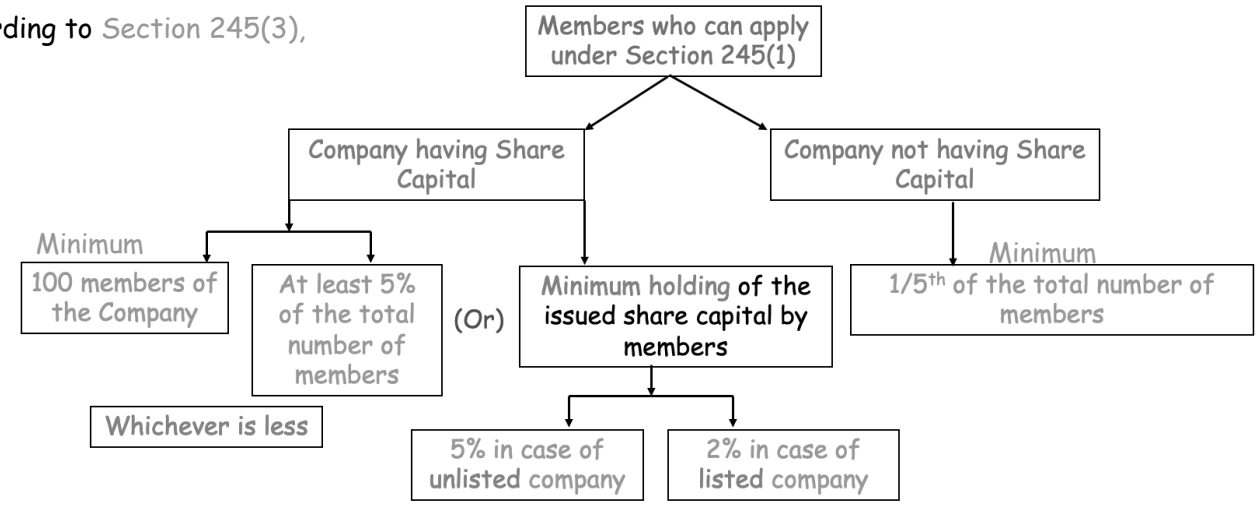
Any person who knowingly acts as a managing director or other director or manager of a company in contravention of this section and every other director of the company who is knowingly a party to such contravention, shall be punishable with fine which may extend to ₹ 5 Lakhs.

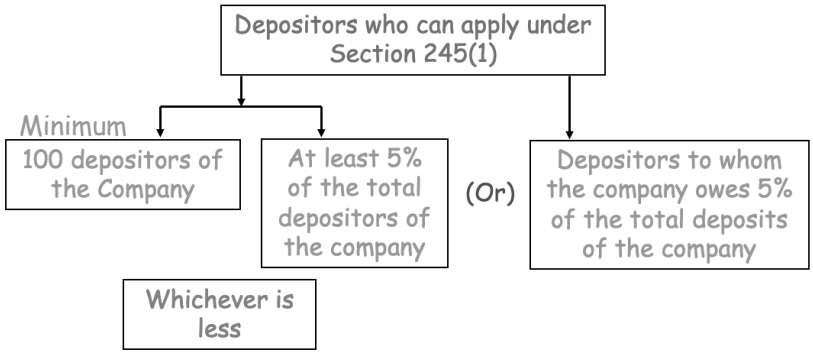
Concept 7 - Section 245: Class Action

According to Section 245(1), Such number of member or members, depositors or any class of them as are indicated in Section 245(2) may, if they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, file an application before the Tribunal on behalf of the members or depositors for seeking all or any of the following orders, namely:

a) to restrain the company
   i) from committing an act which is ultra vires the articles or memorandum
   ii) from committing breach of any provision of the articles or memorandum
   iii) the company and its directors from acting on such resolution.
   iv) from doing an act which is contrary to the provisions of this Act or any other law for the time being in force.
   v) from taking action contrary to any resolution passed by the members.
b) To declare a resolution altering the memorandum or articles of the company as void if the resolution was passed by suppression of material facts or obtained by mis-statement to the members or depositors.
c) to claim damages or compensation or demand any other suitable action from or against:
   i) the company or its directors for any fraudulent, unlawful or wrongful act
   ii) the auditor including audit firm of the company for any improper or misleading statement in his audit report or for any fraudulent, unlawful or wrongful act
   iii) any expert or advisor or consultant or any other person for any incorrect or misleading statement made to the company or for any fraudulent, unlawful or wrongful act
d) to seek any other remedy as the Tribunal may deem fit.

According to Section 245(3),





According to Section 245(5), If an application filed under Sub-Section (1) is admitted, then the Tribunal shall have regard to the following, namely:

a) public notice shall be served on admission of the application to all the members or depositors of the class in such manner as may be prescribed.
a) All similar applications regarding the same concern should be consolidated into a single application
b) two class action applications for the same cause of action shall not be allowed.
c) The cost or expenses connected with the application for class action shall be defrayed by the company or any other person responsible for such oppressive act.

Any order of the Tribunal shall be binding on the company and all its members, depositors and auditor including audit firm or expert or consultant or advisor or any other person associated with the company.

Penalty for failure to comply with the order of Tribunal

a) Any company which fails to comply with an order passed by the Tribunal under this Section shall be punishable with fine which shall not be less than ₹ 5 lakhs but which may extend to ₹ 25 lakhs
b) Every officer of the company who is in default shall be punishable with imprisonment for a term which may extend to 3 years and with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 1 lakh.